THE WALL STREET JOURNAL.

DOW JONES | News Corp * * * * * TUESDAY, SEPTEMBER 1, 2026 ~ VOL. CCLXXXVIII NO. 53 WSJ.com U.S. Edition

DJIA 53185.90 ▼ 374.09 0.70% NASDAQ 26370.89 ▼ 0.1% STOXX 600 651.10 ▼ 0.6% 10-YR. TREAS. ▼ 9/32, yield 4.757% OIL $85.76 ▲ $2.36 GOLD $4,431.10 ▼ $47.00 EURO $1.1617 YEN 159.74

What's News

Business & Finance

◆ **Wall Street's momentum** trade has petered out after the strategy of chasing stocks that are rising in price paid off massively in the second quarter. **A1**

◆ **Stocks fell and** oil prices rose Monday as the Middle East conflict stoked unease in markets. For Free Papers Check Sanet.st Benchmark crude rose 2.8% to $85.76 a barrel, and the S&P 500, Dow and Nasdaq shed 0.3%, 0.7% and 0.1%, respectively. **B1**

◆ **The FTC plans to** sue Amazon for allegedly manipulating prices businesses paid to advertise on its retail platform, reaping tens of billions of dollars for itself over seven years. **A1**

◆ **Trump declared his** support for federal tax credits to support film and television production in the U.S., giving hope to an industry that has lost huge amounts of business to foreign countries. **B3**

◆ **Shein's IPO in Hong Kong** this week will allow it to avoid paying out billions to early investors, but the fast-fashion company is still on the hook for a different disbursement. **B1**

◆ **Huawei reported a** drop in first-half net profit despite higher revenue,as spending on research and development surged. **B4**

◆ **GameStop said it** expects second-quarter profit to climb, boosted by investment gains from its eBay stake, but sales likely fell from a year earlier. **B3**

◆ **Anthropic signed** a cloud-computing deal valued at $35 billion with Nvidia-backed cloud provider Lambda. **B4** ◆ **Oil-drilling and** production company SLB agreed to acquire thermal management company Kelvion from private-equity funds for $4.1 billion. **B4**

Worldwide

◆ **Army Secretary** Dan Driscoll resigned following months of tension with Defense Secretary Pete Hegseth over the direction of the service and the ouster of numerous senior Army officers. **A4**

◆ **Russia is trying** to pound Ukraine's capital into submission by using its growing fleet of jet-powered drones for nearly continuous attacks. **A6**

◆ **Bessent blamed Carney** for the recent collapse of trade talks aimed at averting steep U.S. tariffs on Canadian goods, and brushed off concerns about a trade war with Ottawa. **A6**

◆ **A former Crips gang** leader was convicted of murder for orchestrating the drive-by killing of hip-hop legend Tupac Shakur in Las Vegas three decades ago. **A3**

◆ **A 17-year-old girl** who recorded a livestream of a shooting at a San Diego mosque in May that killed three people was charged with murder. **A3**

◆ **Iceland's rejection** of European Union membership talks is a blow to the bloc's effort to position itself as a geopolitical counterweight to Trump's high-pressure tactics. **A9**

◆ **Los Angeles County sued** State Farm over its handling of insurance claims after the deadly 2025 wildfires. **A2**

◆ **The death toll from** the floods in Nepal and China surpassed 900, as crews sought to reach workers trapped in mountain tunnels. **A5**

◆ **Kalshi banned** George Santos from its platform after a regulator alleged he made more than $17,000 by betting on his attendance at the State of the Union. **A3**

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Amazon Sued Over Ad Rates

FTC, over 20 states allege the company reaped billions by manipulating prices

By Dave Michaels, Isabella Simonetti and Suzanne Vranica

The Federal Trade Commission filed a lawsuit on Monday against Amazon.com alleging that the e-commerce giant manipulated prices businesses paid to advertise on its retail platform, reaping tens of billions of dollars for itself over seven years.

The lawsuit, joined by a bipartisan group of more than 20 state attorneys general, alleged that Amazon deceived advertisers by secretly raising the minimum price advertisers had to pay to place ads promoting their products.

The case, filed in federal court in Seattle, becomes the consumer-protection agency's third major case against Amazon, which agreed to pay $2.5 billion last year to settle an earlier suit alleging it tricked people into signing up for its Prime service and made it hard to cancel the subscription. Another lawsuit alleging that Amazon engaged in illegal monopolization is headed for trial next year.

Amazon operates the third-largest digital-ad platform in the world behind Alphabet's Google and Meta Platforms. It earned $68 billion from ads in 2025, according to securities filings. Its shares closed down 2.5% on Monday.

Advertisers allegedly suffered more than $20 billion in harm by paying higher prices for ads in auctions that Amazon ran, and in which it intervened, according to the complaint. The states, which have the authority to seek civil penalties, could attempt to claw some of that money back. States that joined the lawsuit include New York, California and Florida.

The complaint said inflated advertising costs for sellers contribute to consumers' paying higher prices.

"These inflated advertising charges allow Amazon to extract additional revenue from sellers on its platform, on top

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Wall Street's Hottest Trade Unravels

Bets on rising winners suddenly turned into a losing game for investors

By Gregory Zuckerman And Gunjan Banerji

Wall Street's hottest trade has gone ice cold.

For years, it paid off to buy stocks that were rising in price—and bet against struggling shares. The momentum trade was especially profitable this year, as investors piled into hot stocks including Micron Technology, Nvidia, Advanced Micro Devices and other artificial-intelligence darlings while wagering against those likely to be hurt by the embrace of AI.

The S&P 500 Momentum Index soared 44% in the second quarter, its best quarterly performance on record, and it surged 133% over the past five years, nearly double the broad market's performance.

Mega funds and rookie investors alike piled into the trade, some using leverage and options contracts in an effort to amplify their returns, propelling the underlying shares higher.

"It is a self-fulfilling prophecy," said Matthew Tym, managing director at Cantor Fitzgerald, of the trade.

Suddenly, the trade is a loser. The momentum index has tumbled more than 9% since July 1, lagging behind the S&P 500's 2.8% gain.

The index—which tracks stocks in the S&P 500 based on a "momentum score"—is on track for the biggest quarterly underperformance in 25 years. July was the second-worst month for the momentum trade in around 40 years, according to Bank of America estimates; the only month worse was April 2009, in the teeth of the global financial crisis.

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◆ **Heard on the Street:** Index-fund strategy wins........ **B10**

SVET JACQUELINE FOR WSJ

A woman mourns her husband, who died when Russian drones targeted an ammunitions depot in a Kyiv suburb. Over four days, Moscow launched 1,500 long-range drones against Ukraine, of which around 800 were jet-powered, President Zelensky said. A6

Russia Trapped in Strategic Mismatch

By Yaroslav Trofimov

Russia faces a fundamental asymmetry as it seeks to beat Ukraine into submission with intensifying airstrikes on shopping malls, power stations, ports and other infrastructure. Kyiv can rely on a secure hinterland beyond its borders—its European neighbors—for economic resilience and for military logistics.

The Kremlin, whose refineries, ports and defense industries are also under attack by Ukrainian missiles and drones, has no such backup. Hits to Russia's militarized economy translate more directly into damage to the country's ability to keep the war going.

This lopsided geopolitical setup offsets, to a significant degree, Russia's advantage in firepower. It has also become a reason driving what Western officials said is a widening Russian campaign of sabotage, hacking and other hybrid operations aimed at intimidating European leaders and voters.

Warning Russia against taking hostilities to North Atlantic Treaty Organization members in Europe was a key message delivered by Central Intelligence Agency director John Ratcliffe on his recent trip to Moscow, people familiar with the matter said.

Russian officials have long described their war as one against the "collective West," and not just Ukraine. Russian threats have become increasingly strident this summer, including warnings of military strikes against the Baltic states and even the U.K.

Ukraine's economy and military effort were funded by $105 billion in new European assistance approved this year, money that came on top of

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Divorce Gives Peek Into Wealth Of Finance Billionaire

NEWARK, N.J.—Hedge-fund billionaire John Overdeck took to the witness stand last week to explain that he had always shared his riches with his wife, Laura Overdeck. That included the hundreds of millions of dollars in pay that he put into a joint account during their marriage, he said.

By Jasmine Li, Miriam Gottfried and Peter Rudegeair

"In fact, she was able to withdraw $75 million the day before she filed for divorce," said Overdeck, co-founder of Two Sigma, the quant-trading powerhouse.

Overdeck didn't flinch when he mentioned the figure, just one of the many staggering sums being bandied about in a divorce trial under way in New Jersey. The trial could result in one of the largest divorce settlements ever and shake up the power struggle atop Two Sigma, where John Overdeck has been feuding with his co-founder, David Siegel.

John Overdeck is offering to give his estranged wife $723 million to settle their split. Laura Overdeck has said their

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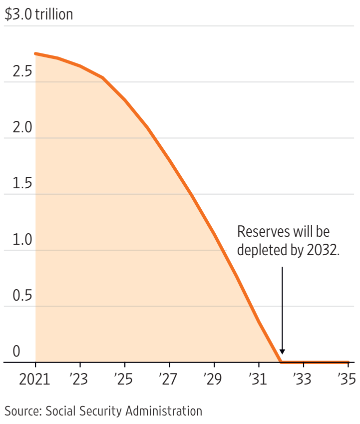
New Focus on Social Security

Talks on how to stave off automatic benefit cuts in Social Security accelerated this summer, but progress is slow. For now, Congress is taking baby steps on a path that could lead to tax increases or benefit cuts. **A4**

Reserves in Social Security's retirement trust fund



Source: Social Security Administration

Team USA's Gold Medal Goalie Is a Master of the Caesar Salad

* * *

Hockey star Aerin Frankel turned her salad obsession into a successful side gig

By Adam Chandler

The Caesar salad at Hawksmoor is a foodie's dream. It features whole leaves of romaine lettuce massaged by hand with a dressing of fresh garlic, lime, Worcestershire, soft-poached eggs and Cantabrian anchovies.

Head of lettuce

Aerin Frankel—the Olympic gold medal-winning goaltender—gave it an 8.2 out of 10.

The score, while respectable, was still lower than a buffalo chicken Caesar she sampled in Syracuse and a Caesar wrap from Sweetgreen.

One knock against the Hawksmoor salad was that it came without the option to add meat. The toasted sourdough crumbles, more ice shavings than proper pucks, also lowered the score. "I

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Summer Scorches Europe's Economy

Record heat strained businesses

BORDEAUX, France—For 700 years, Château Carbonnieux relied on rainwater to nourish its grapes, a tradition that preserved the vineyard's connection to the local terroir.

By David Luhnow, Stacy Meichtry and Ed Ballard

Then temperatures rose to a record-breaking 108 degrees Fahrenheit in June, and co-owner Philibert Perrin noticed the leaves of his Cabernet Sauvignon grapes turning yellow and shriveling, an ominous sign. So he did the unthinkable: He sent a tractor rigged with a water tank and hoses into the vineyard to hydrate his most vulnerable vines.

"For the young vines we had to do it because they won't survive the whole summer," Perrin said. "At some point you see the plant suffering, and you've got to do something."

Europe has just endured a

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INSIDE

AFP VIA GETTY IMAGES

JASON GAY

Novak Djokovic crashes out early at the U.S. Open. Could this be it? **A16**

DANIEL HEUER/REUTERS

U.S. NEWS

Supreme Court gives Trump green light to keep building White House ballroom. **A3**

U.S. NEWS

El Niño Is Taking Aim at Global Economy

Less growth, more inflation predicted, but hurricane risk in Atlantic tends to ebb

By Ed Ballard
And Costas Paris

For Clément Ray, chief executive of French insect-protein company Innovafeed, El Niño has been a welcome arrival. "It's perfect timing for us," he said.

Innovafeed breeds black soldier flies in a factory in northern France and turns the larvae into an ingredient for fish feed and other products. Until recently, it has been a premium product, a greener alternative to the fish meal that underpins the $300 billion-plus aquaculture industry.

But fish meal is selling for record-high prices after officials in Peru, the biggest producer of the anchovies used to make it, suspended this year's catch early. They were worried about El Niño, a planetary dance of weather phenomena that starts with spiking heat in the Pacific and deals out drought and floods across continents. It occurs every few years and got its name—El Niño de Navidad, or the Christ child—from Peruvian fishermen, who long ago realized that Christmas sometimes brought heat that devastated fish stocks.

The anchovy shortage put fly larvae in the money. "In the last two months we have secured more demand than in the past two years," Ray said.

Appetite for insect protein is early evidence of an El Niño shock wave across pockets of the global economy. The phenomenon is showing up in the cost of passing through the Panama Canal and in Chilean copper output, and might influence everything from Asia's rice crop to the powder at Colorado ski resorts.

Scientists monitoring data from satellites and ocean buoys declared the onset of El Niño in June. It is shaping up to be among the strongest in living memory. Ocean temperatures are the highest on record, with this belch of Pacific heat adding to the warming driven by greenhouse-gas emissions.

"There's a quite clear signal that this is going to be a potentially generationally strong event, and that means it will have economic consequences that are accordingly quite severe," said Christopher Callahan, a climate scientist at Indiana University.

Callahan's research suggests that El Niño events can cause trillions of dollars in lost income, particularly in tropical economies. They will become more challenging as the climate warms, scientists say, adding heat to a planet where some extreme-weather events are already intensifying. El Niño is expected to persist into 2027, which is widely forecast to be the hottest year on record.

Among those bracing for impact are shipping companies using the Panama Canal. El Niño is turning the waterway into another chokepoint in a global economy riddled with them, from the Strait of Hormuz to the parched Rhine.

The canal loses 50 million gallons of water whenever a ship passes through, and is replenished by Lake Gatún, its main reservoir. El Niño spells dryness in Panama. Rainfall between May and August was 34% below the historical average.

The canal's operator said this month it would reduce the maximum number of vessel transits from 36 to 32 by mid-September. The average auction price for ships using the largest locks surged to $2.5 million in recent weeks from typical levels around $800,000 as shippers race to beat the drought. The canal was already unusually busy as shippers avoided Hormuz.

Panama has hired the U.S. Army Corps of Engineers to upgrade the waterway, which yielded $4 billion in tolls in 2025.

"We are dealing with a climate crisis when we are at peak capacity, and we have to find new sources of water," said Ricaurte Vásquez Morales, the Panama Canal Authority administrator.

Elsewhere, excess precipitation is the problem. Chilean copper producer Antofagasta reduced its production forecast after a freak storm deposited 5 million cubic meters of snow into its Los Pelambres mine in July, causing a stoppage.

The mine was beneath an atmospheric river that inundated much of Chile, a rare occurrence that meteorologists said was consistent with a strengthening El Niño.

The lost supply squeezes an already tight market. Copper prices have been setting records, boosted by surging demand from electrification and the metal-intensive data-center build-out.

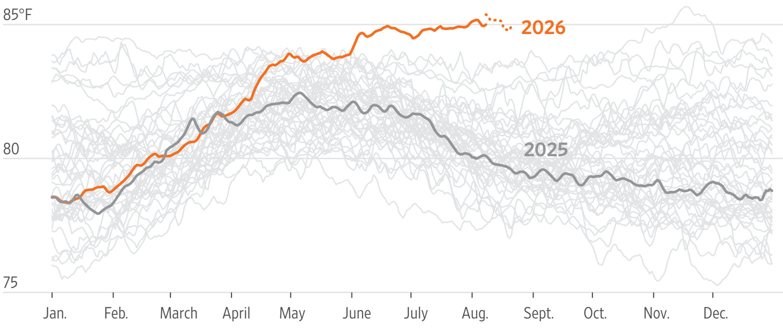
A strong El Niño tends to reduce the number of Atlantic hurricanes, potentially benefiting insurers. A strong El Niño could bail out Europe if a mild winter reduces demand for imported liquefied natural gas, analysts at Rystad Energy said.

Winter-sports enthusiasts are praying to Ullr, Norse god of snow, for El Niño to deliver spectacular snowfall over the Rocky Mountains—at least according to a press release issued by Vail Resorts. More snow feeding into the Colorado River would also replenish the reservoirs of Lake Powell and Lake Mead, easing drought across the Southwest.

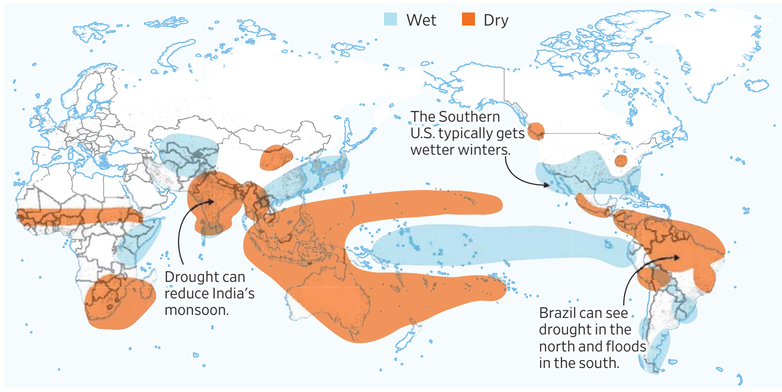
Economists say the overall impact is likely to be less growth and more inflation, notably in Asia's emerging economies. A recent Bloomberg Economics study found that consumer prices increase nearly 2 percentage points in Indonesia and the Philippines after an El Niño-influenced drought.

Most exposed are millions of farmers already reeling from higher fertilizer and diesel costs because of the Iran war. At the end of July, conditions around the world were generally positive for wheat, maize, rice and soybeans, according to a recent report by an international crop-monitoring group, but it warned of growing dryness in Asia's rice fields. India's monsoon rain is running 13% behind the average level for this time of year.

Daily sea-surface temperatures in the tropical Pacific, 1982-2026*



How El Niño Can Affect Rainfall†



*Tropical Pacific represents the Niño 3.4 region. Data is preliminary after Aug. 7. †The timing of impacts varies between regions. The regions and seasons shown indicate typical but not guaranteed impacts of El Niño.

Sources: National Oceanic and Atmospheric Administration (temperatures); Columbia Climate School International Research Institute for Climate and Society (rainfall)

EMMA BROWN/WSJ

U.S. WATCH

ADMINISTRATION

Companies Reach Drug-Pricing Deals

The Trump administration reached agreements for most-favored-nation drug pricing with nine pharmaceutical companies, including Teva Pharmaceuticals, Astellas Pharma and BridgeBio.

The agreements provide for all state Medicaid programs to pay prices for prescription drugs that match the lowest prices paid by other developed nations, the White House said Monday, adding that the agreements guarantee MFN pricing for all new medicines the companies bring to market. The U.S. has now reached 26 such deals covering 89% of the branded drug market, the White House said.

The companies—which include Alcon, BeOne Medicines, CSL, Kyowa Kirin, Sun Pharma, and UCB—agreed to collectively commit $19.6 billion to manufacturing in the U.S. in the near term, the White House said. Some agreed to donate active pharmaceutical ingredients to a federal stockpile.

The administration's previous MFN agreements have given companies relief from potential new U.S. tariffs. The White House didn't specify whether the nine companies would receive tariff relief.

—Elias Schisgall

AFP VIA GETTY IMAGES

Police shot and killed a woman Monday in Times Square after she stabbed two people, killing one.

NEW YORK CITY

Police Kill Attacker In Times Square

A woman randomly stabbed two people in New York City's Times Square on Monday, killing one woman, and then was fatally shot by police, according to officials.

The shooting happened next to a New York Police Department substation, just outside One Times Square, the building that hosts the city's annual New Year's Eve ball drop celebration.

The 49-year-old woman from Queens pulled out two knives from a shopping bag and stabbed a 68-year-old man who had just come out of the subway station and was waiting to cross the street with his wife, striking him in the abdomen, Police Commissioner Jessica Tisch said.

Seconds later, the woman stabbed a 32-year-old woman, also in the abdomen, police said at a news conference Monday evening. Both victims were taken to the hospital. The woman died and the man was in stable condition, according to police.

Police didn't say if the victims were tourists or residents.

Officers tried to convince the attacker to drop the knives for several minutes before using a Taser, Tisch said.

Video shows the Taser not incapacitating her and the woman walking quickly toward the officers while waving the knives in front of her.

The woman has a "documented mental health history with the NYPD," Tisch said.

—Associated Press

State Farm Hit With New Suit in Wildfires

By Laura J. Nelson

LOS ANGELES—Los Angeles County sued State Farm on Monday over its handling of insurance claims after the deadly and destructive 2025 wildfires, alleging that delays and denials of claims by California's largest private insurer violated unfair competition laws.

The lawsuit, filed in Los Angeles County Superior Court, alleges that State Farm denied claims and delayed payouts for policyholders whose homes were destroyed or damaged by the fires in Pacific Palisades and Altadena.

The lawsuit said that State Farm assigned multiple adjusters to people seeking payments, failed to issue payments to cover living expenses after the fires, made misrepresentations to discourage policyholders from pursuing claims, and didn't properly handle claims of smoke damage in homes left standing, the lawsuit said.

"Wildfire survivors have spent far too long fighting to receive the benefits they paid for and counted on," said Los Angeles County Supervisor Kathryn Barger, a Republican whose district includes Altadena, at a downtown news conference.

State Farm "strongly disagrees" with the county's characterization of its wildfire claims handling, and plans to respond through the appropriate legal process, a company representative said.

The insurer has said more than $6.2 billion in claims has been paid out following the disaster, and expects that number to eventually top $7 billion.

The Los Angeles County fires in January 2025 were the most expensive in world history, with total insured losses estimated at $40 billion. The fires killed at least 31 people.

The "failure to pay benefits due under their policies" has "prolonged the catastrophe" for victims of the fires, the lawsuit said. The county's action follows legal action by the state of California earlier this year against State Farm.

The state is seeking millions of dollars in damages—the highest penalty sought this century following a wildfire disaster—and the power to suspend State Farm's license to operate in the state for up to a year.

The county lawsuit filed Monday seeks restitution for victims, something the state can't seek, said Assistant County Counsel Scott Kuhn.

CORRECTIONS & AMPLIFICATIONS

Bryce Strauss is a co-founder of the software company Nominal. A Page One article on Monday about job interviews incorrectly called him chief executive.

Readers can alert The Wall Street Journal to any errors in news articles by emailing **wsjcontact@wsj.com** or by calling 888-762-5450.

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Amazon Sued Over Ad Rates

Continued from Page One
of the account fees, referral fees, and fulfillment and storage fees that increasingly both cut into Amazon sellers' profit margins and lead to price increases borne by Amazon shoppers," the complaint said.

Merchants compete to offer different types of ads that elevate the prominence of their listings every time a shopper searches for a product. The ads show up as "sponsored products," "sponsored brands" and display ads that appear alongside search results. The FTC alleged that Amazon began changing its auction strategy in 2018, seeking to raise prices on advertisers in a way they wouldn't notice.

Amazon said Monday that it properly described to advertisers how its auctions work. It said it made improvements to its ad technology over time that delivered more relevant ads to consumers and therefore improved the value of advertising to businesses that sell on its platform.

The company said its approach sets a "real-time minimum value" that reflects what each ad is actually worth. Advertisers never pay more than they bid, Amazon said. The concept is "common across the industry," it said.

Amazon's ad practices had no impact on consumers, the company said.

Ad buyers expressed surprise about the FTC's allegation, but some said that Amazon's scale and ad performance remain unmatched, particularly for small to midsize sellers focused on driving sales.

"We are aware and concerned when issues like this come up," said Travis Johnson, chief executive officer of Podean, a marketing firm that specializes in Amazon ads.

Amazon had historically run a type of auction designed to attract more bids and protect winners from dramatically overpaying. That formula tended to reduce the price a merchant paid to advertise.

In some auctions, to raise the price paid, Amazon began entering its own bid, the complaint said. Internally, executives referred to the practice as a "soft reserve," which was higher than the bid that normally set the price, the FTC alleged. Under the rules of the auction, that raised the price paid for an ad. Amazon knew the merchants' competing bids and didn't disclose its new practice, the lawsuit said.

Amazon's ad executives tracked the "surcharge" they earned from the strategy and sought to limit how much others knew about it, the FTC alleged. Amazon's goal was to capture for itself more of the value of a retail sale that stemmed from successful ads, according to the lawsuit.

Advertisers generally weren't aware of the practice, Amazon's ad managers acknowledged in internal documents. "We don't tell them about the surcharge," one ad team member wrote in 2024, according to the complaint.

Another employee wrote in an internal memo that "the benefit to Amazon comes at the cost of advertisers," the lawsuit says. Other internal communications said Amazon's pricing changes enable the company to adjust prices "independent of competition."

In recent years, Amazon has intervened in auctions to set the price 70% to 80% of the time, the lawsuit says.

The FTC's claims include that Amazon's strategy raised the pay-per-click ad cost by 50% on major shopping days. Advertisers are generally charged only when a consumer clicks on an ad.

The lawsuit adds to the government's attempts to improve competition in digital advertising. The Justice Department previously brought antitrust claims against Google, alleging its ad practices were illegal.

White House Ballroom Work To Go Forward

Supreme Court rules crews can continue construction on Trump's project

By James Romoser
And Lydia Wheeler

WASHINGTON—The Supreme Court is allowing President Trump to keep building a White House ballroom without congressional approval, clearing the way for construction crews to continue their nearly round-the-clock work to complete one of the president's prized projects.

In Monday's 5-4 ruling, the high court said that a historic preservation group likely doesn't have legal standing to challenge the ballroom and that the Trump administration would suffer "irreparable harm" if the construction were halted now.

"We do not pass upon the legality" of the project, the court said in an unsigned eight-page decision from five of the court's six Republican-appointed justices.

The court's majority said it had concluded only that the government is likely to win its argument that the National Trust for Historic Preservation lacked the required legal injury to sue to stop construction.

The justices noted the sole basis for the group's lawsuit was a member who claimed her "aesthetic, cultural and historical interests" were harmed by the ballroom construction. The majority said Supreme Court precedents make clear that "mere offense, disagreement or distaste" isn't enough.

Adopting the group's view of what constitutes a legal injury "would seemingly usher in a world where virtually every citizen had standing to challenge virtually every government action that they do not like," the majority wrote.

Chief Justice John Roberts and the court's three Democratic-appointed justices dissented, saying the construction is "likely unlawful" because Congress didn't approve it.

Two lower courts had declared the 90,000-square-foot ballroom project illegal and said construction must be halted. But a judge's stop-work order was put on hold while the administration pursued appeals.

The Supreme Court's ruling keeps that order on hold indefinitely, effectively giving a green light to one of Trump's most visibly audacious projects, which critics see as the latest instance of him ignoring Congress and flouting norms.

"We are living in the Golden Age of America, and this Building will be one of the Greatest ever constructed in Washington, D.C.," Trump wrote in a social media-post cheering the ruling.

The high court's ruling is technically an interim decision that allows litigation to continue in the lower courts. But given the court's signal that the preservation group doesn't have legal standing, opponents of the ballroom now may have to go back to the drawing board and seek out new plaintiffs who can show a more concrete harm from the project.

Roberts argued in dissent that the preservation group already had done that, noting that one member is "deeply committed" to the preservation of historic buildings. "The White House is an iconic American building whose symbolism and history are wrapped up in its architecture," he wrote.

The preservation group said it was deeply disappointed by the court's decision but noted it doesn't resolve the fundamental argument "that each President is a temporary steward of the People's House and does not have the unilateral authority to demolish and redesign it without the approval of Congress."

In October, Trump demolished the East Wing of the White House in a matter of days and began construction on the ballroom. At the time, he said a large, lavish event space was necessary for White House functions that now take place in outdoor tents.

Since then, the project's original $200 million price tag has doubled, though the true cost is unknown.

Two Dead, Others Missing in Grand Canyon Flood

JOHN LOCHER/AP

At least two people died in the Grand Canyon and more than a dozen were still unaccounted for after a weekend of punishing rain flooded portions of the Arizona park.

Sections of Grand Canyon National Park remained closed Monday as evacuations continued. Meteorologists said thunderstorms were likely, along with the chance of more rain throughout the week. The area remained under a flash-flood watch.

More than 60 people were evacuated and two bodies were found after heavy rains hit the canyon over the weekend, the National Park Service said.

Authorities are asking the public to help identify hikers and backpackers who were in the Bright Angel Canyon and Phantom Ranch areas of the park when the flooding occurred. The floods also damaged a mileslong pipeline that supplies water to the park.

August is the height of monsoon season in northern Arizona, where the Grand Canyon is located. Forecasters last weekend had issued flash-flood warnings for the area and said certain spots "can become raging killer currents in a matter of minutes."

—Alyssa Lukpat

Kalshi Hits Santos With Lifetime Ban

By Brian Schwartz
And Jack Morphet

WASHINGTON—Kalshi said Monday it would ban former Republican Rep. George Santos from using its platform for life after a federal regulator alleged the ex-congressman earned more than $17,000 by placing bets on his attendance at President Trump's State of the Union address.

In addition to the ban, Kalshi said its compliance department had imposed a penalty of $71,356, according to a filing on its website. It marks the first time the company has issued a lifetime ban, according to a Kalshi spokeswoman.

"Hey @Kalshi thanks for the lifetime ban from your gambling platform," Santos wrote on X. "Let's see how much longer you guys are around for."

Kalshi announced other disciplinary actions on Monday, including a three-year ban for a Republican congressional candidate in North Carolina.

Laurie Buckhout, who has been seen as likely to flip a Democratic-held House seat, won the Republican primary in March. She bought less than $1,000 of contracts related to her own candidacy, said Kalshi, which also imposed a $2,590 financial penalty alongside the ban. "It was a dumb mistake and as soon as I learned there was an issue, I worked to make it right," Buckhout said. Rep. Don Davis (D., N.C.), who Buckhout is running to unseat, called her actions "a disqualifying breach of public trust."

Santos, the former New York lawmaker who was expelled from Congress in 2023, agreed in July to pay more than $35,000 to settle claims by the Commodity Futures Trading Commission. The regulator accused Santos of making misrepresentations and omissions on social media that influenced the price of his positions related to the address, and said he improperly traded on an event he had the power to influence.

Santos's attorney, Joseph Murray, said at the time of the settlement that the ex-congressman agreed to make the payment to avoid lengthy and costly litigation and that the decision "should not be mistaken for admission of any wrongdoing." Murray didn't respond to requests to comment.

Kalshi said it banned Santos because he didn't fully cooperate with the company's investigation. Santos can appeal to the CFTC. The CFTC banned Santos from trading on all platforms for three years and said Santos cooperated with the agency's investigation.

The CFTC alleged that in February 2026, Santos made a series of misleading statements on social media about whether he would attend Trump's State of the Union speech, while placing lucrative bets on Kalshi on the matter.

JULIA DEMAREE NIKHINSON/AP

George Santos

When severe weather jeopardized his travel plans to Washington, Santos allegedly bought contracts saying he wouldn't attend the event. He sold those contracts for a profit after multiple misleading social-media posts in which he suggested he would be at the speech, the CFTC said.

After he was expelled from Congress, Santos pleaded guilty in 2024 to federal charges. Santos was sentenced to seven years in prison, but Trump commuted his sentence.

On Friday, the CFTC said Gabriel Perez, a White House teleprompter operator under investigation for placing bets using proprietary information, will pay a $65,000 civil monetary penalty and give up more than $107,000 in winnings.

Kalshi suspended Perez from using its platform for three years, and the CFTC banned him from participating in trading markets for the same amount of time.

Authorities are also pursuing a case that focuses on an employee at KPMG, the global accounting and consulting firm, people familiar with that investigation said.

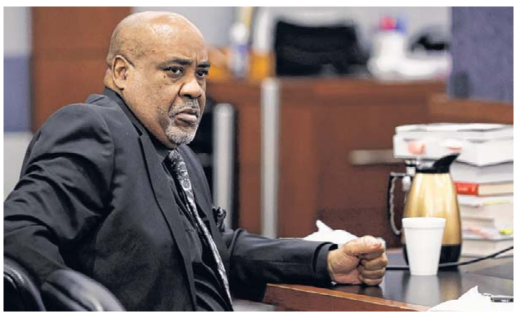
The employee is under investigation for betting on whether a public company would beat the estimate for quarterly earnings, one of the people said.

Also Monday, Kalshi banned and fined former **Planet Fitness** president Ben Midgley after finding he bet on his failed bid for Maine's Republican gubernatorial primary. Midgley was banned for three years and fined $5,434.

Midgley said he placed the wagers for "novelty and entertainment," and was unaware they violated rules. He said he didn't profit. "Obviously, the novelty has worn off," Midgley said.

Billionaire Stephen Cloobeck, who founded Diamond Resorts, wagered around $10,000 on his aborted Democratic bid for the 2026 California gubernatorial race, according to Kalshi. Cloobeck was also handed a three-year ban and fined around $31,700.

Cloobeck couldn't be reached to comment.



POOL/AFP VIA GETTY IMAGES

Duane Davis was convicted Monday in the 1996 murder.

Man Found Guilty Of Shakur Killing

By Jack Morphet
And Alyssa Lukpat

A former Crips gang leader was convicted of murder on Monday for orchestrating the drive-by killing of hip-hop legend Tupac Shakur in Las Vegas three decades ago.

A Nevada jury found Duane "Keffe D" Davis, 63 years old, procured a gun and ordered a fellow South Side Crips gang member to shoot Shakur and former rap mogul Marion "Suge" Knight in an "act of revenge." The jury reached a verdict after roughly three hours, solving a mystery that has surrounded the rapper's death.

Davis had pleaded not guilty to a charge of first-degree murder with a deadly weapon.

Prosecutors said Davis orchestrated Shakur's killing after the rapper and other members of a rival gang allegedly beat Davis's nephew. Davis allegedly obtained a handgun and gathered fellow gang members into a Cadillac from which Shakur and Knight were shot Sept. 7, 1996, on their way to a nightclub. Shakur's death six days later at 25 stunned the hip-hop community.

In Davis's self-published memoir from 2019, he wrote, "I'm one of the only living eyewitnesses to Tupac's killing."

After his conviction on Monday, Davis interrupted the proceedings. "Excuse me, I'd like to have my stuff back," he said. "And I would like to appeal this matter."

Clark County Judge Carli Kierny said he could appeal the verdict after his sentencing. He is being held without bail.

Prosecutors told jurors that Davis was a major Compton, Calif., narcotics dealer and a leader of the South Side Crips who repeatedly admitted to his role in the fatal shooting. They said over the past 18 years, Davis implicated himself on four separate occasions through interviews with federal and local investigators, appearances in television and YouTube documentaries, and his memoir.

Defense attorney Michael Sanft argued Davis's book was a self-aggrandizing fiction designed to profit from Shakur's slaying and insisted there was little evidence to corroborate his client's written claims.

Designer Galliano's Met Gala Is Shelved

By Chavie Lieber

The fashion exhibit and gala planned for acclaimed designer John Galliano at the Metropolitan Museum of Art next spring will no longer take place, the New York museum and designer said on Monday.

In a joint announcement with Galliano, who had been convicted of a crime in France and fired from his roles at several luxury brands after making antisemitic and anti-Asian comments in 2011, Met Museum Director and Chief Executive Max Hollein said "we have together decided not to proceed with the exhibition."

Galliano said it was best for the events not to proceed. "I remain fully accountable for the pain caused by my words in the past, particularly the hurt I caused to the Jewish and Asian communities, and I remain deeply sorry for it," he said.

The designer and Met leadership had met with prominent rabbis and representatives from the Anti-Defamation League ahead of the announcement.

Teen Who Recorded Livestream Of Mosque Shooting Is Charged

By Alyssa Lukpat

A 17-year-old girl who recorded a livestream of the shooting at a San Diego mosque earlier this year was charged with murder Monday, authorities said.

Sarah Santiago of Winston-Salem, N.C., allegedly communicated with the gunmen before their May attack and disseminated their manifesto and a recording of the shooting, according to her indictment and Forsyth County, N.C., District Attorney Jim O'Neill. Authorities said the two teenage gunmen, who killed three people at a mosque, issued a manifesto expressing hatred toward different races and religions.

"Too often in this age of technology, people attempt to disappear behind their keyboards and their screens. You are still responsible for what you do," said Reid Davis, the special agent in charge of the Federal Bureau of Investigation's offices in North Carolina.

Authorities said Santiago wasn't at the scene of the shooting in California and watched the attack over a feed. O'Neill said the gunmen livestreamed the attack using GoPro helmets.

Before the shooting, Santiago sent one of the alleged gunmen a patch to wear depicting a Nazi symbol, according to the indictment. She was allegedly one of a handful of people who watched the livestream, O'Neill said.

> Authorities said the girl, 17, disseminated a recording of the deadly attack.

Alan Doorasamy, a lawyer for Santiago, said Monday that his client was innocent.

A grand jury indicted Santiago on charges of first-degree murder and conspiracy to commit a felony, according to the indictment. She was arrested last week and is being charged as an adult, O'Neill said.

O'Neill said authorities moved to charge her before she could go back to school. "We didn't know what she was capable of," he said.

During the shooting at the Islamic Center of San Diego, two suspects ran past a security guard who opened fire and then was fatally shot, authorities said. The gunmen then killed two men before fleeing the scene, shooting at a landscaper and fatally shooting themselves. The security guard used his radio to put the mosque on alert before he was killed, saving the lives of more than 100 children who were playing in the back of the property, authorities said.

O'Neill said the suspects had planned to leave the mosque and open fire at a Jewish temple and a predominantly Black high school.

He declined to say if the other people who viewed the livestream would face charges. "But this is a plea to the parents in this community, across the country, really. You have to know what your kids are doing, who they're talking to, what they're getting into," he said.

President Rips Data Center Opponents

Social-media post comes as bipartisan backlash against AI facilities is growing

By Amrith Ramkumar And Marianne LeVine

President Trump warned Monday that communities that don't embrace data centers will "end up being backwards and poor," putting himself at odds with most Americans who say they don't want the facilities that power AI to be built near them.

"The only reason that communities throughout the U.S.A. should not want Data Centers is if they want to end up being backwards and poor," Trump wrote on social media. "If they want to be successful and rich, with far lower taxes and jobs all over the place, let Data Reign."

Trump added that blocking data centers would give China the upper hand in the global race to become an artificial-intelligence leader. "China could not be happier with this anti Data Center movement," he said.

Trump has embraced the AI industry throughout his second term, aiming to accelerate the build-out of data centers while minimizing regulations on companies making models such as OpenAI. He has cited the jobs created by data-center construction and national security when explaining his support. Industry executives have donated to his inauguration fund, White House ballroom project and political-action committees aligned with the White House.

Trump's Monday statement comes as a bipartisan backlash against data centers is growing because of fears about their energy and water consumption and distrust of tech companies. Recent polls have found that more than 70% of the public oppose data centers near them, forcing governors and candidates who had previously embraced AI to backtrack on the issue.

Some of Trump's outside political advisers have privately expressed concerns about the president's support for data centers, worrying that the public will see him as out of touch with their concerns ahead of November's midterm elections, according to people familiar with the matter.

The White House didn't respond to a request for comment.

GRAEME SLOAN/BLOOMBERG NEWS

A Maryland protester at a July rally. Trump's AI support could weigh on the GOP in November.

Vice President JD Vance told reporters Monday that the president views data centers as an important part of the AI economy and said that most of the backlash has come in parts of the country "where building a data center means higher utility and higher electricity for the people on the ground."

"If you build the data center you should be putting power back into the grid, not taking it out," Vance said. "And if that is happening I don't think the data centers are that controversial, it's when the utility bills get so much higher that's when it's a real problem."

Average electricity costs in the U.S. have risen more than 35% in the last five years, according to the Bureau of Labor Statistics. Many consumers are blaming data centers, though the industry says it isn't solely to blame. In a bid to quell the backlash, the Trump administration has pushed dozens of utilities and data-center developers to sign a pledge to limit AI-driven electricity-price hikes.

Texas Gov. Greg Abbott, a Republican, and Democratic Gov. Josh Shapiro of Pennsylvania recently joined the growing group of politicians withdrawing support for data centers by pausing or restricting new data-center approvals in their states.

Army Secretary Quits Amid Strife With Hegseth

By Michael R. Gordon And Marcus Weisgerber

WASHINGTON—Army Secretary Dan Driscoll has submitted his resignation to President Trump following months of tension with Defense Secretary Pete Hegseth over the direction of the service and the ouster of numerous senior Army officers.

He is expected to leave the Pentagon in coming days.

With Driscoll's departure, the Army will lack top Senate-confirmed civilian or military leaders. Gen. Christopher LaNeve has served as acting chief of the service since Hegseth fired his predecessor, Gen. Randy George. Mike Obadal, the Army undersecretary, would be the highest-ranking civilian after Driscoll departs.

Driscoll didn't respond to a request for comment.

Driscoll had been expected to step down this year from his role as the civilian leader of the Army after clashing with Hegseth, The Wall Street Journal previously reported.

"Secretary Driscoll has been highly effective in advancing President Trump's agenda to Make America Strong Again at the Department of the Army by providing outstanding leadership during historic military operations, restoring an emphasis on readiness and lethality, assisting with negotiations between Russia and Ukraine, and more," White House spokeswoman Anna Kelly said in a statement.

Last week, Driscoll attended the retirement ceremony at Fort Bragg, N.C., for Gen. Chris Donahue, who served as the top Army officer in Europe until Hegseth downgraded his position, effectively bringing an end to his military career.

Donahue's abrupt departure was presented as part of Hegseth's broader push to shrink the number of generals and admirals by 10% overall, plus a 20% cut to the number of four-star positions, the Journal reported.

But lawmakers expressed concern over the departure of a highly regarded officer who led the Delta Force in the fight against Islamic State.

Some Republicans also have pushed back on Hegseth's preference that LaNeve become the next Army chief of staff, signaling that LaNeve might not get confirmed if nominated. LaNeve's recent decision to phase out a futuristic Army assault battalion has further fueled congressional concerns about the direction of the service under his leadership.

Driscoll is a former law school classmate of Vice President JD Vance. A former Army officer, he forged a close relationship with George, the former Army chief of staff who was fired by Hegseth in April. The two pushed soldiers to adopt new technology.

Congress Eyes Action to Shore Up Social Security

By Richard Rubin

WASHINGTON—Social Security's looming insolvency is the country's most foreseeable problem, a blaring demographic siren threatening automatic benefit cuts in 2032. Congress is trying to work up the nerve to solve it.

Discussions on the government's largest program accelerated this summer with actuarial warnings, hearings and scattered bipartisan efforts. Lawmakers on both sides grasp Social Security's real challenges. And, eventually, analysts expect Republicans and Democrats to work together to prevent benefit cuts for tens of millions of seniors and address the program's long-term health.

For now, Congress is taking baby steps along a path that could lead to tax increases or benefit cuts that would trigger voter backlashes.

By waiting this long, lawmakers made the inevitable adjustment more severe. Tax or spending changes that could have been implemented years ago to shore up Social Security's finances are now no longer large enough to close the gap between expected revenue and promised benefits.

"I want the public to see, like, we're not sleepwalking here," said Sen. Tim Kaine (D., Va.), who backs two bipartisan bills. One would empower an advisory board to expedite legislation; the other would borrow to create an investment fund to bolster the program. Both ideas have significant detractors—and the leading Republican sponsors are retiring.

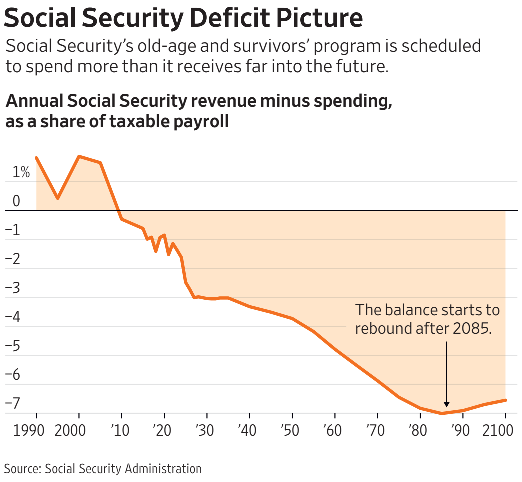
Lawmakers say they will act before the 22% automatic benefit cuts six years from now. "I do not believe that we'll ever hit the wall, because I think funding will be derived, because we can't let it hit the wall—no matter what," Sen. Jim Justice (R., W. Va.) said.

The big questions: When? And with what money?

Lawmakers are starting to float ideas. In one bipartisan pairing, Sens. Bernie Moreno (R., Ohio) and Elizabeth Warren (D., Mass.) are proposing eliminating the cap on Social Security payroll taxes. The 12.4% tax, split between employees and employers, ends once wages and self-employment income hit $184,500 this year. Moreno and Warren argue that it is unfair that higher-income workers pay a smaller share of their income than most people do.

They haven't released a bill or said whether they would expand the tax to investment income. They also haven't said whether they are only proposing a tax increase or whether they would keep the current program structure, while having more income subject to taxes would qualify those top-end workers for larger future benefits. For now, other Republicans haven't joined Moreno.

Rather than advocating any particular solution, Reps. Tom Cole (R., Okla.) and Tom Suozzi (D., N.Y.) support a bill creating a bipartisan commission and guaranteeing expedited votes if that panel offers a plan for 75-year solvency. The bipartisan Senate group including Kaine floated a similar idea for fast-track consideration of a board's plans for 50-year solvency.



Congress rarely touches Social Security. It is structured as a government trust fund with dedicated revenue streams and benefit formulas based on earnings history. The program is designed to replace a greater share of preretirement wages for lower-income workers.

When baby boomers worked and paid significant taxes, Social Security ran surpluses. The rest of the government used that money, putting IOUs in Social Security's trust fund. As boomers retired, the money flow reversed and the program started burning through IOUs, which will be gone by 2032.

The trust fund is just part of the government. But when the fund is exhausted, Social Security won't have legal authority and money to pay all promised benefits on time. Congress can, in the interim, use Social Security's disability fund to push insolvency to 2034.

The easy path could be politically safe and fiscally risky: pay benefits from the general budget. That would address the short-term crunch and effectively end Social Security's special separate status.

Even absent that move, some near-term general-fund transfer or borrowing is likely, said Shai Akabas, vice president of economic policy at the Bipartisan Policy Center.

Achieving long-term solvency for Social Security could happen through a mix of smaller benefits, higher taxes or new dedicated revenue.

Many Democrats are dead set against reductions in promised benefits and oppose commissions and boards designed to broker compromises. Sen. Bernie Sanders (I., Vt.) and others have even proposed some benefit increases.

They are focused on raising taxes on top earners, particularly by removing the payroll tax cap. If enacted now, a plan removing the cap and denying new benefits to affected workers would close about two-thirds of the long-term hole.

"The problem really can only be solved by something that the vast majority of the American public are supportive of—and that is scrapping the cap on income," said Martin O'Malley, who ran Social Security during the Biden administration.

However, removing the cap would drive top marginal tax rates on wages over 50% in high-tax states where many Democratic voters live. It would be the largest tax increase in over 40 years, according to the Tax Foundation.

Republicans generally oppose tax increases, but they lack a unified position on Social Security. "They're very afraid of the issue," said Andrew Biggs of the conservative American Enterprise Institute, who was a senior Social Security official during the George W. Bush administration. "They just don't know what they want."

In 2016, President Trump ran on promises to block benefit cuts, taking steam out of those earlier GOP efforts and holding a no-cuts posture that he maintains today. "Under his leadership, there will be zero reductions to Social Security payments," said Liz Huston, a White House spokeswoman.

Hot Trade Turns Into Losing Bet

Continued from Page One

Hedge funds that bought momentum shares while shorting low-momentum stocks suffered even more. At the same time, a basket of the most popular stocks held by hedge funds tracked by Goldman Sachs recorded its biggest one-month underperformance in July relative to the S&P 500 in more than 20 years, according to the bank's analysts.

Momentum trading is based on a rather simple observation: Investments that go up tend to keep outperforming; those that underperform often remain laggards. This kind of trading might seem too simple a stock-picking strategy to work. Yet it often has.

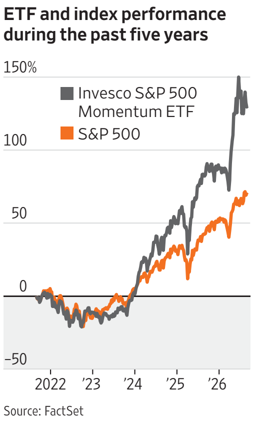
"For decades, it didn't take a lot of sophistication to run a momentum strategy and make a decent living at it," says Agustin Lebron, senior researcher at EquiLibre, a trading firm.

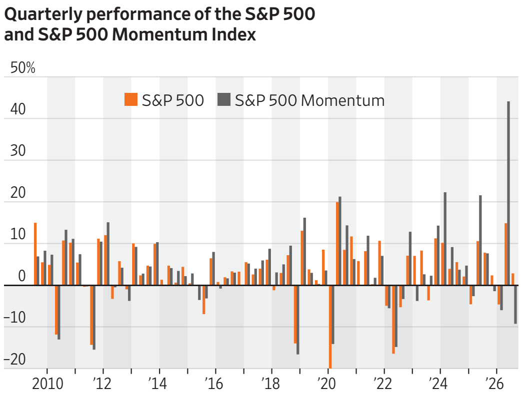
Part of the reason: It takes a while for corporate and other information to spread to various investors, so they slowly build positions, producing buying momentum.

"A huge pension fund can't flip around its positions in a day," Lebron said. "Behavioral biases also account for some of the effect, as well—people tend to sell their winners too early and hold losers too long."

Fans of the strategy point to the human tendency to extrapolate from past results—and chase investment returns—noting that momentum patterns have been evident in markets for decades, even centuries. They also said that some of the worst months for momentum strategies are during longer periods of outperformance.

Some have been doing the trade by buying the strongest investments in a sector while shorting the weakest; others lean in to rising markets or asset classes. Still others use a quantitative approach or turn to banks or others who sell ways to make distinct wagers on momentum as a "tradable factor" or a "thematic basket."





The fans remain believers. "Any strategy has disappointing periods," said Antti Ilmanen, global co-head of the portfolio solutions group at AQR Capital Management.

The surge in Moderna and other biotech stocks helped crush the momentum trade. These shares were among the most heavily shorted in recent years, but positive news on a cancer vaccine from Moderna and Merck sent those stocks flying, crushing some quant and other hedge funds. Moderna was up more than 150% in August.

These traders had an especially rough day on Aug. 19, which Goldman Sachs told its clients was the worst day for "systematic long-short managers" in more than two years. About half of the losses were because of momentum trades, the bank said.

Some traders have begun to short, or bet against, the very stocks that propelled the momentum trade earlier this year. Net short positions in futures tied to the Nasdaq-100 index among speculators recently climbed to some of the highest levels of the past two decades, according to data from the Commodity Futures Trading Commission.

The about-face is a sign of how markets have become more treacherous for investors, even as indexes keep climbing. Part of the issue: the recent meltdown of Situational Awareness, a hedge fund that had piled into some of the most popular momentum shares, including chip stocks. After a period of market tumult, Nvidia shares rocketed almost 9% after its earnings, showing how quickly sentiment can shift.

Some investors said the run-up in share prices driving tech stocks higher reminds them at times of the dot-com frenzy decades ago.

Mike Ogborne, the founder of San Francisco-based Ogborne Capital Management, said he has grown more cautious on technology stocks and is keeping more of his portfolio in cash than he typically does.

And he is nervous about the surge in spending by technology giants and quarterly capital expenditures that keep rising.

"It is a little bit like Cinderella and the clock striking midnight. You don't know when midnight is going to come around," Ogborne said. "They don't send a memo around telling you when the capex cycle is over."

WORLD NEWS

Mines Open New Front in Hormuz Fight

U.S. strikes Iranian launch sites used to deploy explosives in vital waterway

By Georgi Kantchev And Alistair MacDonald

The U.S. decision to strike Iran for the first time in a month shows Washington's determination to win its contest for control over the Strait of Hormuz even at the risk of an escalation that could turn the conflict back into a hot war.

U.S. forces said they hit Iranian launch sites that were preparing to fire rockets used to deploy naval mines in the strait. In return, Tehran fired a salvo of missiles at Jordan, which is home to thousands of U.S. troops. All were intercepted.

Iran's grip on Hormuz has been a source of leverage for Tehran. The U.S. has pressed to restore freedom of navigation.

At the heart of the fight is a fundamental imbalance of mine warfare. Iran doesn't necessarily need to sink ships. It only needs to persuade shipowners, captains and insurers that the risk of encountering a mine while transiting the strait is too high to make the trip.

For the U.S., which wants to ensure safe passage, the mission is harder. It needs to disable or remove every mine.

Iran has exploited its geography and used dispersed, low-profile weapons as it seeks to seed mines and keep shipping at risk. The U.S. uses air and naval patrols and firepower in an effort to suppress threats.

Iran's purported attempt to fire mines into the strait by rocket highlights the complexity of the U.S. effort to keep its shipping lanes open.

The American strike came days after President Trump said the U.S. had removed or detonated all mines in the waterway, and warned that any vessel laying new ones would be destroyed.

Trump reimposed a naval blockade in mid-July, barring Iranian oil and other goods from entering and leaving its ports. The Navy has been eating into Iran's control of the strait by shepherding tankers through the waterway.

Iran's attempt to re-mine the strait indicates its frustration that the U.S. blockade has tilted the balance in Hormuz, said Eliot Cohen, a scholar at the Center for Strategic and International Studies think tank.

The geography of the strait magnifies the weapon's impact. Commercial ships are concentrated into narrow lanes that constrict their ability to dodge mines and can make them easier to target.

Mines offer many advantages in modern naval warfare. They are relatively easy to acquire or make, and they are easy to move and deploy.

Part of the challenge for the U.S. is the many tactics Iran can use to get mines into the water. Iran's regular navy largely has been destroyed but the Islamic Revolutionary Guard Corps still has many small, fast boats hidden along the coast that could drop mines. Iran also has demonstrated a more unusual method: Firing them into the sea from shore.

Such a method could allow Iran to seed waters quickly without exposing a mine-laying vessel to U.S. forces.

Thomas Shugart, a naval consultant and former U.S. Navy officer, was surprised to hear of sea mines deployed from rocket launchers. Still, the size of the rockets suggests that mines fired with them likely would be relatively small and simple, he said.

The U.S. military nevertheless took them seriously enough to warrant destroying them, he added.

Specialized naval vessels sweep wires through the water to cut the cables or chains that anchor mines to the seabed so they surface and can be destroyed, but that is dangerous in the contested waters.

Alternatively, specially-equipped vessels, drones or aircraft mimic the magnetic fields, pressure or noise created by a passing ship to detonate the mines before they can do harm.

Iran's proximity to the strait and the ability to disperse small boats, mines and other weapons along its coast make it difficult to eliminate the threat, said Alessio Patalano, a professor of war and strategy at King's College London. Even after a lane has been cleared, U.S. and allied forces must prevent Iranian forces from laying new mines.

As Rescuers Scour Tunnels, Nepal Flood Toll Tops 900

By Tripti Lahiri

The death toll from last week's massive floods in Nepal and China surpassed 900, as army and police teams raced to reach hundreds of hydropower workers trapped inside mountain tunnels buried in mud.

Nepal's disaster management agency said that 903 bodies had been recovered across the country, many of them found as far as 150 miles from where the flood originally hit on Wednesday. Nearly 4,250 people are missing, including hundreds of workers at hydroelectric projects.

At least 16 people have died in China's Tibet region, and around 550 are missing, according to Chinese authorities.

Chinese leader Xi Jinping said on Monday that the country is sparing no effort in the search for missing people.

In Nepal, more than 20,000 army, police and paramilitary personnel are involved in rescue operations, and more than 9,000 people have been evacuated, mainly by airlift, Nepal Prime Minister Balendra Shah said in a Facebook post Sunday. The floods are the first major crisis Shah has confronted since being elected in a landslide on a wave of Gen Z discontent earlier this year.

"We are working day and night for the survival and relief of every citizen in the affected area by putting the entire state machinery on a war footing," he said.

Rescue operations are at critical stages at several sprawling tunnels in hydropower projects, many of which the tiny Himalayan country added just in the past decade.

When part of a glacier detached in the Langtang mountain range near Nepal's border with China, sending an avalanche of rock and ice crashing down, the debris-laden flood buried tunnels in dozens of feet of mud, blocking their openings.

Nepal's army spokesman said on Monday that army engineers conducted a controlled explosion at the tunnel at the Upper Trishuli 3A hydropower project in Nepal's Nuwakot area and that two excavators airlifted to the location were clearing away mud and debris at a depth of about 30 feet.

On Sunday, a rescue team rappelled over a hole blasted into a section of the tunnel and called out but received no response from inside, the prime minister's office said.

At another hydropower tunnel, Nepali rescuers and foreign nationals reached about 330 feet inside a tunnel only to find it completely blocked, the army spokesman said.

Some 280 hydropower workers have been rescued.

In China, rescue teams restored some mobile communications at the Gyirong Port, the checkpoint on China's side of the border crossing with Nepal, which was engulfed by a wall of water that appears to have razed most of the buildings there. Communications infrastructure and roads were also washed away.

PRIME MINISTER SECRETARIAT/AFP/GETTY IMAGES

A Nepal government photo shows soldiers inside a tunnel searching for trapped workers.

Women Draw India's Anti-Protester Vitriol

By Krishna Pokharel And Tripti Lahiri

Thousands of young Indians took to the streets this summer to air their grievances over difficulties in securing places at universities and finding good jobs. The demonstrations jolted the Indian establishment and transfixed the country.

In the subsequent weeks, the young women who marched are paying a steep price for their activism.

During the protests, Ruchika Singh, 15 years old, appeared in a video directing a profanities at Indian Prime Minister Narendra Modi. Shashi Kumar, a social-media coordinator for the prime minister's Bharatiya Janata Party in Uttar Pradesh state, reposted her videos, as well as others by young women insulting Modi. He asked for help identifying them to report them to the police.

"There was outrage among everyone who had seen those videos and people were saying these girls should be arrested," said Kumar in an interview, adding that he had reposted nine videos, including some of men. "It was indecent."

After the protests, Singh told local media, the police visited her numerous times. A lawyer also filed a complaint against Singh with authorities. It wasn't clear if the police visit or the complaint were related to Kumar's video. The lawyer wasn't available to comment.

Singh's family told local media they had left their home and started wearing veils to avoid being recognized. Singh said she received rape threats online. Police didn't respond to a request for comment.

Some male demonstrators also expressed anger at the establishment in strong and profane terms, some of it directed at Modi. After the protests, Modi urged Indians not to harass "misguided" youth, and said he forgave people who had used vulgar language against him.

In the same speech, he singled out the female protesters. "I can fully understand the anger within society," said the Indian leader, looking hurt. "It is a cultural shock to hear our daughters using such language."

Activists and protesters see the focus on women as an effort to use India's strict social norms dictating women's behavior to tarnish the protests. The demonstrations have been led by the Cockroach Janta Party, a new youth movement founded in response to a remark by India's top judge who called unemployed young people "cockroaches."

"It is easier to tell people that the character of the protest was vulgar, or it was not respectable, or this is something that we as an Indian society should condemn or look down upon...when you present women as the ones who are doing the abusing," said Neha Bora, national president of All India Students' Association, a left-wing student organization that participated in the protest. Modi's office didn't respond to a request to comment.

In one video, Maleeha Akhter, 21, an activist with a left-wing student group, pretends to rock a baby. Another protester plays a tambourine and sings a ditty that mocks a comic book about "Child Narendra," which was published in the 2014 election year and depicts Modi's brave deeds as a child. Akhter has faced online trolling since the video took off. "To speak up, you have to fight both worlds," she said, referring to familial and societal constraints.

The BJP's unit in the central Indian state of Chhattisgarh posted a video of female protesters dancing in the street and said it recalled the legacy of India's Mughal rulers, whom Modi and right-wing Hindu activists decry as invaders. It contrasted the clip with one of a young female athlete in a saffron tunic—a color associated with Hinduism—receiving an award from the country's president.

Activists say focus on behavior tries to tarnish demonstrations.

"Which Gen Z attitude would you choose?" the text accompanying the post asked.

Some women have sought to contain the vitriol by making apologetic videos. Ruchika Singh, the 15-year-old whose anti-Modi comments drew the BJP's attention, said in one post that she'd been carried away by the demonstrations.

The Wall Street Journal was unable to reach Singh or her mother directly.

Following Modi's speech, BJP accounts online have moved away from messaging focusing on the protesters. Mitul Kothari, the Chhattisgarh social-media head for the BJP, says his team is focused on highlighting policies to help young people.

"They are our own children," he said. "Whatever happened was wrong; we acknowledge it, and they acknowledge it, too."

Kriti Yadav, a 21-year-old zoology student, said most of the criticism voiced at the protests was over Modi's performance, not personal attacks.

"We were not using abusive language; we were using criticizing language," she said. "He is our prime minister, he should know that people will question him...He should understand that and not take it as a negative personal attack."

FRANCIS MASCARENHAS/REUTERS

Protesters demand the resignation of India's education minister in Mumbai in July.

Venezuelan Oil Firm Backed by Trump Plans Drilling Push

By Collin Eaton

The Venezuelan oil company run by businessman Alejandro Betancourt plans to dispatch more than 50 drilling rigs to the Latin American country over the next few years, a large rollout meant to turbocharge the country's anemic crude production.

Betancourt's North American Blue Energy Partners, recently backed by the Trump administration, is aiming to move six drilling rigs into its Venezuelan oil fields by the end of 2026, according to an internal document viewed by The Wall Street Journal.

Next year, it plans to deploy 12 more rigs and, in 2028 and beyond, an additional two rigs a month. The total is eventually expected to reach 52.

The document shows the first glimpse of how Trump's deal to take a direct stake in some of Venezuela's prized oil fields might work.

Legal experts and oil-industry executives have raised concerns about whether the transaction is legal under Venezuela's constitution, and if the plan would survive political changes in Venezuela and the U.S.

"This raises more uncertainties" for companies looking to invest in Venezuela, said Ed Chow, a former Chevron executive and nonresident senior fellow at the Center for Strategic and International Studies. "For a capital intensive, long-term industry, uncertainty slows you down. Sometimes it freezes you."

Under Trump's plan, the U.S. would take a direct stake in NABEP, which plans to develop 17 Venezuelan oil fields that house some 65 billion barrels of oil, or one-fifth of the country's reserves.

NABEP aims to operate many of its fields independently, people familiar with the matter said.

A company spokesman said NABEP doesn't comment on commercial matters.

U.S. officials have said the state-backed company would be the second-largest corporate holder of proven reserves after Saudi Aramco.

Venezuela, which is home to some of the world's largest proven oil reserves, has seen production dwindle over the past decade to about 1.2 million barrels of oil a day.

Estimates of the number of active drilling rigs there vary from two to two dozen.

In any case, the total is a far cry from the 220 rigs that were active in 2014, when the country was pumping about 2.5 million barrels of oil a day, analysts said.

NABEP has acquired 23 new drilling rigs sourced from U.S. rig contractors Helmerich & Payne, Precision Drilling and Patterson-UTI Energy, the documents show. It has plans for about 30 workover rigs, which help maintain, repair and boost output from existing oil wells. Many of those rigs are under construction.

The company is paying for the drilling campaign itself, with cash flow from its oil production, the people familiar said. NABEP pumps 200,000 barrels of oil a day and is the second-largest private producer in Venezuela behind Chevron.

The deal with the Trump administration could help it eclipse the U.S. oil giant's output in the Latin American country in a few years, the people said.

Chevron, the only major U.S. oil company operating in Venezuela, produces almost 300,000 barrels a day there.

WORLD NEWS

Jet-Powered Drones Wear Down Ukrainians

Kyiv is struggling to adapt to Russia's continuous attacks amid constant alerts

By Anastasiia Malenko And Alistair MacDonald

The aftermath of the Russian attack around Kyiv this weekend

SVET JACQUELINE FOR WSJ

Russia is trying to pound Ukraine's capital into submission by using its growing fleet of jet-powered drones for nearly continuous attacks, combining improved weaponry with new tactics.

Jet-powered Geran drones, an evolution of the Iranian Shahed model, are stretching Ukraine's air defenses with their speed. Since Thursday, piecemeal Russian airstrikes around the clock have replaced periodic massive barrages at night.

Air-raid alerts throughout the day are threatening to make normal life in Kyiv more difficult than at any time since the early weeks of the war, when the Russian army reached the capital's suburbs. For days, the city's residents have barely had a break from wailing sirens, the buzzing of overhead drones, dashes to air-raid shelters, and explosions.

The rise of jet-powered drones marks a new stage in Russia's war on Ukrainian cities. By this summer, the air defenses around Kyiv and other cities were often shooting down around 90% of older, propeller-driven Geran models, often using cheap interceptor drones.

Ukraine's air force hasn't yet released data showing how many jet-powered drones it is intercepting.

But Yurii Ihnat, a spokesman for the Ukrainian Air Force, told The Wall Street Journal that a higher share of jet-powered drones are reaching their targets than of propeller-powered versions. In some attacks, up to two-thirds of the Gerans—the name Russia uses for Shaheds—used in Moscow's attacks are now jet-powered, he said.

"Right now, Russia's tactic is to wear down Ukraine and Ukrainians—first and foremost, our people," Ukrainian President Volodymyr Zelensky said on Sunday.

Over four days beginning on Thursday, Russia launched 1,500 long-range drones against Ukraine, of which around 800 were jet-powered, Zelensky said.

Several defense-technology companies are working on a new generation of interceptors to counter the threat and bring the interception rate back to over 90%, he said.

Russia is also firing a steady flow of ballistic and cruise missiles at Ukrainian cities, with the former particularly hard to stop because Ukraine is short of Patriot antimissile interceptors.

The combined airstrikes are targeting everything from military and civilian factories to energy infrastructure and the warehouses of grocery chains and other retailers.

The strikes have killed hundreds of Ukrainian civilians in recent months. On Friday evening, a jet-powered drone struck an ammunition depot in a Kyiv suburb, killing 38 people and injuring dozens more.

Moscow has expanded its strategic bombing campaign against cities while its army struggles on the front line. Russian forces have advanced very little in Ukraine's eastern Donbas region this year despite significant casualties, and have lost some ground to Ukrainian counterattacks in the country's south.

Adding jet engines to Geran drones turns them into less-sophisticated cruise missiles, allowing them to reach speeds of around 300 miles an hour—roughly three times the speed of older versions of the Shahed-type drone.

In recent days, Kyiv residents have tried to keep going about their business. But the interruptions from air-raid alerts have been constant. Public transit has become unpredictable. Taxis, increasingly in demand, have raised prices.

Many business meetings have moved to underground parking garages. Evening concerts have moved to subway stations. Many grocery stores and restaurants have been opening and closing repeatedly throughout the day because of the alerts. At night, uninterrupted sleep has become a luxury.

"Because this is happening nonstop and it's putting a strain on all of these things—the transportation infrastructure, supplies, food, and other necessary items—it's become difficult to plan the workweek", said Milena Khomchenko, 28, who lives in Kyiv and works as an art critic. Underlying stress about the attacks and the winter ahead has lately prompted bouts of insomnia until 4 a.m., while sleep deprivation has made work more difficult for her.

"It has become consistently impossible to plan anything," she said.

Russia Is Posing a Wider Risk

Continued from Page One

Searchers collect human remains in Ukraine during the weekend after a Russian drones attack left 37 dead.

SVET JACQUELINE FOR WSJ

vast amounts of aid and arms received from the U.S. and other NATO members since the 2022 invasion. European officials are already talking about another package of comparable size, perhaps to be funded with frozen Russian assets.

Russia, however, has to pay for its own war at a time when its economy is under pressure from Ukrainian strikes and Western sanctions. Two of Moscow's closest allies, Iran and North Korea, are broke. China is taking advantage of Russia's predicament to negotiate lower oil and gas prices, and is facing its own economic headwinds.

Russian leaders believe that they need to reverse this imbalance, fast, said Sergey Lagodinsky, a German member of the European Parliament and a Russian native. "They see that Ukraine can survive and can continue to fight because it has access to outside resources and outside solidarity, and that is what they want to cut or damage," he said.

In one illustration of the disparity in consequences, Russia is struggling with a full-blown fuel crisis because Ukrainian drones have disabled more than one-third of the nation's refining capacity. By contrast, gas stations are functioning normally in Ukraine because of fuel imports from Europe—even though Ukraine's own refineries were heavily bombed as far back as 2022.

Ukraine's military uses logistics hubs in countries like Poland, Germany and Romania, while Ukrainian defense companies have established production lines across Europe, including a plant making ballistic-missile fuel that is under construction in Denmark.

With the exception of Belarus and North Korea, none of Russia's neighbors, including its formal defense allies in Central Asia, are openly helping its war effort.

Seen from the Kremlin, the situation is intolerable: NATO countries are inflicting strategic blows on Russia's economy and military capacity, including its space program, ballistic-missile industry and strategic bomber fleet, with Ukrainian hands—and without paying much of a price.

"There is an asymmetry in terms of the ability to inflict pain and extract costs by Russia from the West for its support of Ukraine," said Alexander Gabuev, director of the Carnegie Russia Eurasia Center in Berlin. Ukraine, he said, has eagerly taken "the war to enemy territory—and it gets a lot of training, advice and material support for these operations behind enemy lines."

Russia is constrained by the fact that Moscow doesn't have a Ukraine of its own, an ally that could strike NATO and absorb the retaliatory blows, Gabuev said. Iran and Yemen's Houthis are the closest approximations—but they have their own priorities focused on the Middle East that are only partially aligned with Moscow's, and they possess little capacity to affect European calculations.

This has left Moscow with hybrid warfare—a loose term that includes a recent drone incident involving a Ukrainian cargo plane at Germany's Leipzig/Halle airport, cyberattacks that disrupted Polish rail services and a series of explosions that struck European defense plants—as a lever to reshape European attitudes.

The notion that Russia must hit targets in European nations to win the war is gaining currency in Moscow, said Hanna Notte, Eurasia director at the James Martin Center for Nonproliferation Studies.

"There are hawks on the Russian side who have been saying for a long time that Russia is fighting with one hand behind its back. These voices are becoming louder and will become louder," she said.

Moscow's next step on the escalation ladder could be a limited one-off attack—possibly using captured Ukrainian drones, but also missiles—on one or two logistics targets involved in assisting Ukraine on European territory, some officials warned. "One way or another, the Russians will expand the war. Their goal is greater influence over Europe and beyond," said Oleksandr V. Danylyuk, chairman of the Center for Defense Reforms in Kyiv and a former military and intelligence official.

Marko Mihkelson, the chairman of the foreign affairs committee of the Estonian parliament, said he agreed that Moscow's strategic goal remains unchanged: conquest of Ukraine and the destruction of European collective security. Yet, he said, there has been no change of Russian military posture along borders from Finland to the Baltic states to Poland—and no indication of preparations for an invasion.

"The picture behind our borders is that all their focus is on Ukraine," he said. "I don't think that militarily they are right now both ready and willing to do something here."

But some worry that could change. Foreign Minister Radoslaw Sikorski of Poland, in a recent essay published by the Economist, warned that Russia's hybrid attacks on European nations represent a reconnaissance by combat that tests reactions and precedes a larger offensive.

To deter that offensive, he said, Europe must convince Russia "that we are willing to sacrifice more than money to stand up for ourselves."

Moscow Faces Pressure From Kyiv's NATO Allies

A Russian attack on one of Ukraine's NATO supporters could backfire, increasing European determination against Moscow.

Despite the mounting problems of the Russian economy—industrial production flatlined in the first half of 2026, with zero growth despite huge spending on new weapons—few Western officials expect that Vladimir Putin will seek peace because of the pain inflicted by Ukrainian attacks.

In Germany's case, the intensification of Russia's hybrid warfare has shown to be counterproductive, said Norbert Röttgen, a prominent lawmaker from the governing CDU party.

"It is becoming increasingly clear to Germans that Russia is also a threat to them, and thus strengthening German political resolve," he said. "Admittedly, a third of the population is against strong support for Ukraine. However, the other two thirds are reinforced in their support."

Ukraine's supporters, and Ukraine itself, have ways of inflicting more pain on Russia if the conflict escalates.

The U.S. could increase Ukraine's ability to target Russian ballistic-missile batteries by allowing the use of the Starlink satellite network to guide drones over Russian territory.

"Ukraine has already started to strike in a way that ordinary Russians can see that the war is real, it is in their homes and not something on television," said Hanna Shelest, security studies director at the Ukrainian Prism think tank in Kyiv. "Yet, Ukraine is still showing a fair bit of restraint. The question is, 'how much longer for?' "

Bessent Faults Canada for Halt In Talks Amid G-20 Divisions

By Matt Grossman And Paul Vieira

Scott Bessent, left, and Federal Reserve Chairman Kevin Warsh spoke at the ministers' meeting.

ALLISON JOYCE/AFP/GETTY IMAGES

ASHEVILLE, N.C.—Treasury Secretary Scott Bessent blamed Canadian Prime Minister Mark Carney for the recent collapse of trade talks aimed at averting steep U.S. tariffs on Canadian goods, and he brushed off concerns about a trade war with America's second-largest trading partner.

"I don't think you can be in a tit-for-tat [trade war] with someone who's 13 times larger than you are," Bessent said in an interview with CNBC Monday. "I think this is very unfortunate that Prime Minister Carney has turned this into a political shouting match."

Bessent's comments were made on the sidelines of the G-20 finance ministers' conference, an annual gathering of economic officials from "the Group of 20" rich and developing countries aimed at promoting cooperation. Yet the breakdown of U.S.-Canada talks could be the start of a prolonged dispute, one of many driving allies apart and making international consensus more challenging than usual at this week's meetings.

Bessent said he plans to meet his Canadian counterpart, Finance Minister François-Philippe Champagne, on the sidelines. Champagne said that one of Canada's goals at the summit is to build more diverse global-trading relationships—a priority for the Carney government because, Canadian officials say, the days of the U.S. as a reliable economic partner are over.

Bessent skipped last year's meeting in South Africa as Trump's trade war strained international ties. This year, the U.S. is host, and ministers are meeting at a sprawling resort in the Blue Ridge Mountains.

Bessent described America's turn to host the G-20 as an opportunity to get "back to the basics" and push for stronger global growth via deregulation. The setting in Asheville, in Western North Carolina, is also meant to showcase the region's recovery from a devastating hurricane two years ago.

This year's meeting has been overshadowed by global tensions once again centered on U.S. policy, and America's fraught relationships with allies and rivals alike.

In August, the U.S. put tariffs on $20 billion of goods from Canada after dealmaking efforts fizzled. Canada intends to hit back with 50% tariffs on roughly 700 U.S. products, from appliances to cheese, effective Sept. 8. The next round of U.S. retaliation—50% tariffs on Canadian-made vehicles and auto parts—is scheduled to hit Jan. 1.

Meanwhile, the Iran conflict is threatening to drive a wedge between G-20 members after Bessent last week warned of sanctions on countries that assist Iran. China, Iran's largest trading partner, is part of the G-20. The war in Ukraine also pits a G-20 member, Russia, against Ukraine's Western allies. Bessent met with Russia's finance minister in Asheville on Monday.

STAGWELL

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WORLD NEWS

Mexico's Sheinbaum Charting Her Own Path

President forces out official in a move that risks irking her allies as well as the U.S.

BY JOSÉ DE CÓRDOBA AND SANTIAGO PÉREZ

JOSE MENDEZ/EPA/SHUTTERSTOCK

Mexican President Claudia Sheinbaum's removal of a governor helps keep the U.S. at bay.

MEXICO CITY—President Claudia Sheinbaum has spent almost two years trying to keep President Trump happy without alienating her mentor, the nationalist former Mexican leader Andrés Manuel López Obrador.

A recent crisis has forced Sheinbaum to chart a more independent course between Trump and López Obrador.

Sheinbaum reached a watershed moment in her presidency recently when she forced out Sinaloa state Gov. Rubén Rocha, an ally of López Obrador, from office.

Rocha had stepped down from office three months ago after U.S. prosecutors indicted him on charges of colluding with the Sinaloa cartel, the largest supplier of fentanyl into the U.S. The charges are part of a pressure campaign by the Trump administration against Mexican cartels, with the U.S. pushing Sheinbaum to extradite Rocha and allow U.S. forces to conduct operations in Mexico—all of which she has rejected.

Rocha denied wrongdoing and said he would cooperate with a Mexican investigation of the U.S. charges.

On Aug. 21, Rocha stunned Sheinbaum when he said he was assuming office again and claimed to have been cleared by Mexican prosecutors.

Soon after Rocha disclosed his plans, a State Department spokesperson said the Sinaloa Cartel is a designated terrorist organization that couldn't operate without the help of corrupt officials. Instead of falling in line behind Rocha, the leftist Morena movement that López Obrador founded, backed Sheinbaum. The Interior Ministry said Mexico's investigation into Rocha is continuing. Two days later, Rocha requested another leave, and the Sinaloa legislature installed an interim leader. Sheinbaum said that Sinaloa's leaders must be "honest."

The episode was a stunning rebuke for Rocha, who until now was seen as untouchable because of his relationship with López Obrador. López Obrador couldn't be reached to comment. Sheinbaum denied any involvement by the former leftist president.

Forcing Rocha out helps keep the U.S. at bay. But he is unlikely to be extradited to the U.S., Mexican officials say. Beyond claims that evidence is insufficient, his extradition to the U.S. would risk exposing broader collusion with organized crime and lead to even tougher demands from the Trump administration, say people familiar with the issue.

Mexico's foreign minister met with U.S. Secretary of State Marco Rubio last week, days after Andrés Manuel López Beltrán, the son of the former president, said that the U.S. had canceled his visa.

Sheinbaum and Morena defended López Beltrán, calling the visa issue the latest U.S. attempt to meddle in Mexico since the indictment of Rocha and other former and current Sinaloa officials in April. The 10 Sinaloans were charged with helping cartel kingpins.

So when Rocha announced on X his return to the governor's office, he might have thought Sheinbaum, echoing her support of López Beltrán, would back his bid, said people familiar with the situation.

State governors have immunity from prosecution in Mexico. A spokesman for Rocha didn't return requests to comment.

Rocha praised Sheinbaum for leading the struggle to transform Mexico and "vigorously defending" the country's independence from "foreign interests." After a few hours of uncomfortable silence, the establishment of Mexico's ruling party came out against the governor.

His bid to return to power came hours after the arrest of Fausto Corrales, a witness in a Sinaloa murder mystery. People familiar with the case believe that Corrales saw the kidnapping of Sinaloa Cartel patriarch Ismael "El Mayo" Zambada in 2024 that sparked a civil war within the cartel.

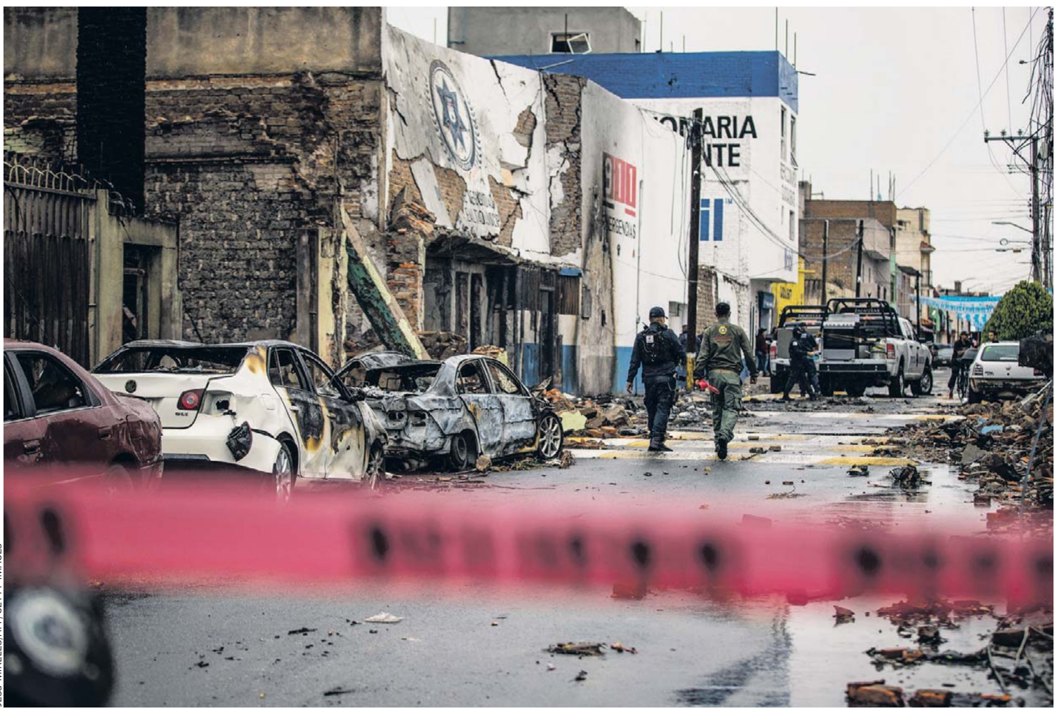
Zambada was kidnapped in Culiacán where he had been lured by his godson, Joaquín Guzmán López, the son of Joaquín "El Chapo" Guzmán. Zambada was stuffed into a plane and flown to the U.S. by Guzmán López, who betrayed his godfather in an attempt to get better terms from U.S. prosecutors in a plea deal.

Corrales was the driver for Héctor Cuén, another Sinaloa politician who attended the meeting with Zambada, and who was killed during the drug boss's kidnapping. Zambada said that he had expected to solve a dispute between Rocha and Cuén at the meeting. Rocha denied any involvement.

An investigation by Sinaloa's attorney general said Cuén was fatally wounded during a botched carjacking at a gas station that night, but Mexican federal prosecutors said the probe by Sinaloa police, state prosecutors and forensic examiners had been fabricated, including a fake video recording of the alleged carjacking.

The Sinaloa attorney general resigned at Rocha's suggestion and federal prosecutors took over the case.

WORLDWATCH



JESS MIRELES/AFP/GETTY IMAGES

BIG BLAST: Vehicles damaged by a car bomb sat outside the municipal police station in Ojocaliente, Mexico, on Monday, a day after the explosion that wounded six people in the state of Zacatecas, which authorities say has key drug-trafficking routes.

ISRAEL, GREECE

Countries Sign A Weapons Pact

Israel signed a multibillion-dollar weapons deal with Greece, the largest between the two Mediterranean countries, as Israeli defense exports soar.

Israel's Defense Ministry on Monday said the 3-billion-euro, or about $3.5 billion, defense-export deal, coined Achilles Shield, is one of the country's largest and includes a multilayered air-defense system for Greece using Israeli technology.

"Israel and Greece share common strategic interests and face shared regional challenges. At a time when actors with hegemonic ambitions are seeking to expand their influence and undermine stability in the region," Israeli Defense Minister Israel Katz said.

The agreement comes as Israeli weapons exports have reached records with more than $19 billion last year, a 30% increase from 2024, according to official data, despite widespread criticism of Israel's conduct in its wars in Gaza, with Hezbollah and with Iran.

—Associated Press

KYRGYZSTAN

Leaders of China, Russia, India Meet

The leaders of China, Russia and India gathered with other heads of state in Kyrgyzstan on Monday for the summit of the Shanghai Cooperation Organization, a group billed as a counterweight to U.S. global influence.

Chinese President Xi Jinping, Russian President Vladimir Putin and Indian Prime Minister Narendra Modi are attending the events in Bishkek, the capital of the Central Asian nation.

Putin met separately with Xi and Modi in two of the many bilateral sessions on the sidelines of the summit. Putin affirmed to Xi Moscow's readiness to make the visa-free regime with China permanent, and he said Russia's relationship with India is strengthening.

Talks between Putin and Iranian President Masoud Pezeshkian are expected on Tuesday, the day of the official SCO sessions.

Russia and Iran see the summit as an important platform to strengthen their relations with non-Western partners.

—Associated Press

FROM PAGE ONE

Divorce Puts Ultrawealthy In Spotlight

Continued from Page One

marital assets should include his stake in Two Sigma, which her attorney estimates is worth $6.2 billion. She wants 35% of that, or $2.17 billion.

The case is offering a view into how Wall Street's hedge-fund titans generate their supersize wealth, and the lifestyle that money affords. It is also showcasing the complex strategies the superrich deploy to protect what they have earned. The onetime couple shared a life that included a 6,000-square-foot home in Short Hills, N.J., a charitable foundation with $900 million in assets and trust funds set up for family members, including the grandchildren they had one day hoped to welcome.

Messy breakups

The unraveling of marriages among the ultrawealthy has long been a subject of fascination on Wall Street and beyond. Earlier this year, billionaire hedge-fund manager John Paulson settled his divorce case after a five-year battle in which his ex-wife sought more than $1 billion in damages. In their 2015 divorce settlement, Citadel Chief Executive Ken Griffin and Anne Dias agreed their prenuptial agreement was valid. It awarded Dias a $22.5 million payment, an additional $1 million for each year they were married and joint ownership of their Chicago penthouse.

The breakup of the Overdecks is a high-profile example of how messy a divorce can get, especially at upper-income levels, when the two sides don't have a prenuptial agreement.

Laura Overdeck has been present in the courtroom, wearing red-rimmed glasses and taking notes on a laptop.

BRIAN ACH/GETTY IMAGES

John Overdeck and his wife, Laura, pictured in 2017.

But she was barred from testifying or introducing her own witnesses after the court found she obtained confidential emails from her husband's computer, among other violations.

The acrimony between the Overdecks, both 56 years old, has been brewing for years. In 2023, a woman showed up at the couple's home, angry that John Overdeck had canceled their dinner plans, according to a New York Post report detailing a police video it said it obtained. He said in the video that they were dating, "but we've never had sex."

Laura Overdeck arrived on the scene at one point and told cops she wanted her soon-to-be ex gone, the Post reported.

The trial is set to resume Tuesday with the cross-examination of John Overdeck. Scheduling conflicts could mean the proceedings drag on for months.

John Overdeck was an International Math Olympiad medalist as a teenager and graduated from Stanford. Laura holds degrees from Princeton and the Wharton School. The two met while working at investment firm D.E. Shaw & Co. in the 1990s, and began dating in 2001.

"I was in love," John Overdeck said from the stand, wearing a navy-blue suit. "And I was very optimistic about our ability to build a future together."

Overdeck founded Two Sigma with Siegel and Mark Pickard in 2001, and married Laura the next year.

In the following years, John and Laura had three children, with Laura handling much of the parenting, John Overdeck testified. He said she had the help of a full-time nanny who doubled as a personal secretary, and a housekeeper who worked 15 hours a week. Still, he said he tried to be as involved as possible, coaching the children's sports teams and rarely working weekends.

John Overdeck was also busy helping to expand Two Sigma. He said in court that his annual guaranteed payment from Two Sigma, akin to a base salary, was about $400,000 at the firm's founding and "hasn't grown that much." But he also got a share of the firm's investment profits, a form of pay known as carried interest that is aimed at ensuring managers' interests are aligned with those of their investors.

All told, he collected $685 million in pay while they were married, he said.

Overdeck distinguished between that compensation and the paper gains he made on the appreciation of his ownership stake in Two Sigma.

> *'I was in love…And I was very optimistic about our ability to build a future together.'*
>
> **John Overdeck, co-founder of Two Sigma**

While those gains were substantial in part because of the work he did for the firm, a good portion of them could be attributed to factors such as the growth of the hedge-fund industry and the run-up in equity markets, he said.

New Jersey separates gains on premarital assets tied to a spouse's work from those driven by the market. The latter isn't considered marital property, said Carl Soranno, chair of the family services practice at New Jersey firm Brach Eichler.

In early 2022, Laura filed for divorce, citing irreconcilable differences. In the police video cited by the Post, Laura Overdeck says she has "hotel receipts" when a cop suggests her husband and the woman who appeared at their home hadn't been dating.

Two Sigma stake

The major physical asset in the case is the couple's New Jersey home. John Overdeck said in court that he was willing to sell his half of the house to Laura at a value of about $6 million—after retrieving items including a Stanford crest and copies from boxes of mementos documenting the children's firsts.

Other assets discussed at trial include various trusts the couple set up over the years. One was a generation-skipping trust that borrowed money from John Overdeck to purchase interests in Two Sigma.

In a separate suit against the couple's estate-planning lawyers at Seward & Kissel, Laura Overdeck claimed they conspired with her husband to give him unilateral control over their trusts and family foundation from as early as 2005. John Overdeck's attorney has denied the claims.

The fight with the biggest price tag is John Overdeck's Two Sigma stake. The sides don't even agree on how much that is worth, with his lawyers pegging it at $4.9 billion.

Attempts by Laura Overdeck's counsel to make public Two Sigma's finances have so far been blocked. Reporters and other observers were asked to clear the courtroom several times so the parties could discuss matters the court had deemed nonpublic.

Any influence Laura Overdeck gains at Two Sigma could upset the delicate and unsteady power arrangement between the firm's founders.

Three years ago, Two Sigma disclosed a rift between John Overdeck and Siegel to investors as a material risk. Before stepping down as co-CEOs, Overdeck and Siegel rarely appeared together at firm events and frequently sniped at each other in meetings.

They settled on a new leadership structure where each could name one member to the firm's two-person management committee. The picks were named co-CEOs while Overdeck and Siegel remained Two Sigma's principal owners and co-chairmen, though Overdeck reappointed himself to the management committee last year.

The fix broke down earlier this year. Siegel replaced his designee on the management committee, who then tried to fire the co-CEO chosen by Overdeck.

"We recognize that recent media attention has extended to John Overdeck's divorce trial, and we expect it to continue," the firm said in a recent letter to investors. "This is a personal matter and we are not a party to those proceedings."

Iceland's EU Rejection Is a Blow to Bloc

Referendum results highlight challenges in attracting richer democratic nations

BY KIM MACKRAEL

BRUSSELS—Iceland's rejection of European Union membership talks is a blow to the bloc's effort to position itself as a geopolitical counterweight to President Trump's high-pressure tactics.

A majority of Icelanders who voted in Saturday's referendum said they don't want their government to resume negotiations with the EU. The 53%-47% result came after the "yes" side argued that drawing closer to Brussels could shield the country of 400,000 inhabitants from a breakdown of global rules.

It was the first time Icelanders were asked about EU membership talks in a referendum, and came after a previous government suspended negotiations with the bloc in 2013. More than 80% of eligible voters cast a ballot, Prime Minister Kristrún Frostadóttir said.

Icelanders had to decide whether their country—with no military and little economic clout—could gain strength by casting its lot with the bloc's 27 countries.

It is a dilemma many countries have grappled with since Trump's return to office. Canadian Prime Minister Mark Carney has sought to rally so-called middle powers to push back on U.S. tariffs and threats. The EU, itself a collection of small and middle powers, has struck free-trade deals with India and Australia while drawing closer to Latin American economies and to East Asian allies including Japan and South Korea.

Some Icelanders saw Trump's tariff policies and push to take over neighboring Greenland as reasons to seek protection from within the bloc. Others worried that joining the EU would hand too much power to Brussels.

"A 'yes' vote would have shown that countries—particularly rich countries in the north—are buying what the EU is selling as a source for stability," said James Batchik, deputy director of the Atlantic Council's Europe Center.

Instead, Batchik said, Icelanders decided the potential benefits of membership weren't enough to override worries that joining the EU could undermine the country's sovereignty.

JONATHAN NACKSTRAND/AFP/GETTY IMAGES

A demonstrator held a sign saying 'EU no thanks' on Thursday.

Iceland, a founding member of the North Atlantic Treaty Organization, is wealthy and politically stable and would have had a relatively easy path to becoming an EU member. A successful bid from Iceland could have benefited the bloc, which hasn't added a new member since 2013, by showing it remains capable of growing after the U.K.'s exit.

Still, the effects of Iceland's rejection for the EU are mostly symbolic: With a population equivalent to less than 0.1% of the current EU's head count and deep ties to the EU for decades, Iceland's membership wouldn't have significantly increased the bloc's economic or political heft.

Iceland is already part of the European Economic Area, which extends the EU's single market to a handful of non-EU countries. It is also a member of the EU's Schengen visa-free area and signed a security and defense partnership with the EU earlier this year.

The referendum's outcome means the EU will miss an opportunity to be a bigger player in Arctic security and to boost the international standing of the euro currency, said Steven Blockmans, deputy director of the Estonia-based International Centre for Defence and Security. He said the bloc could also have benefited by gaining a net contributor to the EU's budget.

Iceland's rejection could reinforce a view that membership "is attractive only to poorer and conflict-ridden countries, not to affluent European democracies," Blockmans added. Ukraine and several Balkan countries are eager to join.

Frostadóttir on Sunday said the outcome suggests Icelanders are satisfied with their current relationship with the EU. Many Icelanders gave priority to economic issues and sovereignty over security and tariffs, she said.

"For a lot of people, this discussion was around currency, interest rates, inflation," Frostadóttir said. "You know, kitchen-table matters."

Frostadóttir, who had advocated for Iceland to negotiate with the EU, said her government won't pursue membership during its four-year term, which ends in 2028.

Kristinn Árni Hróbjartsson, co-founder of the Icelandic think tank Varda, cautioned against overinterpreting Icelanders' decision as damaging to the EU. The question about joining the bloc was hotly debated in Iceland and the referendum was always going to be a tight race, he said.

Part of the reason Icelanders rejected the talks is likely that they feel well-protected through the country's NATO membership and a defense pact with the U.S., Hróbjartsson added.

Fish were also a factor. The EU typically requires members to participate in its common fisheries policy, although EU officials had suggested they could offer some flexibility. Iceland's fishing industry wanted the country to maintain full control over when and where fishing takes place.

EU officials said on Sunday that they respected the Icelanders' decision and that the country remains a close partner.

Heat Hurts Europe's Economy

Continued from Page One

summer for the ages. A series of punishing heat waves shattered temperature records. Wildfires turbocharged by the heat and lack of rain decimated France and Spain and popped up in unlikely places like Wales. Rivers across central Europe nearly ran dry. England's rolling green hills and city parks were baked brown. Crops withered, riverboats ran aground, trains derailed.

The continent was already the fastest warming on the planet, with temperatures around 2.5 degrees Celsius warmer than in the preindustrial era, compared with around 1.4 degrees for the Earth as a whole. Ironically, one reason the region may be warming more quickly is its success in reducing air pollution, thinning the blanket of aerosols that bounce back solar radiation.

This summer took things to a new level. It was the hottest June-to-July period on record in Western Europe, according to Copernicus, the European Union's Earth observation program. July's 6.5 millimeters of rain in England, about 0.25 inches, was the lowest since records began in 1836 and less than half the next driest July—in 1911.

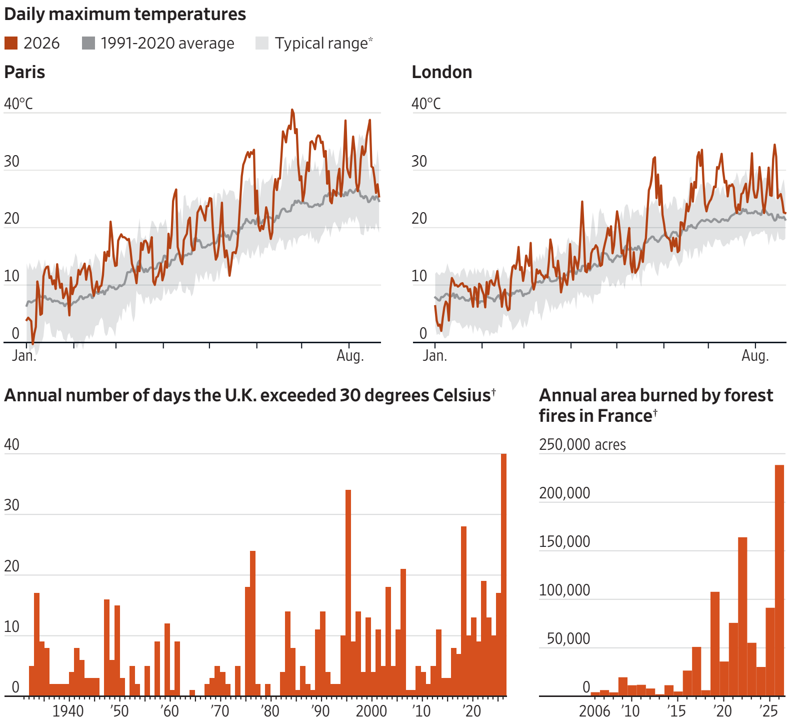
Levels of soil moisture across the Iberian Peninsula, France, Germany, Austria and Hungary were the lowest in a data set going back to 1979, hitting harvests. Four of Europe's most famous rivers—the Loire, Danube, Rhine and Po—all hit record lows in August.

The scorching summer offered a sneak peek of what's in store elsewhere, including in the U.S., as carbon emissions continue and temperatures climb in the years and decades to come.

Europe has long enjoyed relatively mild weather, making air conditioning a luxury. Rain was relatively steady, allowing agriculture to be far less reliant on irrigation, especially in central and northern Europe. That's now changing, and it's changing fast.

JULIETTE PAVY/HORS FORMAT FOR WSJ

Philibert Perrin checks his vines at Château Carbonnieux in Bordeaux.



*From 5th to 95th percentile. †2026 data as of Aug. 28
Note: 30 degrees Celsius=86 Fahrenheit
Sources: Guido Cioni/PointWx, data from ECMWF/Copernicus (daily maximum temperatures); Met Office (days exceeding 30 degrees); European Forest Fire Information System (fires)

Wilting on the vine

The U.K. had never recorded a temperature of 38 degrees Celsius, or about 100 degrees Fahrenheit, before 2003. It's now done so six times, including twice this summer. The summer also doubled the previous record number of days above 34 degrees Celsius, or 93 Fahrenheit—14 versus seven in 1976, the year of a notorious heat wave.

Factories cut back production and businesses closed. Schools across England and France sent students home when temperatures spiked, and officials in England are now considering changing the calendar to end classes weeks earlier. Many wealthy southern Europeans are getting ahead of the changes by moving to cooler locations such as the higher-altitude landscapes in northern Spain.

Some make the case that a warmer climate should be seen as a win—a chance for the sun-starved British and northern Europeans to enjoy hot weather, and a tourism opportunity for cooler spots like Scotland and Norway.

"Let's celebrate some of these things, rather than just be sort of doom and gloom about it," said Richard Tice, deputy leader of the Reform UK party, which opposes the government's drive to lower carbon emissions to net zero by 2050.

Tice said warmer weather has upsides: Britain's sparkling wine would soon challenge French Champagne.

Farmers are in no mood to break out the bubbly. Three-quarters of England is in drought, the first in five years. Britain's harvest may be the smallest on record, driving up already high food prices, according to the Energy and Climate Intelligence Unit, a U.K. nonprofit. Vegetables are stunted. Milk production is down because the cows are stressed and grass isn't growing fast enough for them to feed, forcing farmers to dip into winter feed.

"We've never known anything like it," said Tim O'Malley, chairman of Nationwide Produce, which grows vegetables across a thousand acres in East Anglia. In July, just 2 millimeters of rain fell in East Anglia, drying out fields and shriveling vegetables in one of the U.K.'s breadbaskets.

Like many winemakers around Bordeaux, Perrin of Château Carbonnieux never installed an irrigation system. He never needed it.

In mid-May, however, Bordeaux went bone dry. A succession of heat waves pummeled the area. Perrin and 11 other winemakers in the Pessac-Léognan appellation had to receive permission to water their vines from France's winemaking authority.

Perrin then assembled a makeshift watering squad—one person to drive the tractor and four others to trail with hoses—at a cost of about €1,500, or $1,750, a day.

The water saved the young vines, but the heat ripened the château's grapes faster, forcing Perrin to start harvesting in early August, three weeks early. For many grapes, it was already too late. Entire bunches had their skin scorched. Others had been reduced to raisins. Perrin estimates the heat will cut white-grape production by a third and red grapes by half.

The record heat will eventually add 1-2 percentage points to food inflation and knock 0.2 percentage points or so off euro-area GDP growth in the third quarter, according to Tomas Dvorak, an economist at Oxford Economics. In a region where growth has been anemic, "this might be enough to make the economy stagnate," even if it's unlikely to cause a recession, he said.

The biggest hit on overall growth is likely to come from low water levels in the Rhine disrupting the flow of goods to and from Germany's manufacturing companies, Dvorak said. That has cascading ramifications for their suppliers and customers across economies such as Poland, the Czech Republic and Slovakia.

The combination of heat waves, drought and wildfires is expected to cost France, the EU's second largest economy, up to €15 billion, or 0.5% of GDP, according to French Environment Minister Monique Barbut.

Longer term, a hotter climate will mean falling worker productivity. Each degree hotter between 30 and 35 Celsius lowers worker productivity by 3%, says German insurer Allianz. If the five hottest years of the past decade are repeated in the next five years, vulnerable countries like France could see a cumulative GDP hit of 5% to 7% by 2030, some $240 billion, it estimates.

While Europe has slashed carbon emissions, many experts say governments have been slow to focus on adaptation, including how to protect an elderly population without access to air conditioning. Leaders must scramble to retrofit hospitals and schools with air conditioning, support farmers switching crops, and build out irrigation systems and water reservoirs.

'You see the plant suffering, and you've got to do something.'

The U.K. hasn't built a major new water reservoir since 1992, even as its population has grown by 12 million people. Now, it lacks water at a time of soaring demand from consumers and new industries like data centers.

New landscape

English summers are increasingly marked by a once rare ritual: water companies imposing monthslong bans on the use of garden hoses, leaving a nation of gardeners to hand-water their gardens or watch their plants die. One water company said its ban will last the rest of the year, no matter how much it rains.

Over his 40-year career in horticulture, Tim Upson has seen climate change firsthand, including over the past decade in the Royal Horticultural Society's gardens in Wisley, Surrey, a sprawling 240-acre area with more than 25,000 distinct types of plants and trees.

A few decades ago, he noticed spring arriving a few days or weeks early. Now, it's often six or seven weeks early. "It's frightening," said Upson, the RHS head of gardens.

Plants that are a staple of English gardens—water-loving hydrangeas, rhododendrons, azaleas—will be harder and harder to maintain in southern England and become less common, he said. Dogwoods and cherry trees, which have shallow roots, will struggle.

Already this year, thousands of white spruce trees in the area around Wisley had browned leaves in early August, a sign they won't cope with a hotter climate. The lifespan of England's quintessential oaks, meanwhile, could dramatically shorten to 100-150 years in hotter weather compared with the current 400 years or more.

To plan for the shift, the RHS at Wisley is cataloging an estimated 400,000 varieties of plants and trees in the U.K. to help identify which will thrive in a hotter climate, one with prolonged droughts but also greater chances of flooding from wetter winters.

Griffiths walked Wisley's gardens on a recent hot day. It hadn't rained for 61 consecutive days—beating the previous record of 36 days set in 1976. He pointed to one of his favorite trees, a Japanese katsura, that smells like cotton candy when its leaves begin to fall in autumn. The scent already lingered in the air in mid-August.

"I fell in love with this tree. I planted one in my garden," Griffiths said. "It's not going to survive going forward."

In southwestern France, the hurdles to adaptation are formidable. The coastline is lined with maritime pines, originally planted under Napoleon III to shield local villages from advancing dunes. With their deep roots, the trees thrived in the sandy soil, becoming Europe's largest artificial forest and a key driver of the area's economy.

This summer, a combination of dry air, strong winds and dry vegetation turned the area into a "little bomb," said Jean Jacques Maurin, a local tree farmer.

In late July, a brush-clearing operation ignited a fire that burned more than 100,000 acres, forcing 224,000 people to evacuate.

Around 10 million trees burned in the fire, the equivalent of an entire year's harvest, according to Bruno Lafon, president of DFCI Aquitaine, an association of local forest owners.

Weaning the region off the highly flammable trees, Lafon said, is difficult because local industry is structured around the pine, with 60,000 jobs and €10 billion in annual revenue. "If we do something else, the factories will leave," he said.

Maurin saw 80% of his pines burn. The earliest he can replant is 2029, he said, to ensure parasites from the burned wood don't affect his saplings. Because the trees take up to 50 years to reach maturity, he considered them a generational investment, one that the 60-year-old had planned to pass down to his daughter.

Now Maurin walks among blackened tree trunks. Dead pine needles and soot carpet the forest floor.

"I would have preferred that my house burn instead of my forest," he said.

PERSONAL JOURNAL.

◀ Rhonda Lynn Orr holds an old photo of her and aunt Mildred Callahan.

A Disinherited Niece Faces Theft Charges

Elderly are having to rely on family members or friends to handle finances

By Ashlea Ebeling

Rhonda Lynn Orr was written out of her aunt's estate in 2013. By the time the pandemic rolled around, she had turned up again in her aunt's life and taken charge of her care. Soon after, authorities say Orr drained at least $690,000 from her aunt's accounts.

Now, Orr is in jail facing charges of theft from a vulnerable adult. Her aunt is under the care of a court-appointed guardian.

In an interview from jail, Orr disputed the charges.

As Americans live longer, more are having to rely on family members or friends to handle their finances when they no longer can. It is a fraught situation and is fueling financial exploitation of the elderly, according to the National Council on Aging.

With people often left to the mercy of caretakers to act in their best interests, banks are often the front lines for ensuring there is no misuse of funds. More than half of states either mandate or permit financial institutions to flag any suspicious account activity to regulators or law enforcement, and states have been strengthening these laws.

But by the time law enforcement is notified, life savings could already be depleted.

In the case of Orr and her aunt, Mildred Callahan, the state of Arizona eventually intervened.

"If you've got your squad, it's a lot harder for this to happen," said Tom Asimou, a probate litigation lawyer who represents Camelback Fiduciary, the private guardian appointed by an Arizona court to care for Callahan and keep Orr away.

Callahan, a 92-year-old retired schoolteacher, is unable to participate in interviews because of her dementia, according to Asimou. Orr's alleged mishandling of her finances left Callahan facing a $312,000 tax bill.

In a June interview before her arrest, Orr said she stepped back into her aunt's life to help care for her. She said she grew up near Callahan, who had been "like a pseudo-mom to me."

"Their whole narrative is completely false," said Orr, 63. "I would do anything to make sure she was well cared for, but everything got turned around. It just all fell to pieces."

She said she is trying to find a lawyer to fight Camelback.

A break in relationship

After her career as an elementary school teacher in Ohio, Callahan retired and moved to a senior community outside Phoenix in the 1990s. A family scrapbook includes photos of Orr as well as a newspaper clipping showing Orr was a runner-up in a teenage pageant.

Then at some point, there appears to have been a break in the relationship.

In 2013, Callahan created a living trust that names herself as trustee, a cousin as the successor trustee and the primary beneficiary of her entire estate at her death.

Also included in the document: a provision specifically disinheriting Orr. "RHONDA ORR, who may otherwise have been entitled to a portion of my Estate by operation of law, is specifically omitted from any portion or distribution from my estate," the provision states.

Court filings don't detail what prompted the move, but Orr said her aunt had been upset that she hadn't been around. "She has a thing with feeling abandoned," Orr said of that time in their lives, adding that later, "We figured it out."

Orr said she moved to Phoenix in 2012 and then nearer to Callahan in 2017. During the Covid pandemic, Orr said she hired caregivers for her aunt.

▲ Rhonda Orr, left, is in jail and Mildred Callahan is under the care of a court-appointed guardian.

It was around this time that Arizona Adult Protective Services began getting alerts about Callahan. Some were from financial institutions flagging unusual transactions in her accounts.

The reports detail suspicious checks and transfers to Orr, a new credit card opened under Callahan's name, a withdrawal from Callahan's CD account, and a suspicious request to cash out an annuity. One report alleged that Orr impersonated Callahan to request a $200,000 transfer. Bank of America said it denied that request.

The bank said it filed multiple reports with Adult Protective Services and law enforcement agencies in Arizona and Georgia and prevented many suspicious transactions.

"Elder abuse is not only tragic but criminal, and we work closely with government and law enforcement and rely on them to hold perpetrators accountable," a Bank of America spokeswoman said.

Orr denied impersonating her aunt and said she made transfers to pay for Callahan's caregivers and for a move to Georgia. "There wasn't a decision that she wasn't completely agreeing on," she said.

Meanwhile, another report said a caregiver was owed $31,000 for services.

A member of the caregiver's family found Asimou, who specializes in these types of cases, to intervene, he said.

Asimou filed a petition in probate court in April 2024 for Camelback to take over Callahan's care. The court put Camelback in charge of Callahan's medical care and finances. Asimou said he and Camelback are being compensated with Callahan's funds.

Around this time, Asimou said Orr took Callahan to Georgia—a situation he called a "kidnapping," because Callahan couldn't consent to the move. Orr used $529,000 from Callahan's accounts to buy a house there in cash and title it to herself, according to court records. She said she put the house in her name because, she said, Callahan was in a rehab facility at the time.

By May 2024, the state issued a "substantiation report" that found a vulnerable adult had been exploited, a finding that can trigger a criminal prosecution. It found that Orr made transactions, including the home purchase, using no less than $694,000 of Callahan's money without Callahan's knowledge or permission. It recommended that Orr be placed on a perpetrator registry.

A $312,000 tax bill

Camelback was given the responsibility of gathering Callahan's assets and getting her situated in an appropriate care setting. That meant selling Callahan's Arizona home, getting a Georgia court order to evict Orr from the Georgia home and selling that, too, and arranging for Callahan to be medically evacuated back to Arizona.

Orr said she fought to remain her aunt's caretaker. In June 2024, she met with an elder law firm in Georgia to have new estate planning documents drawn up for her aunt. Callahan wasn't at that first meeting but attended a signing meeting, according to court records. Under the new plan, Orr was named trustee and the sole heir of a new family trust.

Camelback cried foul, and added the new estate documents to its list of matters to unwind.

In October 2024, in a civil proceeding, a court invalidated the deed to the Georgia house and voided the new estate planning documents, citing undue influence. It declared the 2013 trust valid, and entered a judgment against Orr for $529,000.

Callahan's life savings are dwindling. Camelback sold the Georgia house at a loss, and her new care facility costs $8,000 a month.

Orr had sold securities from Callahan's accounts and failed to file tax returns, leaving Callahan with unpaid taxes of $312,000, including late penalties, according to Asimou. Paying it could have put Callahan at risk of depleting her remaining funds, given the high cost of care, he said. She has a teacher's pension of $3,177 a month, plus Social Security.

In June, the Internal Revenue Service agreed to abate the penalties, reducing the bill to $237,000, and accepted a monthly installment plan with the balance due within 120 days of Callahan's passing.

Orr was taken into custody in Georgia in early August, and transferred on Thursday to jail in Arizona, where she is awaiting arraignment.

Callahan is now in a care facility back in Arizona. Her cousin, Renee Paige, 82, named in her 2013 trust, was at a recent online hearing where the court reviewed Callahan's annual finances.

Paige said in an interview that Callahan had a history of giving money to Orr. "She was in and out of her life a lot, and 'Billie' [Mildred] supported her because she said she was her only living relative."

We Want to Know

Scan code to let us know about the challenges that come with caring for your kids and aging parents.

COUNTERCLOCKWISE FROM TOP: DANIEL LOZADA FOR WSJ; COURTNEY PEDROZA FOR WSJ (2); MICHAEL S. WILLIAMSON/THE WASHINGTON POST/GETTY IMAGES

New Europe Routes To Fill Summer Plans

By Dawn Gilbertson

The following items first appeared in Dawn Gilbertson's weekly Travel newsletter.

It's not too early to start thinking about your summer 2027 travel plans, and airlines are teeing up some exciting new routes to spark inspiration.

United, Delta, American and Alaska have all recently announced new Europe routes.

United, as always, made the biggest splash, announcing 10 new international destinations. I was thrilled to see Ljubljana, the capital of Slovenia, on the list.

My daughter and I visited in April and I haven't stopped raving about the place. United will offer nonstop service from Newark, becoming the first U.S. airline to do so. (I flew Air France from Phoenix to Paris and connected there.)

CEO Scott Kirby told me it's at the top of his personal list of new places to visit after the service starts. This on a list of new destinations including Luxembourg; Ibiza; Marseille, France; Terceira, Portugal; and Olbia and Catania in Italy.

American Airlines announced seven new international routes, including nonstop flights to Vienna and Porto, Portugal, from its Philadelphia hub. It will be the only U.S. airline offering nonstop flights to Vienna.

Add in Alaska Airlines' new nonstop flights from Seattle to Athens and Paris and Delta's plans to fly nonstop between Austin, Texas, and Paris, and you've got a stellar summer 2027 lineup.

Amtrak lounge bliss

Anyone who has been to Moynihan Train Hall at Penn Station in New York can tell you two things: It's absolutely stunning and snaking lines are the norm.

I enjoyed the former and escaped the latter with one simple trick recently. I purchased a $50 pass to Amtrak's Metropolitan Lounge.

The lounge is included with certain premium tickets and Amtrak status, but I had neither on my one-way trip from New York to Connecticut. (My cross-country adventure on the California Zephyr last fall included lounge access because I booked a private room though I didn't make it to Chicago in time to use it.)

◀ Ljubljana, Slovenia, is one of United's new international destinations.

The New York lounge is a flagship lounge for Amtrak and includes food and complimentary coffee and soft drinks. Alcohol is extra.

It's no Delta One. There was no caviar like I was treated to in Miami a few weeks ago. But what a relaxing oasis above the crowds with several seating areas. There's a counter with sandwiches, pastries, salads and more, but no buffet. There's an assortment of Hal's chips, popcorn and pretzels, which were a nice snack on the train.

The best parts, especially if you're not traveling light: priority boarding plus the option of Red Cap service to your train straight from the lounge. The only instructions when I checked in at the lounge: "Please come to the front to meet your Red Cap 20 minutes before departure." An employee took a small group of us and our bags directly to the platform. (Red Cap service is free for all at select stations on Amtrak; tips are encouraged.)

Amtrak has seven Metropolitan lounges across the country. All but New York charge $35 for a day pass. You can also redeem Amtrak loyalty points for a visit.

Night discounts

Did you know Amtrak offers discounts on late night and early morning trains in coach on the Northeast corridor? The Night Owl fares cover select trains departing from 6 p.m. to 8 a.m. in cities between Washington, D.C. and Boston. You can even combine them with the 15% student discount.

To subscribe to Dawn's Friday newsletter, go to **wsj.com/newsletters.**

DAWN GILBERTSON/WSJ

‘Survivor’ Host Says He’s an Introvert

The 64-year-old TV star and producer reflects on getting dogs, what’s next for the reality show and his iconic khaki shorts

By Olivia Hau

For nearly three decades, Jeff Probst has welcomed a new set of strangers to a remote location, where they make alliances, betray each other and get voted off in pursuit of a $1 million prize. At 64, and with the show’s 51st season premiering in September, the host and producer has no plans to slow down.

“I don’t know how much of me has helped shape ‘Survivor,’ and how much of ‘Survivor’ has helped shape me,” he said, dialing into our Zoom call with his dogs at his feet at his Los Angeles home, where he lives with his wife, Lisa Ann Russell.

Probst recently received one of entertainment’s biggest honors—a star on the Hollywood Walk of Fame. Here, he reflects on how he unwinds and where he’s taking “Survivor” next.

▲ Jeff Probst with Kaya, a Doberman shepherd mix, and Stevie, a bernedoodle.

How many khaki shorts do you own?
On location, I have quite a few pairs. When I come home, I will occasionally wear khaki shorts, but they can’t be “Survivor” shorts. I have to have some separation between the show and my normal life.

Tell me more about your work-life balance.
I have basically thought about “Survivor” every day of my life. It can be a luxury to be consumed with it, and it can also be a burden. My entire life can’t be about “Survivor”—I have an incredible wife, kids, dogs, friends, life. I’m learning that regenerating sometimes is just being quiet and letting ideas percolate.

I see your dogs in the back. What are their names?
They’re both girls: Stevie [a bernedoodle] and Kaya [a Doberman shepherd mix]. For years I felt like, our life is so busy, can we not add a dog? From the moment I met our first dog, I realized what an idiot I’d been. I’ve been missing out on all this love. Very soon after, we got a second dog.

Where do you find your creative inspiration?
If I’m walking around with our dogs, I’m listening to a podcast. My favorite right now is “The Telepathy Tapes.” It’s a mind-blowing dive into human communication and extrasensory perception. I’m fascinated by it.

What have you been watching lately?
My wife and I love “Landman.” We just finished “Your Friends & Neighbors.” That’s how we wind down. We used to always have a glass of wine together. Lately we’ve been experimenting with nonalcoholic drinks. Last night, I made one with cucumber, jalapeño, honey, sparkling water and ginger. It wasn’t great.

What’s your comfort meal?
It’s either Mexican food, or something really good and greasy like a Five Guys burger and a bag full of fries.

FROM TOP: JEFF PROBST; MONTY BRINTON/CBS

◀ Probst filming the first season of ‘Survivor,’ which aired in 2000.

‘Survivor’ is such a fascinating experiment of group dynamics. What are you like in a group setting?
I was typically the person who might ask a question that stokes conversation. But lately, this came to me in a moment of meditation: When everybody is screaming to be heard, talk less, listen more. It’s been a profound experience for me to see how differently a dynamic plays when I just listen.

If you could be on any reality TV show that’s not ‘Survivor,’ what would it be?
It may seem unusual, but I am really an introvert. The thought of being on an unscripted show and having somebody watch me and letting them see all of my quirks—terrifies me. I’d be awful at it.

What was your reaction to being awarded a star on Hollywood’s Walk of Fame?
A couple of years ago, we were walking past the stars with our son and he said, “Do you think you’ll ever have a star?” I said, “Why do you think I deserve one?” He said, “25 years of ‘Survivor’? Of course you deserve a star!” That permission from our son is still helping me process it. I wish my mom were still alive to see it, because there’s no question she would be camped out on Hollywood Boulevard right now.

What does success look like for you?
Professional success comes down to leadership. I’m most proud of promoting people before they even thought they were ready. I could tell you countless stories of people who came in knowing nothing about TV, who are now in massive responsible roles on our show. And as a result, the culture is unlike any I’ve ever seen.

Why do you think ‘Survivor’ appeals to so many generations?
There is something spiritual about “Survivor.” Whether you’re eight years old and you’re imagining doing it one day, or you’re 88 years old and maybe wishing you had done it. You can play the game or you can live vicariously. You can root for people or you can judge them. You can ask yourself what you would do, or go out there and find out for yourself.

When you think about someone eventually carrying on the ‘Survivor’ legacy, is that something that excites you?
This is not on my agenda, but when the time comes to hand over the stewardship of the show, I will be very excited to do it. My hope would be that the next steward of “Survivor” is somebody completely different from me because then, you get a different point of view that’s going to guide this ship. I am as engaged with “Survivor,” as you and I are speaking today, as I ever have been.

This interview has been edited and condensed for clarity.

Hockey Star And Salad Connoisseur

Continued from Page One

would like a little more crouton,” she said over the din in the restaurant’s wood-paneled Manhattan dining room.

Why should we care what a hockey star has to say about arguably the world’s most popular salad? Because in between minding the net for Team USA, Frankel, 27, has quickly emerged as one of the foremost connoisseurs of the dish.

She has eaten more Caesar salads than she can reliably count and formally reviewed dozens. She’s tried them everywhere from McDonald’s to Michelin-starred haunts, in tony European hamlets and Midwestern hockey towns. As her travels take her across the lettuce-eating world, over 65,000 Instagram users follow along.

Her devotion is unimpeachable. A few days before we met, a more conventional-looking shrimp Caesar in Palm Beach, Fla., had notched an 8.3. The day before that, she gave a bulky chicken Caesar wrap in Minnesota a 9.5, one of her highest-ever scores.

Frankel didn’t even try a Caesar until she was 15 or 16 and didn’t take a true liking to them until she was living on her own in Boston. “I didn’t realize what I was missing and then I became quite obsessed,” she said. “I was like, ‘I need to make up for missed time.’”

At a certain point, her friends and teammates began to worry. “They’d say, ‘This is crazy. You can’t actually like salad that much.’ And I was like, ‘No, I actually do.’”

And so, at the urging of a friend who had her own espresso martini-themed Instagram account, Frankel launched PainByRomaine, her review account for Caesar salads, in 2024.

Her first post, about an underwhelming offering from a salad joint in Quebec, was mostly seen by friends and family. By then, however, teammates had already begun to ask her to bring the salads to team dinners. Caesar fans eventually found their way to her account.

Then came the 2026 Winter Games in Milan, where both Frankel’s star and her Caesar account truly took off. The U.S. team went undefeated, including an overtime thriller against Canada for the gold. Frankel allowed two goals across five games and set an Olympic record with three consecutive shutouts.

During the run, word got out about Frankel’s side gig. Over dinner with her parents in Milan, she checked the account for the first time in a few days.

THE BOSTON FLEET/PWHL

▲ Aerin Frankel showcased her salad chops at a shoot for the Professional Women’s Hockey League.

“It had gained like 15,000 followers,” Frankel said. “I just could not stop laughing.”

Incidentally, the city that launched Frankel is home to her least favorite Caesar, an olive-strewn offering that yielded her lowest-ever rating of 5.4. “Milan does Caesar a little bit differently,” she explained. In her formal review, she was less forgiving: “Green olives don’t belong on Caesar and this one was lacking an adequate amount of croutons.”

Since then, Frankel has learned more about the dish than she ever expected to know. The salad, according to legend, is named for a Tijuanense chef (Caesar Cardini) rather than the Roman dictator who certainly could have benefited from Frankel’s defensive skills.

Frankel’s followers frequently send their own reviews, restaurant recommendations, photos of their creations and, one time, a shipment of homemade Caesar-flavored butter.

“People get really excited about it, especially if they see I rated one in their hometown.”

Frankel’s dispatches showcase the culinary world’s relative lack of purism about the dish. She has seen formats incorporating sandwiches, hot dogs and pizzas, and toppings ranging from Nashville Hot chicken and bacon strips to elote and lobster.

Frankel’s contributions to salad discourse have gotten at the wildly subjective nature of what makes for a hail-worthy Caesar.

At Hawksmoor, the delicate ribbons of Cantabrian anchovy undercut her previous bias against the fishy staple. “I like those smaller pieces,” she said. “Sometimes I’m scared away when they put the whole anchovy on top of the salad, but I actually was surprised how much I liked this one. It adds some salt.”

Besides spreading the good word about Caesars, her project gives her far-flung teammates a way to keep in touch during the offseason. “They’re always sending me photos when they order them,” she said. Frankel occasionally posts guest reviews by her teammates.

While the 2030 Games in the French Alps await, Frankel is minding the net for the Boston Fleet in the Professional Women’s Hockey League. The league will soon expand from eight teams to 12, which means four new cities for Frankel to visit and try out their salads.

Meanwhile, two delis near her childhood home in Chappaqua, N.Y., have added Caesar wraps to their menus in her honor.

One of them has already earned an 8.5.

ARTS IN REVIEW

By Diane Cole

Church's 'Cayambe' (1858), a painting of an Andean peak in Ecuador, left, and his 'El Khasné, Petra' (1874), inspired by his travels in the Ottoman Empire, below.

ART REVIEW

A Painter's Wanderlust

Frederic Edwin Church drew inspiration from his travels around the world

Hudson, N.Y.

Amid all the hoopla over America's 250th birthday, there's another anniversary that shouldn't be overlooked: the 200th birthday of the 19th-century American landscape artist Frederic Edwin Church (1826-1900). The best way to celebrate it is to view the world through his eyes, via the stunning paintings and intimate oil studies he composed throughout his career. They depict a natural world often enlivened with the dramatic splendor of rushing falls, flowing lava, and vivid arrays of sky, clouds and storms. They are further distinguished by their meticulous topographical, biological and marine detail and precise layering of colors.

Their settings and subjects further reveal that categorizing Church narrowly as a member of the Hudson River movement overlooks the fact that his canvases reflect a far broader swath of the world. Throughout his career, and especially in his younger years, he would spend weeks and months at a time exploring and documenting far-flung, often remote locales in South America, the Arctic and the Middle East, as well as Europe and various regions within the U.S. and Canada.

"Frederic Church: Global Artist," the compact but impressive exhibit now on view in the pristine galleries nestled within Olana, the magnificent home he created in Hudson, N.Y., affirms that assessment.

Organized by Elizabeth Kornhauser, curator emerita of the Metropolitan Museum of Art and consulting senior curator for the Olana Partnership, and Tim Barringer and Jennifer Raab, professors of the history of art at Yale University, the show contains fewer than 50 objects. But expand that sum to include Olana itself and the count expands considerably.

That's fitting, because the striking hilltop villa, designed by Church with his friend the architect Calvert Vaux, doubles as a global travelogue of Church's many journeys near and far, with holdings of about 90,000 artworks and objects. Walls teem with works by Church and others, including his teacher, the landscape artist Thomas Cole.

The site is itself a reflection of Church's sensibility. Its sweeping vistas of the region's hills, mountains and rivers make visible Church's lifelong engagement with nature; the landscape design of its expansive 250 acres was also his. His library speaks to his scientific curiosity, with numerous volumes on geology, botany and meteorology, as well as the works of the German philosopher, naturalist and explorer Alexander von Humboldt, whose writings inspired Church to visit specific sites in the Andes Mountains.

As for his taste in décor, Church's darkly mysterious painting "El Khasné, Petra" (1874), which hangs above the sitting room's Moorish fireplace, highlights the artist's fascination with Islamic architectural style, developed during his travels in the Ottoman Empire. "Petra" depicts the elegant, salmon-colored pillared temple dramatically seen, like a sudden revelation,

through a crack in a dark stone barrier. Design studies for Olana included in the exhibit provide further details about the ornamental stencils that characterize Church's home both inside and out.

And yet the exhibition proper opens with a work that speaks to the artist's commitment to America: his 1852 oil painting "The Natural Bridge, Virginia."

Thomas Jefferson had purchased the imposing geological arch known as the Natural Bridge as part of a larger plot of land from King George III in 1774, and by the time Church captured it on canvas, its scenic expanse, combined with its association with American history, had made it famous. Church conveys the immensity of nature by including two tiny figures on the rocky ground at the base of the painting—an African-American man standing as he converses with a seated white woman, a scene scholars suggest echoes Church's abolitionist leanings.

On display as well is the artist's most direct expression of concern about the state of the union. Produced soon after the outbreak of the Civil War, "Our Banner in the Sky" (1861), a work on paper, transforms a blazing sunset into the image of a tattered flag, a bare, blackened tree trunk as its pole, and meteoric sky bursts standing in as stars.

By that time, Church had traveled twice, in 1853 and 1857, to South America, where he assiduously sketched the mountains, volcanos, rivers, vines, palms and flowering shrubs he encountered in varied elevations and ecosystems across Colombia and Ecuador. After he returned to New York, he completed "Cayambe." The 1858 oil painting presents a panoramic view of the Ecuadorian Andes encompassing the snow-capped volcanic peak at the top, blue glaciated ice below, and towering palm trees lower still. Then there is the foreground, filled with plush growth, a meandering rivulet and—in the left-hand corner, in contrast to the natural wonders above—a man-made carved Meso-American stone pillar.

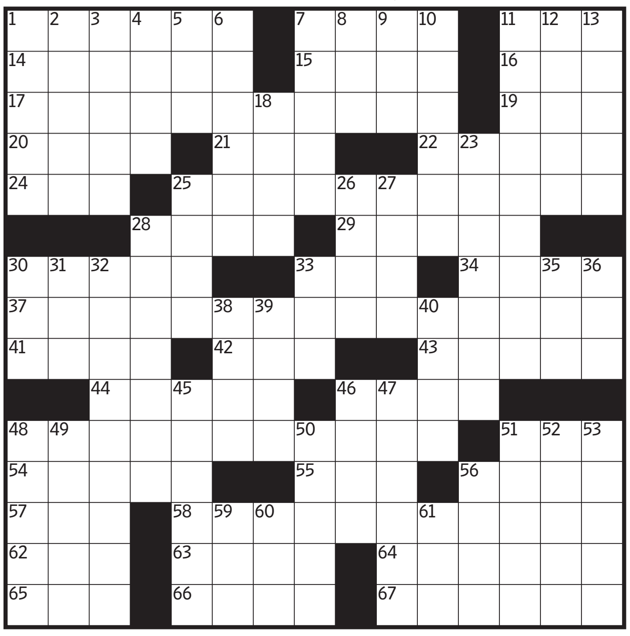
We also see several of Church's oil studies for his monumental, epic-sized masterpieces "Heart of the Andes" (1859) and "Niagara" (1857). That they were shown—and sent on tour—as standalone exhibits helped bring him fame. But here, the studies' smaller dimensions and tighter compositions combine with their looser brushstrokes to convey an immediacy and intimacy that invite viewers not to stand back for perspective, but to step forward, right into the frame with Church himself. One is left with the impression that this is the double perspective—both close-up, and global—that defined Church's quest to discover nature's beauty along with its fierce spectacle, whether at home or abroad.

Frederic Church: Global Artist
Olana State Historic Site, through Oct. 25

Ms. Cole writes about books and arts for the Journal and is the author of the memoir "After Great Pain: A New Life Emerges" (Winedale Publishing).

FROM TOP: THE NEW YORK HISTORICAL; OLANA STATE HISTORIC SITE

The WSJ Daily Crossword | Edited by Mike Shenk



HERE'S THE DEAL | By Zachary David Levy

Across

1 Black-and-white
7 It might be a lot
11 Budget limit
14 Camden Yards ballplayer
15 Bird on Canadian coins
16 Spanish cheer
17 Grounds-keeper?
19 Migration formation
20 Bulletin board fastener
21 Stately tree
22 Deplete
24 Opposite of NNW
25 Ventricles?
28 Historian's study
29 Stop in the Sahara
30 Sweepstakes form
33 German cry
34 Nutrient-rich soil
37 Basemen?
41 Minor mistake
42 Relig. group with elders
43 Gas between neon and krypton on the periodic table
44 Believer in spiritual unity
46 Breaches
48 Long iron?
51 One of the Bobbsey twins
54 Sheet material
55 Word with drum or plug
56 Tiniest bit
57 Copying, on menus
58 Persona non grata at a casino, demonstrated by this puzzle's theme
62 "That's Not All Folks!" memoirist Blanc
63 A matter of degrees?
64 Lacking sufficient hemoglobin
65 Workplaces for some M.D.s
66 Nabisco treat
67 Doughnut units

Down

1 Lacquer layers
2 Black-and-white swimmers
3 Rook or bishop
4 Diner staffer
5 TV character from Melmac
6 Patches anew
7 Siege site of 1836
8 Fish and chips fish
9 Lobster eggs
10 Occurs next
11 Jimi Hendrix's "All Along the Watchtower," for one
12 Alaskan islander
13 Colorful Easter treats
18 Novel framework
23 Cruiser's complement
25 Diggs of "Rent"
26 Center points
27 "Real funny"
28 Whip up
30 UFO pilots
31 Rangers' org.
32 Courts of justice
33 Paid spots
35 Furor
36 Yahoo! alternative
38 "Frozen" snowman
39 Acct.-protection org.
40 Tourists' aids
45 Big boss
46 Green dip, informally
47 Traveling the world, perhaps
48 Olympics symbol
49 Crude carrier
50 Brought about
51 Claim of innocence
52 Skipped the restaurant
53 Dealer catchers
56 "Mockingbird" singer Foxx
59 ___ Lingus
60 Issa of "Insecure"
61 Dos preceder

Previous Puzzle's Solution

B	L	E	E	P			H	E	L	L		A	L	L
C	A	R	D	I		J	O	L	I	E		I	M	A
C	H	R	I	S	T	E	N	I	N	G		O	F	T
			B	A	A	E	D			D	A	L	A	I
O	V	A	L		G	R	A	D	U	A	T	I	O	N
B	E	R	E	T				A	N	Y	A			
E	N	G		W	A	S	A	B	I		R	A	T	S
Y	O	U	G	O	T	T	H	A	T	R	I	G	H	T
S	M	E	E		B	A	I	T	E	D		I	R	A
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A	L	O	E	S			A	B	O	D	E			
S	A	P		Q	U	I	N	C	E	A	N	E	R	A
E	M	S		U	R	G	E	S		N	U	K	E	D
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▶ Solve this puzzle online and discuss it at **WSJ.com/Puzzles.**

ARTS CALENDAR

HAPPENINGS FOR THE WEEK OF SEPTEMBER 1

By WSJ Arts in Review Staff

Film

"By Any Means" *(Sept. 4)*
Yahya Abdul-Mateen II and Mark Wahlberg play an FBI agent and a mobster-turned-informant who work together to investigate the murders of civil-rights leaders in 1960s Mississippi in the crime thriller from Elegance Bratton.

"Onslaught" *(Sept. 4)*
An Army sniper (Adria Arjona) defends her home against a scourge that's escaped a classified military compound in this twist on the slasher genre by Adam Wingard ("You're Next").

Videogames

"Onimusha: Way of the Sword" *(Nintendo Switch 2, PlayStation 5, PC, Xbox Series X|S, Sept. 4)*
The popular "Onimusha" series, which weaves figures from Japan's history into supernatural stories, returns with its first major installment in 20 years. This entry follows the samurai Miyamoto Musashi as he explores a fantastical version of Edo-period Kyoto.

Gal Gadot in 'The Runner,' streaming on Prime Video.

AMAZON MGM STUDIOS

TV

"The Runner" *(Prime Video, Sept. 2)*
Gal Gadot and Damian Lewis star in Kevin Macdonald's thriller about a woman whose son is snatched and is forced to follow the kidnapper's instructions to get him back.

"Mayday" *(Apple TV, Sept. 4)*
Set during the Cold War, this action-comedy stars Ryan Reynolds as a Navy pilot trapped behind enemy lines who forms an unlikely friendship with Kenneth Branagh's ex-KGB agent.

Theater

"Pre-Existing Condition" *(Greenwich House Theater, New York, Sept. 1-Dec. 19)*
Marin Ireland's play, which looks at domestic violence and its aftermath, is directed by Maria Dizzia and will feature a changing series of high-profile names in the lead role, including Lupita Nyong'o, Phillipa Soo and Edie Falco.

Music

Carmen Villain, "Memoria" *(Sept. 4)*
The ambient artist who blends elements of dub and jazz in her electronic productions returns with a collection that focuses on memory and the ways sound and thought can be recorded and manipulated to alter one's perspective.

Noah Hill, "Ok Ok Now" *(Sept. 4)*
The bassist from the Australian electropop group Parcels releases his debut solo LP, which embraces the folk and acoustic stylings that first drew him to music.

Exhibitions

"Going Underground: The Jewels of Bernhard Schobinger" *(The Museum of Fine Arts, Houston, Sept. 3-Jan. 3, 2027)*
The avant-garde Swiss designer is the focus of his first career-spanning survey in the U.S., which looks at his practice of using scavenged and unusual materials in his jewelry. Works from 1968 to the present reveal how the legacy of World War II, the influence of punk music, and changes in political and cultural trends have shaped his artistic vision.

Art

"John Constable: The Landscape Reimagined" *(Yale Center for British Art, New Haven, Conn., Sept. 3-July 25, 2027)*
The sole major U.S. show to focus on the British artist on the 250th anniversary of his birth, this presentation explores his plein-air paintings and his innovative approach to landscape, which cast nature and the environment as central characters of his work.

"Mary Cassatt: After Impressionism" *(Art Institute of Chicago, Sept. 6-Jan. 3, 2027)*
Marking the centennial of the painter's death, this show looks at the artist's output in the years following the final Impressionist group show in 1886. The particularly productive period for the lone American member of that French group is explored through paintings, pastels and prints, showing how she pursued radical new themes and embraced her most iconic mother-and-child imagery.

Write to brian.kelly@wsj.com. For events celebrating America's 250th birthday, visit our America 250 Calendar, which is updated weekly.

OPINION

Justice for the 'Killer Mom'

MAIN STREET
By William McGurn

Pity the jurors in the Lindsay Clancy case—the "Accused Killer Mom" trial. Unlike a standard murder trial, they don't have to decide whether the 36-year-old Massachusetts mom killed her three children: 5-year-old Cora, 3-year-old Dawson and 8-month-old Callan. She did kill them, shortly before attempting suicide by jumping from a second-story window and suffering injuries that left her paralyzed from the waist down.

The question for the jury is more difficult. Is Ms. Clancy criminally liable for killing her three children, as the prosecution maintains? Or did she act in the throes of postpartum psychosis, relieving her of criminal responsibility, as her defense claims?

In his closing statement, defense attorney Kevin Reddington presented jurors with two photos. One showed the Clancy family looking happy and the other showed Ms. Clancy in the hospital. "How does this turn into this?" he asked. "How? Because of the damn medicine and the lousy medical care that she got."

The prosecution pointed to what the jury was there to decide. "The issue is whether at the time she killed Cora, Dawson and Callan, she knew the difference between right and wrong, and whether she could conform her behavior to the requirements of the law."

The jury is out. Once it returns a verdict, the second-guessers will be out in full force, no matter the outcome.

We might marvel at the jury here. Twelve ordinary citizens: nine women and three men. Their job is to apply the law to the facts of the case and render judgment.

One could build a plausible case for any of the possible verdicts. At the top would be first-degree murder for strangling three young children. At the opposite end, Ms. Clancy could be found not guilty because she didn't appreciate the wrongfulness of her actions or was unable to make her behavior conform to the law.

The facts are ugly, but the most disturbing development may be the media circus the trial has generated. Television cameras outside the courtroom feast on the sea of women clad in bright pink T-shirts emblazoned with slogans like "She Needed Help" or "Stand in Peace for Lindsay." These women see Ms. Clancy as a victim: of a healthcare system that failed her, of a legal system stacked against her, and even, most crazily, of a husband some think is the real murderer despite the glaring lack of any evidence.

On the other side are those who dismiss all talk of postpartum psychosis. They argue, reasonably, that the three dead Clancy children are the real victims, and they have no sympathy for Ms. Clancy. Blogger Matt Walsh expressed this position bluntly on the social media site X: "In a vaguely sane society, or at least a vaguely sane one, the only debate we'd be having about Lindsay Clancy is what method of execution to use, and whether or not it should be done publicly (it should)."

Whatever the verdict, Lindsay Clancy will pay a terrible price for what she did.

What is an observer to make of it? Justice cries out for accountability for the three innocent lives snuffed out by a mother who was supposed to love and protect them. But even the prosecution acknowledges that Ms. Clancy "was suffering from mental illness."

The conflicts here go beyond the fundamental disagreement between defense and prosecution. Even the mental-health experts disagree, differing on the voice Ms. Clancy said told her to kill and whether she even suffered from postpartum psychosis. The public disagrees about how to view murder in light of mental illness and the particular burdens shouldered by mothers. Jurors have to factor all this into their decision as best they can.

Citizens have the right to reach different conclusions. But even those with expertise in a relevant area (say, postpartum psychosis) lack what the jurors now have: the experience of sitting through nearly five weeks of testimony.

No verdict will satisfy everyone. As much as some people may empathize with Ms. Clancy, some argue there must be consequences for killing. And the idea that a mother who killed her own children would be let off scot-free seems an injustice. But justice under the law is limited to legal accountability, not some cosmic perfect reckoning.

No matter how the jury decides, Ms. Clancy won't get off "scot-free." She has lost her children, she is confined to a wheelchair, and her husband divorced her and remarried. Whether in prison or a mental-health facility, she isn't going home when the trial is over. The justice already visited on her is harsher than any a court might deliver. That she brought all this on herself only adds to the living hell in which she now dwells.

Write to mcgurn@wsj.com.

A Realistic Look at the Iran War

GLOBAL VIEW
By Walter Russell Mead

What President Trump initially heralded as a "four to five weeks" war against Iran entered its seventh month Saturday. Far from winding down, the war intensified over the past few days.

From the serene heights of the foreign-policy establishment to the fever swamps of the online left and right, a consensus has emerged. The war is a disaster, the American equivalent of Britain's humiliating defeat in the 1956 Suez crisis. American power can never recover in the Middle East, and Mr. Trump has suffered the greatest embarrassment of his career.

Yet the outlook is murky. Iran has fought back harder, and with more success, than Mr. Trump expected. While American casualties have been relatively light by historic standards, the war has been more expensive, more of a strain on American manpower and weapons stockpiles, and a greater political handicap than Team Trump anticipated. According to the Washington Post, the heads of the Army, Navy and Air Force and the four-star commanders of U.S. forces in Europe, Asia and Latin America have warned that continued deployment of forces in the Middle East is degrading America's ability to deal with threats elsewhere.

Yet Mr. Trump seems bent on continuing the conflict, and he has reasonable grounds for maintaining his optimism. With Goldman Sachs reporting that oil exports from the Persian Gulf have recovered to about two-thirds of their prewar level, Iran has failed to create a global energy crisis. The American blockade is causing more pain to the Iranians than the regime's attempt to close the strait is causing the U.S.

It isn't as easy as Trump expected, but don't assume the U.S. has already lost.

Meanwhile, as Iran's limited and largely ineffective response to the American attacks last weekend demonstrated, Mr. Trump is still able to control the escalation ladder. Between earlier military losses and fear of retaliation, Iran appears unwilling or unable to challenge the military status quo. The president appears to believe he can keep squeezing Iran's economy indefinitely while avoiding the two things he most fears: a global economic crisis and the use of American ground troops.

Like the war in Ukraine, and like most wars, the U.S.-Iran conflict has turned into something longer and messier than either side anticipated. Mr. Trump failed to overthrow the Iranian regime with his initial shock-and-awe airstrikes; Iran's attacks on shipping in the Persian Gulf didn't force Mr. Trump to back down.

Both sides face the question of how to win a long war that they didn't expect. Iran's rulers must do everything they can to constrict energy flows through the strait, hoping that the oil weapon will eventually produce enough of a crisis to force Mr. Trump to deal on their terms. They also hope that domestic pressure against the politically unpopular war will force his hand, perhaps after a Democratic victory in the midterm elections. And after the Washington Post's interesting editorial decision to reveal classified information about American military vulnerabilities during a period of armed hostilities, the Iranian authorities have more grounds to hope that the U.S. cannot long sustain its current levels of military deployment in the region.

Mr. Trump for his part seems focused on intensifying the economic crisis inside Iran while limiting the fallout of the war in American politics and globally. To make that work, he needs to keep as much energy as possible flowing through and around the strait while turning up the pressure on Iran's economy. This effort faces challenges as China and other countries draw down their strategic reserves and as the approach of winter heightens energy demand in the Northern Hemisphere, but energy markets have so far proved more flexible and resilient than most observers expected.

Iran's economy is already in dire straits, and figures like Mohammad Bagher Ghalibaf, a former Islamic Revolutionary Guard Corps commander and parliamentary speaker, are warning that the Islamic Republic may not survive economic strangulation. Mr. Trump likely believes he can step up the pressure without dramatic moves that would destabilize relations with China in the run up to Xi Jinping's scheduled visit in late September.

Let us hope that U.S. and allied military and intelligence agencies are thinking through the next steps. Suppose economic pressure succeeds, and the Iranian population rises against the regime. Does America stand by as the regime renews its power through another bloodbath, do we intervene in what is likely to be a bloody civil war, or is there some third alternative?

Mr. Trump's critics are right that six months into this war, the pathway out remains obscure. But this is how war normally works. Risk and unpredictability are baked into the cake. That is a good reason to avoid unnecessary wars; it is also a reason to avoid excesses of either gloom or joy as the fortunes of war shift and turn.

Higher Ed's Secret Foreign Funding

By Craig Singleton

The Trump administration has made university accountability a signature issue, from combating discrimination to exposing foreign influence on campus. Now the higher-education lobby is trying to block the release of major foreign-donor names. The administration shouldn't give in.

Universities receiving federal funds have been required by law since 1986 to report foreign gifts and contracts totaling $250,000 or more annually. They haven't always done so. The first Trump administration uncovered nearly $6.5 billion in foreign gifts and contracts universities failed to disclose. The Biden administration failed to open any foreign-funding investigations, according to a September 2024 report from the House Select Committee on China. The second Trump administration restored enforcement and launched a public dashboard for reported foreign funding.

The disclosures show what's at stake. In 2025 universities reported more than 8,300 foreign gifts and contracts, worth $5.2 billion, including $1.1 billion from Qatar and $528 million from China. The Education Department has identified roughly $380 million in historical university transactions with entities flagged by the U.S. government. That includes $158 million involving companies on the Defense Department's Section 1286 list, which identifies foreign institutions and talent programs "confirmed to be engaging in activities that threaten U.S. national security interests." Another $193 million involves entities on the Commerce Department's Entity List, which restricts access to sensitive U.S. technology. Most of the flagged entities are Chinese, including organizations tied to Beijing's military and nuclear program.

All foreign donors and contracting parties should be identified. In July the Education Department promised to publish "the names of all foreign sources from prior reporting cycles." Yet it has repeatedly delayed doing so as higher-education groups press to keep those identities from public view.

The Association of American Universities, which represents 69 leading U.S. research universities, argues that publishing donor names would expand "reporting requirements beyond the statute's text." The American Council on Education, higher ed's main lobbying group, has urged the department to withhold donor identities, warning that disclosure would have a "chilling impact" on lawful foreign giving. But federal law says disclosure reports "shall be public records open to inspection."

Washington has a list of names. What's delaying disclosure?

Congressional investigations underscore the value of foreign-funding transparency. A September 2025 review by the House Select Committee on China found roughly 1,400 Pentagon-funded research papers published from June 2023 through June 2025 with Chinese collaborators. More than half involved entities tied to China's defense research and industrial base, including those working on hypersonic missiles, advanced propulsion systems and nuclear technology.

Universities receive billions in taxpayer support, conduct sensitive federally funded research, and increasingly work in partnership with institutions tied to America's main strategic competitor. Counterparty names provide essential context for assessing those relationships. The administration shouldn't let university lobbyists decide where transparency ends. The Education Department has the names and should keep its promise to release them.

Mr. Singleton is senior director of the China Program at the Foundation for Defense of Democracies.

BOOKSHELF | By Stuart Halpern

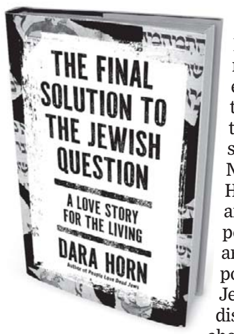
Confronting the Oldest Hatred

The Final Solution to the Jewish Question

By Dara Horn
Avid Reader, 384 pages, $29

One evening in 2024, Dara Horn's teenage son found an unexpected and alarming message. On the online forum where he and thousands of other contributors posted fan art about a whimsical videogame, the moderators in charge had announced that "Zionists will not be tolerated on our server" because "Zionism is genocide." As Ms. Horn writes in "The Final Solution to the Jewish Question," this bald statement was made with "no pretense" that it was part of any considered protest to the war in Gaza that had raged since Hamas's slaughter of Israeli civilians on Oct. 7, 2023. "Instead," she writes, "there was a categorical ban on the overwhelming majority of the world's Jews, who were embodiments of evil." Her son was being digitally denounced for his Jewish identity.

Ms. Horn, a novelist and essayist, had already made a significant effort to understand the wave of antisemitism that she saw spreading from websites to campuses to other institutions. In 2021 she published her first nonfiction book, a collection of essays under the darkly comic title "People Love Dead Jews" (the title of her current book makes a similarly mordant reference to the Nazi program of extermination). Her essays unfolded a provocative argument. Narratives of Jewish persecution—predominantly those around the Holocaust—have, she pointed out, deeply engaged non-Jewish audiences, who yet remain disengaged from, and often uneasy about, the real lives of contemporary Jews. In one example she cited in that collection, the Anne Frank House in Amsterdam prevented a Jewish employee from wearing his yarmulke at work for several months. An institution meant to preserve the memory of a Jew forced into hiding had thought it wise to force a living Jew to hide his identity.



After the publication of her earlier book, Ms. Horn writes, she received a "torrent of messages" from readers, documenting acts of hostility against Jews. Those who wrote to her "often clung to every possible shred of plausible deniability." Her correspondents would insist that an offensive act or slur "was probably just a joke, or a misunderstanding, or had been done by teenagers, or by mentally ill people, or by ignorant people, or any of the other apparently enormous categories of people who were magically not responsible for their own actions." At a synagogue in Ohio where the author gave a talk, the rabbi told her he was shocked by the recent news that the nearby Jewish day school's own security guard had been arrested for making posts on social media that threatened the school's children and parents.

The methods typically employed by Jewish communities in response to acts of hatred, she argues, are not up to the task. Many Jews, Ms. Horn explains, have felt pressured to make non-Jews comfortable about their presence "through self-deprecating and ultimately humiliating public displays in popular culture," which often play up stereotypes in Jewish humor. To "prove their worthiness to their fellow Americans," she observes, Jews offer lists of "American Jewish scientists and artists and entertainers and thinkers" as exemplary patriots and allies to other minority groups.

The author of 'People Love Dead Jews' argues that rising antisemitism cannot be fought using the methods that have failed before.

She is reminded of the early 1930s, when German Jews responded to rising antisemitism by publishing an encyclopedia of Jewish contributions to German culture and society. The volume was soon burned with thousands of other Jewish books. The episode, Ms. Horn observes sardonically, is enough "to make one question the premise" of seeking acceptance through assimilation.

As she formulates her proposal for a better answer, Ms. Horn laments that a knowledge of Jewish civilization is part of a "null curriculum"—history that is ignored in most American classrooms. This leaves a vacuum of knowledge that can be filled by what she calls the "big lie" that Jews are "collectively evil and have no right to exist," a process exacerbated in recent decades by social media. In reality, she points out, Judaism is "foundational to the history of many of the world's civilizations." Treating it as marginal has a steep educational cost: "It is not possible to understand Christianity, Islam, the American founders . . . without understanding Judaism."

When non-Jews are taught about Jews at all, it is in the context of Holocaust education required by state law (Illinois enacted the first such mandate in 1990). As Ms. Horn explains, "anything short of murdering six million Jews" can appear insignificant by comparison. Acts of harassment and intimidation—and even violent attacks against today's Jews—can be dismissed or overlooked.

The stories of dead Jews, Ms. Horn reminds us, must be complemented by an understanding of the traditions, texts and practices of living ones. To that end, she describes her launch of the Tell Institute, which works with public-school teachers to educate students about Judaism's contributions to civilization. Its programs present Judaism as a faith that seeks neither conquest nor empire, one firmly planted in a monotheistic moral and intellectual tradition.

Ms. Horn hopes, she writes, to convey that Judaism "is a movement built on laws that don't rely on human rulers, built on an idea of commandedness that taught the world that freedom requires responsibility." She wants better understanding of its ethic of debate, "the assumption that there will always be dissent, that 'argument for the sake of heaven' is a source of profound integrity."

Citing the biblical book of Esther, in which a principled young woman surrounded by hatred for Jews asserts her identity to save her people, Ms. Horn makes it clear that we are at a crossroads. "Jews around the world have reached their Queen Esther moment," she writes, "presented with the same choice their ancestors always faced. They can choose not to say anything, choose to disappear. . . . Or they can choose life and rise to the occasion." She concludes that "the people who refuse to bow to tyrants are the final solution. They always will be."

Mr. Halpern is the senior adviser to the provost at Yeshiva University. He is the author, with Wilfred McClay, of "Jewish Roots of American Liberty."

OPINION

REVIEW & OUTLOOK

The Data Center Panic and U.S. Decline

Public opposition reflects anxiety more than reality. Trump is finally speaking up.

Can the U.S. political system meet the challenges of our rapidly changing age? The answer is far from certain, and the latest evidence for pessimism is the election-year panic over data centers.

The centers that look like large warehouses are crucial for artificial intelligence. The U.S. is in an AI competition with China, which won't be a benevolent force if the U.S. falls behind. Without the energy and the data centers to power it, America's safety and prosperity will be compromised.

Yet watching the election campaign, you'd think data centers are the biggest problem America faces. We're running scared over investment that creates jobs and pays local property taxes.

* * *

The political backlash started on the left, and Bernie Sanders now wants a nationwide halt to new data centers. But Democrats in Senate races across the country are signing up for some version of a slowdown. In Ohio Sherrod Brown is making the issue the center of his comeback bid against appointed GOP Sen. Jon Husted.

Even politicians who have supported data centers are turning. Illinois Gov. JB Pritzker once courted data centers but now has turned them a cold shoulder. Pennsylvania Gov. Josh Shapiro, who has a huge lead in his re-election campaign, this month issued an executive order restricting their development.

Republicans are also getting in on the act. GOP Rep. Tom Tiffany is running ads in Wisconsin in his campaign for Governor calling his opponent "Data Center David Crowley." "Our lakes run dry, family farms paved over," says the fear-mongering spot.

Texas Gov. Greg Abbott in August paused new construction pending the completion of a statewide audit, citing concerns about data center power and water use. He blamed AI firms: "They basically dug their own grave for the problem that's been caused for them and that's why they got the backlash they deserve."

It's true the AI industry has hurt its own cause by fueling speculative anxiety about mass unemployment. AI developers have also failed to explain how data centers benefit local communities. But the larger failure has been the lack of political leadership in explaining the technological and economic transition now underway and how to address it.

On data centers, there's a strong case to be made. The U.S. has more than 5,400 data centers, which are the backbone of the internet and power the apps on your smartphone. Data centers enable Zoom meetings, online food deliveries, video streaming, instant retail stock trading and more. If data centers went dark, so would the modern economy.

New large-scale data centers are needed to train and run AI models, and more than chatbots. Businesses large and small use AI to boost productivity, which lets them pay workers more. Steel maker Cleveland-Cliffs recently announced an upgrade to an Ohio plant that will incorporate AI to improve efficiency.

Utilities use AI to prepare for natural disasters and reduce power outages. AI models are helping diagnose cancer at earlier stages and develop cures. Data centers bring high-paying construction jobs, and skilled blue-collar workers are needed to run them.

If data centers disappeared from Loudoun County, Va.—known as Data Center Alley—homeowners would need to pay $5,800 more a year in property tax for the same government services, according to one analysis. Teachers in Louisiana's Richland Parish this year received bonuses up to $50,000 thanks to tax revenue from Meta's AI data center.

Data centers also generate scant pollution. Their CO_2 emissions mainly stem from the natural gas plants that power them. But modern gas generators produce upward of 90% less fine particulate matter, sulfur dioxide and carbon monoxide than a steel mill.

Data centers also deploy efficient systems to recirculate wastewater, so they don't affect the supply of drinking water. Microsoft's new data center in Wisconsin will use about only four Olympic swimming pools of water this year, half as much as a car wash. Golf courses use about 30 times more water than data centers.

Americans are understandably concerned about rising electric bills, but data centers aren't the culprit. Average electric rates nationwide have increased roughly in line with inflation since 2016, with larger increases in the Northeast and California, largely because of climate policies such as net-metering that lets homes with solar panels free-load on the grid. A study by the Electric Power Research Institute found that data centers between 2015 and 2024 reduced residential rates by spreading the grid's fixed costs over a larger electric load.

In any event, most data center developers have agreed to cover the incremental costs they add to the grid. The Trump Administration was a leader here in bringing AI firms, utilities and political actors together, and most AI firms have cooperated.

* * *

The surge of opposition to data centers reflects misinformation and anxiety about the future more than it does reality. Both are driven in part by the same people who have sought to block shale fracking, liquefied natural gas exports and other projects that enhance American prosperity and national security.

Mr. Trump is finally speaking up, with a Truth Social post Monday pointing out that data centers will provide "far lower taxes and jobs all over the place." Please keep it up. The President rightly notes that if the bipartisan campaign against data centers succeeds, the winner will be the Chinese Communist Party.

Chuck Schumer and Hasan Piker

Chuck Schumer has a problem, and Michigan Rep. Debbie Dingell has named it: Hasan Piker. The online leftist is dividing the Democratic Party. In Michigan the controversy threatens a Democratic victory in a key Senate race, which could upend hopes of a Democratic majority.

During the recent Democratic primary, Mr. Piker campaigned with Abdul El-Sayed in Michigan. Mr. El-Sayed won, but Mr. Piker is a liability in the November race against GOP nominee Mike Rogers. During a 2019 livestream Mr. Piker said that "America deserved 9/11," which Mr. El-Sayed conceded was "dumb" during an Aug. 9 interview with "Meet the Press." But dumb isn't the condemnation that remark deserved.

More recently Mr. Piker said, "If Jews in America keep putting this idea out there that they are singularly invested in Israel, eventually someone is going to come around and take action, not against the state of Israel, mind you, but against American Jews." In other words, Jews are at fault if they're attacked—they're asking for it. Given that Mr. Piker excuses Hamas as the lesser evil and justifies Hezbollah and Houthi attacks, he means it.

Ms. Dingell didn't help her party when she said recently she's tired of being asked about Mr. Piker. "I am done," she said. "So don't any reporter ask me again about Hasan Piker." Telling the press not to ask questions signals that a politician is too embarrassed to answer.

It's worth watching how Democrats handle Mr. Piker, whom they once thought was their answer to Joe Rogan, but who as a political matter represents the serrated edge of the party's antisemitic wing. Mr. Schumer has embraced Mr. El-Sayed, though the Michigan nominee has said he won't vote for Mr. Schumer for Senate leader.

Mr. Schumer has taken great pride across his career as an opponent of antisemitism and a (less and less reliable) supporter of Israel. With Rep. Alexandria Ocasio-Cortez looking over his shoulder in his 2028 re-election year, Mr. Schumer's political career may be nearing its end. Why not publicly say Mr. Piker's brand of antisemitism has no place in the Democratic Party and stand with some honor?

Taiwan's Drone Realism

The world is boiling from Iran to Ukraine, so it's worth noting progress on deterring war where it's still preventable. Taiwan's latest drone push is important, and the question is whether President Trump will back up this model ally with more arms support.

Taiwan's Legislature has passed a bill to spend $7.6 billion on drones in the coming years, and the goals are to purchase unmanned systems and expand its own industrial base. Taiwan's government is trying to adapt to the evolution in warfare and deter the Chinese Communist Party from mounting an invasion or blockade of the island of 23 million free people.

Taiwan exported more drones in the first quarter of this year than last year's 130,000 units, by think tank estimates. Most end up in Ukraine. Taiwan's defense against China would look much different from that land war. But a cascade of unmanned vehicles could help create a "hellscape" in the Taiwan Strait for a Chinese armada, as U.S. Indo-Pacific Commander Adm. Sam Paparo has put it.

This drone realism is notable because a perennial Washington complaint is that the island buys too many big platforms like fighter jets and isn't focused enough on an "asymmetric" defense against a larger adversary.

The island's politics are also divided, with a bitterness Americans would recognize. President Lai Ching-te wants Taiwan to spend 5% of GDP on defense by 2030, but his party doesn't control the Legislature. Yet Taiwan is still making progress, including passing extra defense money this year, and President Lai has proposed another 18% boost in defense spending for next year.

One practical step the U.S. can take: Passing the bipartisan Blue Skies for Taiwan Act, sponsored by Sen. Ted Cruz, among others. The bill tries to push the U.S. government to work more with Taiwan on drone production, particularly on building a supply chain free of Chinese parts, one of the biggest challenges in making cheap unmanned vehicles at scale.

President Trump can also unlock a pending $14 billion arms sale to Taiwan. It has been in limbo ahead of Xi Jinping's visit to Washington in September. Taiwan sees its future in the free world and is willing to sacrifice to preserve its liberty. Other Presidents have been able to conduct diplomacy with China without betraying U.S. commitments to Taiwan, and there's no reason Mr. Trump can't do the same.

LETTERS TO THE EDITOR

The Quiet Bond Risk of Bloated State Policy

Regarding Richard B. McKenzie's op-ed "It's Hard to Tax Things That Move" (Aug. 20): I am indebted to Mr. McKenzie for reminding us that he and Dwight Lee had called attention to the ease with which labor and capital could flee high tax jurisdictions in their 1991 book "Quicksilver Capital."

The technical and economic changes of the decades since have greatly increased the ease of flight. The one tax base that isn't mobile is land, but even land, if too heavily taxed, will be abandoned rather than being developed.

Suppose that politicians want to spend more than a land tax could yield and voters flee in response to higher taxes on income or capital. The easy solution is to borrow. As the fiscal condition worsens, bond investors may demand higher interest rates and bond underwriters impose restrictions on spending or require higher taxes. In response, voters can move their wealth and income from New York, Illinois and California to Florida, Tennessee and Texas. But if they take their high taste for public services with them, the process can begin again. The municipal bond market may become increasingly unstable.

William S. Peirce
Gates Mills, Ohio

I spent my career as a bond analyst and was always surprised at how differently the rating agencies rate states from corporations with comparable leverage ratios. The reason is that the agencies believe states can always simply increase taxes, and so their debt is far safer, comparable to a business monopoly which can raise prices with impunity. In short, they assume a monopoly power for states, believing that there is nothing a resident can do.

But as Mr. McKenzie points out, governmental jurisdictions actually do have competition, and people and businesses can move more easily than in the past.

California currently has an S&P general obligation rating of AA-, and no state has a rating below A-. I think that the rating agencies will wind up more embarrassed by their ratings for states than they were with their ratings for collateralized mortgage obligations before the 2008 housing collapse.

Winslow Marston
Morristown, N.J.

Readers Respond to Roland Fryer on DEI

Roland Fryer's op-ed "Jason Arday and What's Wrong with DEI" (Aug. 26) is certainly right: The "opportunity [provided by DEI] alone didn't produce these scandals. Refusing to hold anyone to a real standard afterward did." But he understates the scope of the issue. Because high-school grades and recommendation letters are so inflated, even admitting students with excellent credentials amounts to taking a chance. Once in college, students encounter easy courses with inflated grading that don't challenge them to develop their potential. The problem continues for students who go to medical or law schools without real grades. Mr. Fryer is fortunate to have had professors who pressed him to become good by working hard. Sadly, professors are now more attuned to students' struggles and, consequently, try to "help" them by lowering their expectations.

Real education is less likely to happen today.

Prof. Edward C. Halper
University of Georgia
Athens, Ga.

Mr. Fryer's op-ed was enlightening and important. His points also bring clarity to what is wrong with our education system beginning even at the earliest of ages and why school choice, especially in the underserved communities, is imperative.

It has taken a few generations to degrade our public schools and it will take a few, if not more, to restore them.

Imagine a grade-school parent who has a child zoned for a failing, unsafe public school. The child is bright and if motivated can reach his potential. That child needs to have a path to a school that will demand his best, hold him accountable and not make exceptions for him based on his race, ethnicity or financial status. If he flourishes by the time he applies to college or for a job, the decision to admit or hire will be far less risky.

Not every child falls into this category. But it is vital we take the percentage that can benefit from school choice and start them on the path now. All the guidance Mr. Fryer received doesn't have to wait until college. It needs to begin earlier, so DEI becomes almost unnecessary in years to come.

Gwen Sullivan
Ridgewood, N.J.

The tragedy of Jason Arday extends beyond the issues Mr. Fryer describes so well in his op-ed.

As universities both in the U.S. and Europe focus on telling their students what to think instead of how to think, there is no reason not to hire an entertaining but unqualified figure like Arday, so long as he parrots the party line.

Thomas F. Berner
Yonkers, N.Y.

Dolly Was More Than a Crystal-Clear Voice

Beyond the crystal-clear voice Bob Greene honors in his op-ed "Dolly Parton, the Only Voice in the World" (Aug. 26), Parton was a business-school lesson in the value of developing one's own brand, cultivating an appealing (and consistent) image and retaining ownership of one's intellectual property. But her life was also testament to her combination of determination, talent, self-confidence and hard work, culminating in success, without sacrificing decency. Despite her self-deprecation, this soulful but savvy genius from Appalachia excelled with grace and class.

"Music is the voice of the soul," Parton told American Songwriter in 2022. Her songs were a window to her inveterate optimism, love of her home territory, faith in God and people, and empathetic understanding of human nature. She was an American original, a Renaissance woman, and—thanks to her genuine warmth and positivity—a cross-cultural unifier of humanity. She walked her talk, using her material bounty to establish and give generously to institutions that directly elevated the human condition. Not least, and perhaps foundationally, she was grateful and kind—to myriad people, in all situations, private and public.

May we all be more like Dolly.

Harriet Chapman
Akron, Ohio

Meet the Groups That Most Favor Killing Health CEOs

In reporting that the latest Emerson poll shows 16.7% of respondents find the UnitedHealthcare CEO killer's actions "completely" or "somewhat" acceptable, Adrian Norman writes in his op-ed "Americans Who Find Killing Acceptable" (Aug. 27) that Emerson's topline data "doesn't break down the finding by age or party, so drawing conclusions about who is driving this would be guessing."

However, the poll crosstabs show meaningful demographic differences: About 20% of those who identify as Democrats say the actions are "completely" or "somewhat" acceptable. By comparison, that figure is 15.1% among Republicans and 14.9% among Independents/others. The age differences are more striking: About 39% among voters ages 18-29 and 26.3% among those ages 30-39 find the murder acceptable.

Sean McDonnell
Minneapolis

Can Washington Cut 15%?

Regarding your editorial "How the U.S. Went $40 Trillion in Debt" (Aug. 21): Why can't we roll back federal spending to the pre-pandemic historical average of 20% of gross domestic product instead of the current 24%? One big reason is that pre-pandemic we weren't spending 3% of GDP on interest. Interest rates and the debt were both lower than today. If we want to hold spending to 20% of GDP that would leave only about 17% of GDP for all the things we were spending money on before Covid—a 15% across the board reduction.

Kevin Clark
Franklin, Tenn.

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Pepper ... And Salt

THE WALL STREET JOURNAL

"I'd like a refund. It didn't work."

OPINION

The Rich World's Climate Distraction

By Indermit Gill
And Bjorn Lomborg


ROBERT NEUBECKER

The past 75 years have brought the greatest improvement of human welfare in history. But over the past decade, much of that progress has stalled. This happened at the same time that the rich world shifted its attention to climate change. This isn't a coincidence, and it has to change.

Consider extreme poverty, long defined as living on less than $1 a day, adjusted for inflation and purchasing power. In 1950, more than half of humanity was that poor (using the 1985 dollar as the benchmark). Today the share is 7.6%, the lowest ever recorded. Average schooling has almost tripled, from 3.2 years to nearly nine. Electricity access has soared. Problems remain, but the gains have been spectacular.

Yet that development has lately slowed to a crawl. After almost two centuries of declining poverty, the number of poor people in the world hasn't budged since 2016. Global progress is at its slowest pace since 1950, according to the World Bank.

The World Bank and other institutions lose their focus on the best ways to help the poor.

There are many causes, but one stands out. In 2016, the world retired its Millennium Development Goals—a short list of mostly efficient, targeted aims: cut poverty, disease, and maternal and child deaths, and get every child into school. In their place came the Sustainable Development Goals. Climate change became the rich world's obsession.

Nowhere is this obsession clearer than in the development banks, whose core purpose is to help the poor develop. Yet in 2025, climate finance from multilateral development banks to low- and middle-income countries topped $103 billion—nearly half of all their financing. The World Bank alone directed 48% of its lending to climate finance.

One of us (Mr. Gill) stepped down this week at the end of a four-year term as the World Bank's chief economist—a position that gave him an insider's view of the fixation.

The banks, like many development organizations, convinced themselves that because poor people are more vulnerable to climate change, climate policy is crucial for their development. The logic is seductive but wrong. Poor people are more vulnerable to everything—disease, hunger, broken infrastructure, economic shocks. The question is whether climate policy is the best way to help them. Examined rigorously, policies focused on traditional development goals, such as reduced poverty and improved health, generally win decisively.

Sustained economic growth is the surest predictor of a country's ability to withstand climate shocks. A 10% rise in per capita gross domestic product can reduce the number of people at high risk from climate-related hazards by almost 100 million. Prosperity is the ultimate climate adaptation strategy. A hurricane kills hundreds in Haiti; the same storm merely inconveniences Florida. Resilience runs through development—not through a solar farm that raises power prices and slows industrialization.

The core problem is opportunity cost. Every dollar subsidizing solar panels or carbon accounting is a dollar not spent on schools, maternal health or clean water. Research by the Copenhagen Consensus, with more than 100 economists and several Nobel laureates, compared the returns. Smart investments in nutrition, health and education routinely deliver $40 to $110 in social benefits per dollar. Climate-mitigation investments—funding emissions cuts in poor countries—often deliver much less back.

The trade-offs are concrete. For $2.50, an expectant mother can receive micronutrient supplements that prevent stunting and lifelong cognitive damage in her child—returning nearly $100 of long-term benefits per child. Expanding diagnosis and treatment for tuberculosis and malaria, which still kill more than a million people a year, returns more than $45 for each dollar invested.

The energy dimension is starkest. Much of Africa uses less electricity per person than a single refrigerator in a Western home. The rich world built its wealth on cheap, reliable fossil fuels, which still supply more than 80% of global energy. Yet development banks refuse to finance new fossil-fuel projects in poor countries. Germany has spent more than €700 billion on its energy transition since 2002; power prices more than doubled and its economy is still almost four-fifths fossil-fueled. To demand that African nations achieve what Germany can't—with a fraction of the resources—isn't climate leadership. It is hypocrisy.

None of this is to say we should abandon the climate—both adaptation and green innovation deliver strong returns on investment.

But the rich world's development institutions must overcome their climate fixation. It's a welcome sign that the World Bank has finally announced it will retire its climate spending goals, but with its main climate action plan still firmly in place, the shift risks being superficial. Britain's new foreign secretary, Ed Miliband, has taken the U.K.'s governor seat at the World Bank. He vows to keep climate at the heart of the institution.

Most of humanity is still poor. For them, we should spend billions on tackling urgent, cheaply solved problems before spending trillions to nudge the thermometer in a century. Tellingly, Africans ranked climate change 31st among 34 priorities in a recent Afrobarometer survey. We must rediscover the smart, focused development solutions that transformed the world in the past 75 years—and put the best development policies first.

Mr. Gill was chief economist of the World Bank Group (2022-26). Mr. Lomborg is president of the Copenhagen Consensus Center and author of "Best Things First."

You Need to Invest in AI, but Don't Expect a Return

By Anil K. Gupta

As a general-purpose technology, artificial intelligence is rapidly making its way into every facet of the business world. The investment in infrastructure and the expense of integration are leading boards to ask: When are we going to see a return on all of this investment? The counterintuitive and uncomfortable answer: maybe never.

As AI becomes embedded across industries, it will generate enormous economic value. But much of this value will be competed away, flowing to customers in the form of lower prices, better products, and faster, more personalized services. In such an environment, making firm-level ROI the primary measure of success is misguided; worse, it risks obscuring why firms must invest in AI at all. The relevant comparison is between investing and holding ground against competitors or not investing appropriately and losing it, a trade-off that never shows up in an ROI calculation.

AI clearly creates value, but that doesn't mean a firm can always capture and retain it. If every insurer cuts the cost of handling a claim by 30%, competition will eventually pass much of that gain to customers in the form of lower premiums, better service or both. Insurers have become more productive, but no insurer earns a higher return as a result. Early movers enjoy an advantage, but it is transitory. This helps explain a puzzle that currently preoccupies the business press. Disappointing returns on AI are read as evidence that the technology has been oversold. The more likely explanation is that the value is real but flowing to customers.

AI companies, cloud providers and other intermediaries have powerful incentives to reduce the cost and complexity of adoption. Their growth depends on distribution. Thus, in most competitive industries (think retail, insurance and automotive) any AI capability available to you is or will soon be available to your competitors as well—whether in sourcing, logistics, operations or customer service. That growing parity is precisely what makes it difficult to capture and retain the value AI creates.

Investment in AI should be approached as investment in infrastructure, not in a portfolio of individual projects built around local data sets and narrow task automation. Infrastructure doesn't lend itself to project-by-project ROI calculations, which is part of why the ROI question misfires. Organizations are a set of interconnected processes. Data that sit in silos rob machine-learning models and AI agents of much of their power. AI infrastructure provides the common data, models, governance and architecture; workflow redesign is where those capabilities become economically useful.

This revolutionary tech will make your competitors more efficient, so you'll need it simply to keep up.

In striving for competitive advantage, recognize that, to paraphrase the Red Queen from Lewis Carroll's "Through the Looking-Glass," it may take you all the running to just stay in the same place. As AI becomes ubiquitous, any advantage to be gained will depend on the complementary assets around it. The three that matter most are proprietary data, redesigned workflows and organizational capabilities.

AI models trained on proprietary data—decades of product formulas, sensor logs from machinery or customer transactions—can produce insights and predictions that off-the-shelf models can't match. But proprietary data alone is insufficient. Several insurers may each have proprietary data on auto claims. But if the data are equivalent, they yield no advantage. What matters is differentiated, superior data.

You also need deep workflow integration. Using AI to automate individual tasks improves productivity, but these gains are easy for competitors to replicate. Greater advantage comes from redesigning how work gets done across interconnected processes. An insurer, for example, can use AI to automate claims processing and to connect claims data with underwriting, pricing, fraud detection and customer service. Such integration is harder to replicate because it requires changes in processes and systems, not merely access to AI models.

Organizational capabilities matter even more. AI is evolving too rapidly for any model, application or workflow to hold an advantage for long. You do need technical talent that knows how to deploy AI. But you also need managers who understand the technology well enough to see emerging opportunities and go after them. And you need a culture that rewards experimentation, learning what works and building on that learning. An organization's accumulated ability to learn and adapt is hardest for competitors to replicate.

"What is the ROI on AI?" is the wrong question. Instead, business leaders should ask: "What will happen to our competitive position if we don't make this investment?" and "What complementary assets do we possess or can we build that might enable us to capture some of the value if we do?" The returns from AI will be real. But they may show up as ground held rather than ground gained.

Mr. Gupta holds a chair in strategy at the University of Maryland's Smith School of Business and writes the newsletter Inconvenient AI.

Gerard Baker is away.

California Wealth Tax Spares No One

By David R. Henderson

California's Proposition 40 would impose a one-time tax of 5% on people with a net worth of $1 billion or more. The tax would cost everyone: By discouraging capital formation, it would ultimately cause slower wage growth. But there's a much more direct threat to people worth far less than $1 billion.

The initiative's Section 50310 states: "The Legislature may amend the 2026 Billionaire Tax Act, by statute passed in each house of the Legislature . . . [with] two-thirds of the membership concurring, if the statute is consistent with and furthers the purposes of the 2026 Billionaire Tax Act."

Those purposes are to raise money to spend on healthcare, education and food assistance. California's heavily Democratic Legislature could use the law to increase taxes on people who aren't close to being multimillionaires—let alone billionaires.

Article XIII of California's Constitution authorizes the Legislature to tax certain forms of wealth. Most personal property is taxable at the same rate as real property (1%), while taxes on stocks and bonds are capped at 0.4%. The authors of Proposition 40 apparently understood this and wrote Section 50310 to supersede Article XIII.

We've seen this before. After the 16th Amendment authorized the federal income tax, it started small. In 1913 the tax rate on married couples filing jointly was 1% on income up to $20,000 (equivalent to some $674,000 today). The top rate was 7%, on income above $500,000 ($16.8 million today). Five years later, in the midst of World War I, the rate was 6% on income up to $4,000 and 77% on incomes over $1 million.

Under Presidents Warren G. Harding and Calvin Coolidge, and with the urging of Treasury Secretary Andrew Mellon, Congress brought rates down substantially at all income levels. But the lowest level they reached, in 1928, was still much higher than in 1913: 25% for incomes over $100,000, and 1.5% to 9% on income up to $20,000.

Then World War II brought higher rates again at all levels. Tax rates on lower incomes were high: 23% on income up to $2,000. Before World War II, the income tax was thought of as the class tax—a high tax on high-income people. In World War II, it became a mass tax.

A provision would let the Legislature impose levies on assets of those worth well under $1 billion.

There's a lesson here. If you vote for a measure to tax the very wealthy, you might find yourself paying rates even above those meant for the very wealthy. Proposition 40 has the potential to become a stealth tax on all Californians.

Mr. Henderson is a research fellow with the Stanford University's Hoover Institution and editor of the Concise Encyclopedia of Economics.

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They Forget Who Started The War

By Elliot Kaufman

The campaign for the next United Nations secretary-general is under way, and the latest straw poll of Security Council members has three South or Central Americans on top. The leading candidate praises Fidel Castro and rages ignorantly, and tellingly, at Israel.

The third- and second-place candidates in the Aug. 21 straw poll could be promising. Rafael Grossi, the Argentine leader of the International Atomic Energy Agency, is a formidable diplomat with experience navigating between world powers. In particular, he has been professional in holding Iran accountable for its nuclear deception. Rebeca Grynspan, a Costa Rican economist, politician and U.N. trade leader, is viewed as moderate and reform-minded.

In first place is Carolyn Rodrigues-Birkett of Guyana. She has a conventional résumé as a U.N. ambassador and former foreign minister with experience in U.N. food work. But her views, similarly conventional in these circles, aren't for the weak of heart or the strong of head.

The top candidate for U.N. secretary-general can't face the truth of Palestine in 1948 or Israel in 2023.

Humanitarianism didn't restrain Ms. Rodrigues-Birkett while celebrating 40 years of Guyanese diplomatic relations with Cuba. "To speak about Cuba, its achievements, its resilience, its focus on human development," Ms. Rodrigues-Birkett said in 2013 as foreign minister, "cannot be done without paying tribute to the visionary, determined, revolutionary behind it all, Comandante Fidel Castro. . . . Let us also pay tribute to Comandante Fidel not only for what he has done for Guyana, but also for humanity at large."

For Israel, by contrast, Ms. Rodrigues-Birkett is full of invective. Speaking at the U.N. Security Council over the past few years, she repeatedly accused the Jewish state of "genocide" along with "colonialist aspirations, fueled by a racist and religious ideology of superiority."

Ms. Rodrigues-Birkett even dumped on Israel for trying to get Gazan civilians out of harm's way. "Quite cynically," she said in May 2024, "it has urged civilians to evacuate to safe zones." This was right after Israel had evacuated civilians from the city of Rafah in days, despite the world's insistence that it was impossible—and that Hamas thus had to be left in control of its arms-smuggling hub.

Perhaps most instructive is Ms. Rodrigues-Birkett's September 2024 remark on the history of the Arab-Israel conflict. She began with the usual cliché to excuse Hamas: "The situation in Palestine today did not begin on 7 October 2023." Instead, she continued, "We must cast our minds back to 1948 because it was in that year that Israel first violently rejected the two-state solution."

In reality, the Jews of Palestine accepted the two-state U.N. Partition Plan, and the Arabs of Palestine went to war to prevent it. Their aim was to extinguish any Jewish state, and their theme was extermination—only a few years after the Holocaust, which their leader had urged Hitler to bring to Palestine. They lost despite the help of five Arab armies, only to recast their defeat and suffering as Israeli aggression.

As the Israeli writer Shany Mor has noted, the recent war followed the same pattern. Hamas started the war by massacring Jews on Oct. 7, 2023, in a state of ecstasy, which the Palestinian masses shared as they celebrated the victory. But the initial ecstasy was memory-holed as soon as Israel fought back. Gazans suffered under bombardment as Hamas fought from and beneath Gaza's cities instead of releasing the hostages. For Palestinians, U.N.-style humanitarians and most of the press, the war again became a tale of Israeli aggression and Palestinian victimization.

It is simpler to see it that way and to imagine, with Ms. Rodrigues-Birkett, that the Palestinians merely want to share the land. Otherwise, what to make of a national movement that turns down its oppressor's offers of statehood—not only in 1948, but twice in this century—and instead launches gruesome waves of terrorism and war after war it can't win? What to make of an "international community" that rewards it every time?

Mr. Kaufman is a Journal editorial board member and a co-author of "In the War Room: The Inside Story of Israel's Fight Against Hamas and the Iranian Axis," forthcoming Sept. 8.

SPORTS

JASON GAY

Novak Djokovic Crashes Out Early At the U.S. Open. Could This Be It?

The 24-time major winner, now 39, physically unravels in a stunning first-round loss

CHARLY TRIBALLEAU/AGENCE FRANCE-PRESSE/GETTY IMAGES

Novak Djokovic lost to Mariano Navone in a first-round match at the U.S. Open on Sunday.

The end comes for everyone, even Novak Djokovic. When it comes in tennis, there's nowhere to hide.

On Sunday the 39-year-old Serbian champion fell on the opening night of the U.S. Open, losing to the unseeded Argentine Mariano Navone, 7-6(5), 5-7, 4-6, 6-2, 6-1.

On a steamy evening in New York where he was the main attraction and the roof on Arthur Ashe Stadium was closed for passing rain, Djokovic physically wilted, unable to summon the sorcery that made him the winner of 24 major tournament titles.

Instead, an old pro had himself a miserable night. Djokovic's game grew erratic as his body faltered. He tried to conserve energy and find momentum but he repeatedly got caught flat-footed by Navone. At one point, Djokovic turned to the corner of the court and vomited.

Djokovic suffered a similarly queasy wipeout a few weeks ago at a tournament in Cincinnati, but this was his first loss in 20 opening rounds at the U.S. Open. It's the first time he's lost in the opening round of a major since 2006.

This year's Open field was seen as a tantalizing opportunity for Djokovic, since it is missing World No. 1 Jannik Sinner and Carlos Alcaraz is back from injury but presumed to be at least a little rusty.

The fourth-seeded Djokovic couldn't get his own car out of the garage.

After spotting Navone the first set in a tiebreak, Djokovic rallied to take a two sets to one lead. It felt like a familiar reset—the wizard finding a way. Then Djokovic let Navone turn the match back around.

In the fifth set—the scene of so many Djokovic comebacks—Djokovic could do little more than sleepwalk. He briefly turned emotional when the crowd tried to rally behind a four-time Open champ who's so obviously battling his tennis mortality.

What happens from here? Djokovic gets asked this question with every major exit since the last major he won, which was this tournament, three years ago. He's said he'll continue to play as long as he enjoys it, but he can't be enjoying this very much.

Not only has the gap widened between Djokovic and elite stars like Alcaraz and Sinner, but he's become vulnerable to up-and-comers like Navone, a 25-year-old clay court specialist who had yet to win a five-set match.

Bravo to Navone, of course. But Djokovic surely doesn't love having his defeats turn into other people's career mountaintops.

That said, Djokovic's 2026 résumé is far from embarrassing. A defeat in the Australian Open final to Alcaraz. A prideful third-round exit to phenom Joao Fonseca in Paris. A semifinal loss at Wimbledon to eventual champ Sinner.

Not terrible for 39. It would be a career year for the vast majority of pros. Whether it's enough to keep Djokovic training, suffering and sacrificing is unclear.

His elastic body needs work in the lab. Djokovic's strokes lack the ferocity of his prime, which is no surprise. It's the deterioration of his endurance that's most concerning. Stamina has always been Djokovic's superpower, his ability to escape deficits and outlast opponents by dragging them deeper into a match.

Sunday should have been another example. It was the sort of grinding, four-plus hour match Djokovic perpetually found a way to win.

Instead, as Navone raised his game, Djokovic faded away. With his family sitting courtside, he seemed ready to go home. His goose was cooked. It grew hard to watch.

This is how it happens. Nobody's greatness extends forever. The sport just finished off a week-long celebration fiesta for Roger Federer leading into his induction into the International Tennis Hall of Fame.

It feels strange, seeing Fed as a retired statesman, playing an old-

This is how it happens. Nobody's greatness extends forever.

timer's hit-and-giggle with pals like Johnny Mac. Old friend Rafael Nadal is already commemorated with a statue outside Roland-Garros.

Can Djokovic's bronzing be far behind?

This month Amazon released a moody documentary about Djokovic called "The Wolf in Winter," which tries to explain why he's still out there hunting. It begins with a very on-the-nose scene of Djokovic howling like a *canis lupus*.

I'm not sure what's happening to the wolf, but it is definitely feeling like winter for Djokovic. The clock is ticking, the magic is fading and the comebacks are harder than ever to summon. The greatest to do it now has choices to make.

Star Steps Away From International Play

STEPHANIE SCARBROUGH/AP

Lionel Messi, who played in six World Cups, announced that he is retiring from Argentina's national team.

Scheffler Ends His Agonizing Season With a $10 Million Payday

By Andrew Beaton

SCOTTIE SCHEFFLER'S season had defied all logic.

Despite playing better than any other golfer around, Scheffler found himself incapable of winning. Entering the PGA Tour's playoffs, he had gone the entire spring and summer without a single victory.

That's when Scheffler reminded the golf world why, even after a season without a major championship, he's the game's No. 1 player. He has his second Tour Championship to prove it.

Scheffler's win Sunday at East Lake Golf Club in Atlanta marked his second victory in three weeks since the playoffs began. The victory put the 30-year-old in elite company, alongside only Tiger Woods and Rory McIlroy as the only players with multiple Cup titles. And for any of his peers who thought Scheffler's struggles might be a sign of weakness, Scheffler showed the opposite: His arsenal now looks more complete than ever.

"Golf is a difficult game," he said. "It's really difficult to win out here. I feel like, when I'm close, it can be almost even more frustrating."

Scheffler began 2026 with a bang when he won his first start at the American Express back in January. But after that, trophies eluded him. While he played consistently well, with 11 top-10s in 17 starts going into the postseason, that remained his sole victory.

In the past when Scheffler went through dry spells, it was usually for the same reason. Despite hitting his drives and irons brilliantly, he frequently ran into problems on the greens. This season, though, was different. His putting looked like it was turning into a strength.

Which is precisely what propelled Scheffler when he demolished the field at the first playoff event at TPC Southwind in Memphis. When he finished at 17-under par, eight strokes clear of second place, he became just the fifth player in the past 40 years to record multiple career victories by that wide of a margin. And the reason he did it is because he led the entire field in strokes gained putting.

A week later, at the BMW Championship, Scheffler was battling a case of hand, foot and mouth disease and still managed to finish 12th. But after recovering, there was no stopping him with $40 million in prize money—and $10 million to the winner—on the line at the Tour Championship.

Scottie Scheffler joined Tiger Woods and Rory McIlroy as the only players with multiple Cup titles

COLIN HUBBARD/AP

Entering the final day three strokes back of Norway's Viktor Hovland, who won the event in 2023, Scheffler fired a final round of 66 to finish at 16-under par and ultimately best Hovland by three shots. The result all but guaranteed that he will notch his fifth consecutive player of the year award—meaning he'll trail only Woods and Jack Nicklaus in the record books.

The scariest part for Scheffler's opponents is that his play over the past few weeks has hinted that his weakness has been vanquished. Scheffler finished the year sixth on Tour in strokes gained putting—a far cry from 2023 when he ranked among the worst, all the way down in 162nd. As for the rest of his game, he has led the pack in strokes gained tee-to-green for four consecutive seasons.

While Scheffler spent much of the year frustrated, this weekend's victory and enormous payday secured one more record for him. With $130 million in career earnings, he has now surpassed Woods on the Tour's career earnings list.

"The feeling that I have right now is a lot different than the feeling I have hopping in a car again, getting ready to leave, finishing second," he said. "It hurts a lot more than winning."

Shein Speeds IPO to Avoid Payout

Fashion giant would owe billions to some investors if it doesn't go public by year-end

By Esther Fung

Companies typically go public to raise money to supercharge growth. Fast-fashion giant Shein has another motivation.

Its initial public offering in Hong Kong this week is allowing it to avoid paying out billions to early investors. If Shein hadn't sold shares by the end of the year, the company would have been required to fork out nearly $4.4 billion in cash to holders of its convertible redeemable preferred shares. With the IPO, the $17.3 billion in preferred shares was converted to ordinary equity, and that obligation was wiped off the books.

But Shein was still on the hook for another payment. Holders of those preferred shares were entitled to a payout of billions more, in part because the company's valuation has fallen from its peak. That payout came to nearly $3.5 billion in cash, according to regulatory filings.

The retailer on Monday priced its shares at 48.56 Hong Kong dollars each, equivalent to about $6.20 and near the middle of the range of HK$47.60 and HK$49.50 it provided last week.

The company pressed ahead with its IPO despite slowing growth and regulatory headwinds in the U.S. and European Union. Shein priced its IPO at a valuation of around $26 billion, roughly a quarter of the $98.2 billion valuation it achieved in a funding round in 2022.

Shein started selling its wares in the U.S. around 2012 and shot to popularity during the pandemic when more people shopped online. Its supply-chain prowess and range of styles at affordable prices made the brand a favorite among U.S. consumers. It showed other retailers, including **Amazon**.com, that consumers were willing to wait more than a week for their online purchases to be delivered—if the price was right. But rivals soon emerged, such as Temu, which sells more products apart from apparel.

$4.4B

The cash obligation Shein skips by launching its IPO before year-end

Shein's business model of selling massive amounts of cheap goods lost some of its shine as more countries started imposing tariffs on small packages. The U.S. removed a trade exemption that allowed packages valued at or below $800 to enter the country duty-free, and the EU has introduced a €3 (about $3.50) customs duty on imports of low-value parcels.

Shein has worked toward its IPO for years, and the $4.4 billion obligation wasn't the only reason it went public. But the threat of the big payout on Dec. 31 was certainly a part of its reason to press ahead, said Jianggan Li, founder and chief executive of Momentum Works, a research advisory firm in Singapore. "Complete the listing before then," said Li, "and a very large liability comes off the balance sheet."

While that liability will now be off its books with a successful IPO, Shein said it

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◆ Heard on the Street: Don't count Shein out B10

SARAH YENESEL/EPA/SHUTTERSTOCK

John Ternus takes over as CEO on Tuesday,

Apple Investors Want New CEO to Be Innovator

By Rolfe Winkler

Apple is on top of the world. That may be John Ternus's biggest challenge but also his largest opportunity.

When Ternus steps in as Apple's chief executive on Tuesday, he takes over the world's second-largest company by market capitalization, valued at nearly $5 trillion. Starting from such lofty heights, it could be difficult to continue the company's remarkable climb.

There is one way, which company observers have said has been lacking since the Steve Jobs era: revving up Apple's innovation engine, especially in artificial intelligence.

Tim Cook's brilliance was to take the company Jobs built and scale it, massively. The year Cook took over, Apple sold 72 million iPhones. This year it will be 255 million, Counterpoint Research estimates.

Tripling volumes, hitting annual release dates like clockwork, minimizing risky capital investments and returning more than $1 trillion to shareholders through dividends and buybacks helped Cook multiply Apple's valuation 13 times.

And it isn't as if Apple stopped innovating entirely. The company sells more watches annually than Switzer-

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Ad Leaves Golf's Good Good in a Rough Spot

By Andrew Beaton

Garrett Clark and his buddies spent years building an ultra popular YouTube channel devoted to their love of golf. They called it, simply, "Good Good."

With their jokey, back-slapping attitude, they pulled off viral stunts, filmed themselves on storied courses, and gained enough followers to shoot videos with the likes of NBA superstar Stephen Curry and two-time major champion Bryson DeChambeau. Good Good, which launched its own apparel brand, had received tens of millions in investment and even struck a deal to sponsor a PGA Tour event later this year.

"The fact that we can post ourselves traveling around and playing golf, just as friends," Clark says, "it feels like a freaking dream."

It took a single clip to turn into a nightmare.

Last week, Good Good found itself at the center of a spiraling controversy after releasing a video in partnership with the equipment giant Callaway that its creators admit went horribly awry.

In an attempt to parody the hit horror movie "Obsession" released this year, the 60-second commercial showed Clark as someone so entranced by his new driver that he wouldn't let anyone else touch it. But a 15-second clip from it that spread like wildfire on social media shows a snippet where he shoves a woman, a creator who works with Good Good, when she attempts to grab the club. Critics alleged that it promoted violence against women.

BEN JARED/PGA TOUR/GETTY IMAGES

Garrett Clark, seen at a 2025 golf event, helped create a company that had received tens of millions of dollars in investment.

Good Good and Callaway removed the video and issued several apologies, but they couldn't quell the blowback. On Thursday, Callaway ended its yearslong partnership with the company while the Tour said Good Good decided to "step away as a sponsor." Good Good's executives said that they planned to donate sales of the driver to a local women's organization, and that they had implemented more rigorous protocols to prevent such missteps from happening again.

While other creators post edgy content to garner attention, the Good Good crew amassed over two million followers with lighthearted content—until a crude attempt to try something different and spoof a movie blew up in their faces.

"It doesn't feel like us," said Matt Kendrick, the company's chief executive. "Our ads are always fun, they're upbeat, like it makes you feel good. And we know that this did not make people feel good."

Growing up in Kansas City, Kan., Clark was hooked on golf from the moment he played his first round in 2013. A few years later, he started making videos to showcase the game he loved. He taught himself how to juggle a golf ball and would spend hours filming to nail a single trick shot—like hitting a ball so it bounces off several concrete slabs before it goes in the hole.

Slowly, his efforts started to pay off and Clark gained tens of thousands of followers

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DAVID PAUL MORRIS/BLOOMBERG NEWS

BUSINESS NEWS

GameStop raises its outlook, buoyed by gains from the stake it bought in eBay. **B3**

TECHNOLOGY

China's Huawei posts a big drop in profit after its spending on R&D soared. **B4**

A Bank Drama Deep in the Heart of Texas

By Ben Glickman

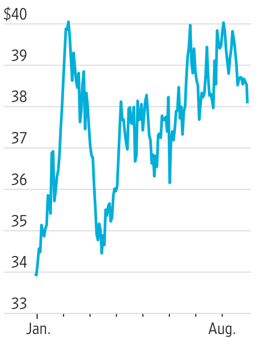
A family battle over a billionaire's fortune, from boats and a jet to Dallas Cowboys tickets, is rankling the board of a small regional bank in Texas.

Texas banking veteran Gerald J. Ford is ensnarled in a legal fight with some of his adult children over a large stake in **Hilltop Holdings**, the $2.2 billion financial-services holding company he forged. Four of Ford's children—including son Jeremy, who took over as chair from Ford in 2025—are suing to wrest away control of their father's more-than-26% stake in Hilltop, valued at some $600 million.

At the core of the disagreement is family drama: The children claim Ford (no relation to the former president) is suffering from cognitive decline, and is being manipulated by his longtime second wife, Kelli O. Ford, and others. Ford's camp, which includes children from his second marriage, rejects that and says it is simple greed and an attempt by his older children to gain millions on top of what they have already been gifted.

The disagreements over estate planning have now morphed into something that may belong more on an HBO dramedy than in a boardroom.

Hilltop Holdings share price



Source: FactSet

JOHN CAIN

From left, Gerald J. Ford, Kelli Ford, Kelli O. Ford and Electra Ford

In late July, Ford withheld his votes for the entire board at the company's annual shareholder meeting, which would mean three directors didn't get a majority of votes. The four children disputed his ability to vote the shares held by a family investment vehicle.

The board chair and CEO is suing his largest individual shareholder, who is also his father.

If Ford, 82 years old, were to die, it is unclear who would get voting control of his stake, leaving open questions about a major block of shares for the bank.

"It is a war of attrition waged by a sitting Chairman and CEO against his own benevolent father, on the apparent theory that time and exhaustion will extract what negotiation could not," Electra Ford, Ford's 22-year-old daughter from his second marriage, wrote in a letter to Hilltop's board of directors viewed by The Wall Street Journal.

The latest salvo in the case came in late August, when Jeremy Ford said in a sworn statement that his father had not been capable of making important business or legal decisions for years, noting repeated examples in which his father forgot which city he was in.

"Gerald J. Ford has significant memory problems," Jeremy Ford wrote, reiterating his allegations Kelli O. Ford was attempting to block him from seeing his father.

"The allegation that Kelli manipulates or controls Jerry is false and deeply unfair. They share a loving and supportive partnership of more than 25 years," a spokesman for Gerald and Kelli O. Ford said.

Ford made his name investing in distressed or undervalued banks, often alongside famed corporate raider Ronald Perelman, and then flipping them for a big profit. He joined a predecessor to Hilltop in 2005 after investing in the business. In the years that followed, the company acquired PlainsCapital

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Stocks Fall, Oil Rises On Mideast Fighting

By Krystal Hur

Stocks fell and oil prices climbed Monday, with renewed fighting in the Middle East stoking unease on Wall Street.

West Texas Intermediate crude futures, the U.S. benchmark for oil, rose 2.8% to $85.76 a barrel, after U.S. forces attacked two Iranian rocket launchers in the Strait of Hormuz Sunday, damping hopes after weeks without American strikes that the war with Iran could soon end. Brent crude closed the month above $90, up 1.3% on the day.

Oil prices have swung wildly throughout August, with new developments leaving investors unsure about the possibility of a diplomatic resolution with Iran. U.S. oil futures ended the month 1.3% higher, not far from where they began the month.

Energy stocks rose 2.1%, joining information technology as the only sectors of the S&P 500 to finish Monday's session higher. Shares of **SLB** climbed 4.8% and **Devon Energy** added 2.4%, while **Halliburton** and **Baker Hughes** both rose more than 1.8%.

U.S. stocks slipped more broadly. The Dow Jones Industrial Average fell 0.7%, or 374 points, leading the losses. The S&P 500 dropped 0.3% and the Nasdaq composite lost 0.1%.

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INDEX TO PEOPLE

BUSINESS & FINANCE

Innovation Is Key for Apple CEO


BRENDAN MCDERMID/REUTERS

Tim Cook and his successor as the company's chief executive, John Ternus, in July.

Continued from page B1
land. AirPods are as big as Major League Baseball by sales. Add to that the huge and highly profitable services business that Cook has expanded which includes app sales and tens of billions of dollars in fees paid by Google.

But, in Wall Street parlance, the positives look priced in. Apple stock trades at 33 times next year's earnings, compared with the S&P 500's collective multiple of 20 times. Apple gets that premium even though its earnings are growing half as fast as the market.

Investors are paying up for Apple because it looks relatively safe at a time of broad anxiety over returns to be had on massive investments in AI, argues analyst Craig Moffett of Moffett Nathanson.

"But when valuation gets stretched, safety isn't safe anymore," Moffett said.

And there are negatives that investors may be overlooking. In the age of AI, Apple has lost its status as the company that defines how consumers interact with devices, a title it held for 40 years, from the Apple II to the iPhone.

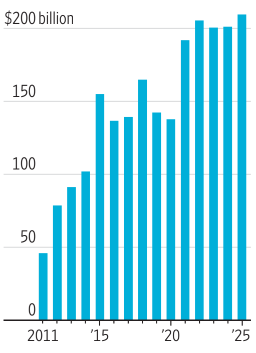
That leaves it vulnerable to a new generation of devices built specifically for AI, which **OpenAI** and **SpaceX** are working on, for instance.

The AI boom has dealt Apple another blow. Suddenly it is no longer the dominant buyer of key components that it needs to make its devices. AI hyperscalers throwing gigantic sums at chip makers are eating up the capacity Apple needs, chiefly for memory and storage chips, as well as logic chips. That isn't only driving up Apple's costs, which it is passing on to consumers, it is also leading to shortages as the company can't meet consumer demand.

The other major supply-chain issue hanging over Ternus's head is Apple's continued dependence on China. Cook has mostly warded off President Trump's tariffs with his deft politicking, and Apple's long-time CEO will continue to handle key political relationships in his role as executive chairman, but the fundamental problem remains: Most of Apple's supply chain resides in a country locked in a long-term trade war with the U.S.

Meanwhile, a determined California judge appears to have slowed Apple's services juggernaut with rulings that reduce the fat fees Apple has long collected for in-app purchases. App developers who kick back as much as 30% of mobile revenue to Apple can now dodge such payments by charging via their own websites. Appfigures estimates that Apple's App Store commission revenue in the U.S. fell 6% in the June quarter.

Apple's iPhone revenue since Tim Cook took over as CEO



Source: the company

But when Ternus bounds on stage for the first time as Apple's CEO on Sept. 9, he can feel confident that Apple devices are more popular than ever. Whatever the iPhone 17 Pro lacked in AI features was outweighed by its better camera, stronger battery, and, silly though it sounds, its cool orange color. Buyers snapped them up at record volumes.

The Mac, too, is having a renaissance as it turns out the Apple-designed chips inside them are great for running large language models from a desktop. Apple can't make Macs fast enough, leading to the shortages.

And for the first time in a while, Apple will have one more thing up its sleeve to close out Ternus's first iPhone launch event: a foldable iPhone.

If Ternus can speed up Siri, if he can convince app developers that they need to open up their services to the AI assistant so iPhone users can access them with simple prompts rather than clicking in and out of apps, it could it could set the stage for Apple, an AI laggard in many respects, to become the company that delivers the promises of the revolutionary technology to the most consumers.

Shein Aims To Speed IPO Rollout

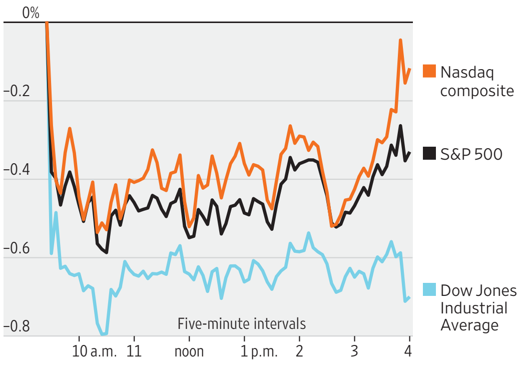
Continued from page B1
was saddled with another bill: the roughly $3.5 billion it owed its early investors upon going public. That amount includes $1.3 billion that Shein had to pay several late-stage pre-IPO investors who had been guaranteed a cash payout at an 8% or 12% annual return, and up to $2.2 billion in compensation for the fall in the company's valuation in the period after they made their investments. The $2.2 billion was a projection based on the lower end of the offer price range, or HK$47.60 per share, so the total bill will likely be smaller than $3.5 billion. The exact amount has yet to be disclosed by the company.

Notably, the amount it owes investors is more than the roughly $1.7 billion the company raised in the IPO. The company said it was paying the funds to its investors out of cash it has on hand.

The investors entitled to the payments include entities linked to HSG, formerly known as Sequoia China, Boyu Capital, Tiger Global, General Atlantic, Thrive Capital and others.

"What the IPO really does here is resolve the capital-structure overhang," Li said. "It gives investors liquidity, terminates those preferred-share rights and cleans up obligations created when Shein raised money at much higher valuations."

Index performance on Monday



Source: FactSet

Oil Prices Rise, Stocks Decline

Continued from page B1
Treasury yields continued rising after a jump Friday in response to Federal Reserve Chairman Kevin Warsh's remarks at Jackson Hole, Wyo. The yield on the 10-year U.S. Treasury note rose to 4.757% from 4.721% on Friday.

"There's plenty for investors to worry about," said Peter Cardillo, chief market economist at Spartan Capital Securities.

> **'There's plenty for investors to worry about,' says Peter Cardillo.**

Still, the major indexes ended August with gains, with the Dow notching its best five-month run since November 2024.

Software stocks—rather than the usual highflying AI shares—led the run higher. The S&P 500's biggest gainer was **Moderna**, after news in August that an experimental mRNA vaccine co-developed with **Merck** succeeded in preventing cancer from coming back or spreading in a study of high-risk melanoma patients.

In a CNBC interview Monday, Treasury Secretary Scott Bessent said he wouldn't speculate on the Fed's next move in September. But he listed a few reasons in favor of holding rates steady.

"We've seen a supply shock, and traditionally you don't raise [rates]...unless you see second or third-order effects," Bessent said.

Elsewhere, **Apple** shares fell 0.9% on Monday, Tim Cook's last day as chief executive. The iPhone maker's stock has soared more than 2,200% since Cook took over as CEO in 2011, giving investors a price move of roughly 23.5% a year on an annualized basis. That's more than twice the annual gain of the Dow industrials and easily more than the S&P 500 and Nasdaq composite.

Shares of **Amazon.com** dropped 2.5% after The Wall Street Journal reported that the Federal Trade Commission planned to file a lawsuit against the e-commerce giant, alleging it manipulated prices to deceive advertisers into paying higher prices to promote their products. The FTC filed the suit later in the day.

A Banker Drama In Texas

Continued from page B1
Bank and other banks.

It now also houses mortgage originator PrimeLending and an investment bank called Hilltop Securities, controlling about $15 billion in total assets.

Ford, worth about $3.2 billion according to Forbes, became a prominent socialite and mainstay of the Texas business community. His name adorns Southern Methodist University's football stadium, and he has been seen golfing with former President George W. Bush. He owns a ranch for breeding race horses and has frequented the Texas charity circuit.

But regional and community banks have been struggling to keep their depositors, facing fierce competition from national megabanks and online investing alternatives. PlainsCapital has been no different: Deposits have fallen in three of the past four years, despite many of the company's more than 50 branches being in faster-growing metropolitan areas in Texas. More superregional banks, such as Fifth Third and Huntington are looking to expand in the state, ratcheting up competition.

Jeremy Ford, Ford's first son, took over as CEO of the holding company in 2010, when he was 35. He later became head of PlainsCapital Bank and chairman of the holding company. Since gaining more influence, he has emphasized cutting costs to boost profits and continue returning capital to shareholders.

The saga kicked off in April 2025 when Jeremy Ford claimed his father was incapacitated, triggering a clause that would allow him to buy out his father's interest in the family entities. Jeremy Ford argued his father had suffered a brain injury in 2017 and had since experienced more cognitive decline and worsening dementia, according to court filings. He said his father was being taken advantage of by an executive of his family office and his wife, Kelli, and that they had threatened to liquidate assets.

Most of the economic benefit from the stock already accrues to the children, but voting control and management of the shares rests with their father.

Ford's side denied he was incapacitated and refused a cognitive test, the court documents say. Jeremy Ford and his siblings sued in July, seeking to force a transfer that would give them control over the votes and prevent liquidation.

The parties agreed to a settlement soon after, which was revealed in court filings. Ford would relinquish his control of certain family entities, in exchange for payouts valued at $185 million, according to the documents. He would hold on to about a fifth of the stock.

The perks were included too: Ford would keep the titles for his Mercedes-Maybach and his two boats in the Hamptons. He would retain access to the family jet and ranch, as well as the corporate box at AT&T Stadium, home of the Dallas Cowboys play.

In June, the deal fell apart. Ford's lawyers said the children reneged, proposing new terms that were less valuable and would leave Ford with less stock. He asked the court to enforce the term sheet, revealing elements of the deal publicly.

The children say the term sheet wasn't binding, alleging irregularities in due diligence and the need to name additional parties to the settlement. The impasse led to the board vote, which the company reported as two separate outcomes.

A Hilltop spokesman said the litigation was a "private family matter" and hasn't had an effect on operations. The company said the board was "fully apprised" of the litigation and looks forward to a resolution that eliminates the uncertainty.

Good Good Winds Up In Rough

Continued from page B1
on Instagram.

"I thought golf was a fairly stale and boring sport at the time," Clark says. "So I got a little creative with it."

Then Clark transitioned to YouTube to make longer videos, and his friends joined in, becoming well-known characters in their own right. They moved down to Frisco, Texas, and adopted the name Good Good—the phrase two golfers use on the green to give each other gimme putts.

Soon enough, Good Good was a force in the golf ecosystem. When the company released a putter in 2022, people camped out overnight to get their hands on it. It first partnered with Callaway in 2023, and last year Good Good received a $45 million investment to expand its business. This fall, the company was set to be the titular sponsor of the PGA Tour's Good Good Championship in Texas.

Good Good's content ranges from the six guys just playing golf to goofy stunts. They played a match with Curry and challenged DeChambeau, one of the game's biggest hitters, to a long-driving competition. They also concoct videos such as "Stuck at Golf Course Until We Hole in One Every Hole." (They eventually escaped after about seven hours of taking on a short par-3 course.)

But when it came to the Callaway commercial, Kendrick says, the idea was a "failure within our marketing team." The video was ultimately produced by Good Good and approved by Callaway before its release.

"It was a huge mistake," Kendrick added. "We're sorry, and we want to do better."

The fallout for Good Good has continued to pile up. In addition to Callaway and the PGA Tour, Golf Channel scrapped a planned reality-series collaboration and major retailers dropped the company's apparel. (Kendrick says product sales account for about 70% of the company's revenue.) Kendrick also attacked Callaway's decision, writing on X: "Interesting that @CallawayGolf asks us to make an ad then approves it then asks us to take the fall then drops us in a coordinated media blitz."

To the members of Good Good, it is especially disheartening because they say they have sought to promote the inclusivity of women. Last year, it launched Good Good Girls, which posts similar content starring several women who played collegiate golf. The channel already has over 175,000 subscribers.

"It's disappointing for them, too," Kendrick says. "We want to get back to making content that we know, that families sit down and watch together."

GameStop Lifts Outlook Amid eBay Stake

Videogame retailer forecasts gains from investment to offset decline in sales

By Connor Hart

GameStop expects second-quarter profit to climb, boosted by investment gains from its stake in **eBay**, but said sales likely fell from a year earlier.

The videogame retailer on Monday said it anticipates net income of $290 million to $310 million for its 13 weeks ended Aug. 1, up from net income of $168.6 million in last year's comparable quarter.

The forecast includes about $238 million of net gains related to its eBay derivative asset and equity investment, partially offset by a loss of roughly $75 million on digital assets and related receivables, the company said.

GameStop said it converted its previously disclosed derivative position related to eBay into direct equity investments during the quarter, resulting in a decrease in cash, cash equivalents and marketable securities.

GameStop shares rose 2.9% to $18.38 each.

Second-quarter net sales are projected to come in between $780 million and $800 million, down from the $972.2 million it posted last year. The company said the decrease primarily reflects the prior-year launch of Nintendo's Switch 2, planned store closures and the divestiture of its French operations.

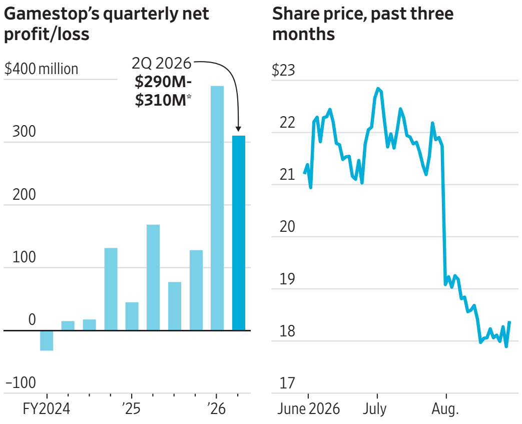
GameStop Chief Executive Ryan Cohen this year made an unsolicited offer to buy eBay for about $56 billion, saying he saw a path to make the e-commerce company a much bigger competitor to Amazon.com. EBay later rejected Cohen's proposal as "neither credible nor attractive," though Cohen has maintained publicly that he will keep trying to pursue a deal.

GameStop has amassed a 7.78% stake in eBay, according to a May filing with the Securities and Exchange Commission.

Separately, GameStop said it amended a deal to retire $1.4 billion in zero-coupon convertible notes due in 2030 and 2032.

As originally structured, the exchange was to be settled entirely in shares of GameStop's Class A common stock, with the number of shares based in part on the volume-weighted average price of the stock over a 35-trading-day reference period that began on Aug. 3.

The company will instead pay out the remainder for $358.4 million in cash to avoid issuing additional shares.



*High point of projected range Note: Latest fiscal quarter ended Aug. 1
Sources: S&P Capital IQ, the company (profit/loss); FactSet (share price)

SEC Presses Firms Offering Startup Investments

By Corrie Driebusch

The Securities and Exchange Commission has stepped up its examinations of firms behind so-called special-purpose vehicles that purport to offer exposure to private company investments.

SEC examiners have been asking registered investment advisers for proof that their SPVs own or have exposure to the shares in private companies that they claim to, people familiar with the matter said.

Regulators decided to take a closer look following increased investor complaints and a marketing blitz by such funds ahead of **SpaceX**'s blockbuster initial public offering and **Anthropic**'s planned IPO, some of the people said.

The SEC's examinations so far have typically involved document requests and some include an in-person component, one of the people said. They can take anywhere from several weeks to a year.

SPVs hold shares in private companies either directly or indirectly, by investing themselves or in other funds with stakes.

They proliferated in recent years as companies stayed private for longer and individual investors wanted to profit from their ballooning valuations.

SPVs operate under few regulations, and the SEC has the authority to check the funds that are held by registered investment advisers. Some SPVs are offered by firms that are technically outside of the SEC's purview, though if there is an issue of fraud, the SEC has authority to investigate and take action.

Cracks in the SPV universe are already appearing. The Wall Street Journal recently reported on an SPV fund that touted pre-IPO exposure to SpaceX but later told investors the shares were sold before trading in the rocket company began, limiting investors' expected gains.

Another investment firm that sold stakes in pre-IPO companies filed for bankruptcy protection last year, citing investigations into its business and questions about what its customers even owned.

Some large private companies are also worried about possible bad actors in the SPV world. Anthropic in May updated a notice on its website saying it wouldn't recognize sales of company stock that haven't been approved by its board and called out several online platforms that resell interests both directly and indirectly through SPVs.

Trump Supports Film, TV Tax Credit

By Ben Fritz

President Trump on Monday declared his support for federal tax credits to support film and television production in the U.S., which entertainment-industry veterans say could boost a struggling industry that has lost huge amounts of business to foreign countries.

Studios, labor unions and members of Congress from production hubs including California have been lobbying the White House since last year to endorse a federal incentive, according to people familiar with the matter. Many didn't want to speak publicly until the president did, believing he could most effectively rally the Republican-controlled Congress behind the idea.

In a post on platform Truth Social, Trump said he decided to endorse legislation after meeting with actor Jon Voight, a prominent Hollywood Republican who has been an adviser to the president on Hollywood issues.

"The amount of money spent on Tax Incentives will be made up tenfold by the money pouring into the Treasury's coffers," Trump wrote. "Meetings are being set up with the Leaders of both Parties in order to get this done. It should be Bipartisan, especially since so much money is being lost in California, and other largely Blue States."

Industry leaders have suggested a federal tax credit of 15% to 20% would, when added to the credits many states already offer, make the U.S. more competitive with the incentives and labor costs in Canada, the U.K. and Hungary.

Companies Plow Tariff Refunds Into Price Cuts

By Kristin Broughton And Jennifer Williams

Some retailers and consumer goods companies are reducing prices with help from a big and fortuitously timed pot of money: tariff refunds.

Companies including **e.l.f. Beauty**, **Walmart** and **Tractor Supply** are funding price cuts with refund payments due to them after the Supreme Court struck down President Trump's global tariffs. The price cuts are aimed at boosting sales when many consumers are stretched thin from years of rising costs. Tariff refunds are helping companies protect their profit margins amid a spike in inflation. Some companies began rolling back certain prices earlier this year. Tariff refunds are providing the backing for more companies to do the same.

E.l.f.'s tariff refund offered the company a rare opportunity to tweak pricing, according to Chief Financial Officer Mandy Fields. In May, the beauty company launched a test to gauge consumer sensitivity to price reductions, after reporting slower-than-expected sales growth at its own brand during its March quarter. Last year, the company raised prices by $1 across its portfolio to offset the impact of tariffs.

MIKE SEGAR/REUTERS

Walmart in August said it rolled back prices on 11,000 items, including ground beef.

The company began its test by discounting the price of its Halo Glow Skin Tint by $4, Fields said. The move resulted in a nearly 40% increase in unit sales. The company then expanded the test across almost its entire portfolio of products, with most items reduced by $1, to see where volumes increased enough to offset the discount. E.l.f. made the price cuts permanent on roughly 10% of its lineup. "The consumer is telling us, they're voting with their dollar," Fields said.

E.l.f. so far has received roughly $50 million in refunded tariff payments, plus $2 million in interest, and expects another roughly $10 million. During its quarter ended June 30, net sales climbed 36%, to $479.4 million, compared with a year earlier. Pricing and product mix drove roughly 39 percentage points of that growth, offsetting a three-percentage-point dip in volumes, Fields said on the earnings call.

After prices at the pump rose above $4 a gallon, consumers began making trade-offs in their spending, devoting more money to gas and less to other things, said John David Rainey, Walmart's CFO, during an earnings call this month. "June was a little more obvious as we look at the quarter in terms of customers making trade-offs. And it's why we have leaned so heavily into lower prices," Rainey said. Walmart in August said it rolled back prices on 11,000 items, including ground beef. It funded the price cuts with refunds worth $2.9 billion.

Appliance maker **SharkNinja** last year raised prices in response to U.S. tariffs, but has held the line this year, according to CFO Adam Quigley. The company expects to receive refunds totaling $247.1 million, which it's using to offset higher costs. Without the refund, the company might have boosted prices in the U.S., Quigley said.

At Tractor Supply, the farm-and-ranch chain is turning to tariff refunds to absorb rising freight and fuel costs rather than passing them on. It is rolling out promotions and lowering prices on items such as pine shavings and premium pet food, said CFO Kurt Barton. "In this environment, as refunds on tariffs are coming through, our commitment is to be able to utilize that to provide great value back to our customer," he said, declining to share the refund amount the company received.

Kristin Broughton and Jennifer Williams write for WSJ Leadership Institute's CFO Journal

Westinghouse Electric Wants to Ride Nuclear-Power Revival to an IPO

By Jennifer Hiller

Huge cost overruns at the U.S.'s last big nuclear-power project bankrupted Westinghouse Electric and soured investors on the industry.

Now, almost a decade later, U.S. government support and an artificial-intelligence-driven surge in electricity demand have put Westinghouse's turnaround into full swing, with an initial public offering on the horizon.

The company, best known as the manufacturer of a U.S. flagship reactor, is riding years of trends that favor nuclear power: rising interest in reliable electricity, a global focus on energy security, and a scramble to build electricity-hungry data centers.

"There really is no credible path to the AI build-out and energy security without nuclear," Chief Executive Dan Sumner said in an interview.

The company confidentially filed in July for an IPO. Although the timing and size of the deal haven't yet been determined, a powerful ally has an incentive for the company to succeed: Uncle Sam.

Under an $80 billion federal push for new Westinghouse reactors, the U.S. government holds an option to take a 20% stake in the company, assuming orders come through by 2029 and Westinghouse's market valuation hits $30 billion.

Since reaching that agreement last year, the U.S. has offered low-interest loans to utilities to finance equipment orders—and signed a landmark nuclear deal with Saudi Arabia from which Westinghouse would likely benefit.

The company's reversal of fortune follows a high-profile implosion in 2017. Then owned by Toshiba, it incurred billions of dollars in cost overruns related to the planned construction of four nuclear reactors in the southeastern U.S. Two were completed; two were halted.

Westinghouse has since focused more on its core business—making nuclear fuel, refueling reactors and maintaining many of the world's nuclear-power plants—while insulating itself from civil construction risks.

The company has said it won't act as general contractor or assume the risk of building an entire power plant. Its signature AP1000 reactor generates enough electricity to power a city such as San Francisco, while a smaller version, the AP300, is under development.

The Pennsylvania-based company is owned by Canadian companies **Brookfield Asset Management** and uranium miner **Cameco**. They bought it for about $8 billion in 2023. At the time, they assigned no value to the possibility of building new reactors but liked Westinghouse's fuel fabrication and services business.

VACLAV PANCER/ZUMA PRESS

Westinghouse supplies fuel to a Czech nuclear-power plant.

Since then, nuclear power has come back in vogue.

President Trump has called for quadrupling nuclear-power output by 2050. Japanese financing secured through a trade deal could help back the U.S. government's push for new reactors—and see the U.S. become a large shareholder in Westinghouse.

The pact is yet another example of the Trump administration's willingness to intervene in corporate America. Last year, the U.S. government converted about $9 billion in federal grants into a 10% stake in **Intel**. It also took a "golden share" in U.S. Steel that gives it sweeping veto power over corporate decisions.

David Nicholas, president of Xfunds, which has a nuclear income exchange-traded fund, said Westinghouse could reasonably command a valuation of $15 billion to $20 billion and "I wouldn't rule out a number north of $20 billion if investors give it credit for the AP1000 pipeline."

Yet utilities remain wary about the cost of building new reactors. Westinghouse estimates an "overnight cost" of roughly $10 billion per reactor—a sum that omits financing charges and assumes that reactors could be built overnight.

When recently asked about new reactors, Southern CEO Chris Womack told analysts he is supportive of new nuclear construction, but: "Southern's not going to be next. Let me be clear about that."

The company operates Vogtle, the Georgia plant that is home to the only two AP1000 reactors in the U.S. The reactors were projected to cost $14 billion but ultimately cost about $35 billion. They came online seven years behind schedule.

Duke Energy CEO Harry Sideris told analysts in August that the utility is "keeping our options open" for nuclear power, but its main focus is "how do we offset the financial risks for our customers and our investors?"

The industry has spent years analyzing what went wrong last time. That list includes everything from design changes during construction to supply-chain challenges that at times idled a huge onsite labor force.

"It's not just the number on the paper," said Adam Stein, director of nuclear energy innovation at the Breakthrough Institute. "Does the CEO or the public utility commission have confidence? The numbers could look perfect, and they might still say no."

The Trump administration is trying to sweeten the pot by offering utilities low-interest loans from the Energy Department. The $17.5 billion pool would allow five projects, each featuring two reactors, to begin manufacturing while working through permits and final investment decisions.

"This lets them purchase something, get some confidence, see how much negative feedback they get and test a lot of things before signing up for a $20 billion project," Stein said.

Sumner called figuring out how to share risks among different companies "real roll-up-your-sleeves-type work."

"We've been sitting here for the last 35 years while, by the way, other countries are rapidly expanding their domestic nuclear fleets," he said. "As an industry, we needed the shot in the arm."

TECHNOLOGY

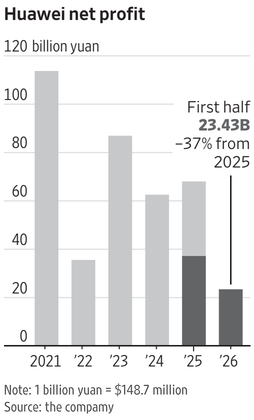
Huawei Profit Falls on R&D Surge

Its research-and-development spending rose 25% from previous year

By Jiahui Huang

QILAI SHEN/BLOOMBERG NEWS

Huawei invested heavily in technologies such as autonomous driving and smart devices.



Chinese technology behemoth **Huawei Technologies**, a company central to Beijing's push for self-sufficiency, reported a drop in first-half net profit despite higher revenue, as spending on research and development surged.

Net profit for the six months ended June fell 37% to 23.43 billion yuan, equivalent to $3.48 billion, the privately held company said.

Revenue rose 9.6% to 467.82 billion yuan.

The company, whose products include telecommunications equipment, smartphones and chips, has been making a steady comeback after U.S. sanctions imposed beginning in 2019 limited its ability to do business in many parts of the world.

Like many other Chinese tech companies, Huawei has spent big on artificial-intelligence research and development, as China seeks to build self-sufficiency across a swath of industries amid heightened tensions with the U.S.

The company invested heavily in technologies including autonomous driving and smart devices, among others. Huawei has been working to offer customers an alternative to chips made by U.S. AI giant **Nvidia**.

It said research-and-development spending reached 121.38 billion yuan for the latest half, up 25% from the previous year. Rising costs of raw materials also weighed on its profitability.

Huawei on Monday said it recorded revenue growth across its business segments during the period.

The company flagged a number of challenges ahead, however, noting external uncertainty and increasing raw-material costs.

"We are taking active measures, and the full-year outlook is still under review," the company said.

SLB Buys Data-Center Cooling Firm for $4.1 Billion

By Katherine Hamilton

SLB agreed to acquire thermal management company Kelvion from private-equity funds for $4.1 billion.

The oil drilling and production company said on Monday that the acquisition is meant to strengthen its growing data-center business.

"This transaction accelerates our ambition to become an industrial technology partner to the data center industry and help customers address the growing infrastructure complexity required to scale AI," SLB Chief Executive Olivier Le Peuch said.

Kelvion provides the healing and heat-transfer technology that data centers need to operate.

The company is expected to generate $2.3 billion to $2.4 billion in revenue this year, more than doubling SLB's revenue opportunity per gigawatt of delivered computing capacity.

Data centers are Kelvion's biggest and fastest-growing end market, making up more than half of the company's total sales.

SLB is buying Kelvion from funds managed by **Apollo**, the majority owner of the company, as well as funds advised by Triton.

SLB plans to pay $3.4 billion in cash and assume about $700 million in debt.

The company said it expects the deal to be accretive to earnings per share and free cash flow in the first 12 months following the close of the deal, which is currently slated for the first half of 2027.

ChatGPT, Reddit, Roblox Under EU Scrutiny

By Mauro Orru

The European Union said OpenAI's ChatGPT, Reddit and **Roblox** should be held to a higher standard of scrutiny under the bloc's Digital Services Act as Brussels seeks to mitigate potential risks from their services and algorithmic systems for millions of users.

The European Commission, the EU's executive arm, said it designated ChatGPT as a very large online search engine and Reddit and Roblox as very large online platforms under the DSA because they counted at least 45 million average monthly users in the bloc. They join ranks of heavyweights like Amazon.com, Apple, Alphabet's Google, Meta Platforms, Microsoft and TikTok that earned such EU designations.

Under the DSA, online marketplaces, social networks, content-sharing platforms, app stores and online travel and accommodation platforms have obligations to ensure their products are safe or risk a fine of up to 6% of their annual revenue as well as periodic penalty payments.

Those designated as very large online search engines and very large online platforms must comply with additional obligations to ensure their algorithmic systems can't be misused to spread illegal content, influence elections or harm users, especially minors.

"These new designations mean that ChatGPT, Reddit and Roblox will now be held to a higher standard of scrutiny and accountability in the European Union, in line with their large impact on our citizens and society," Henna Virkkunen, the commission's top tech enforcer, said.


OLIVIER MATTHYS/EPA/SHUTTERSTOCK

Henna Virkkunen, European Commission's top tech enforcer.

EU officials will gain additional powers to probe the functionalities behind ChatGPT, Reddit and Roblox and ensure they are in line with the DSA. The companies have until the end of the year to comply with their additional obligations.

Representatives for OpenAI and Reddit said the companies were preparing to meet the compliance requirements that come with the designation and would coordinate with EU officials. Joost Hagesteijn, Roblox's General Manager for Europe, said in a statement that safety was foundational to the company and that it would continue to engage constructively with the commission.

The commission has earmarked 28 very large online platforms and search engines under the DSA so far and the latest additions show that EU officials remain undeterred in their efforts to scrutinize powerful companies despite complaints from U.S. President Trump that the bloc is unfairly targeting American companies.

News Corp, owner of Dow Jones Newswires and The Wall Street Journal, has a content-licensing partnership with OpenAI.

E&Y Spurs Employees To Use Human Skills

By Allison Pohle

Not too long ago, companies were doling out bonuses to encourage AI use. Now, at least one major firm is rewarding employees who demonstrate the very human skills needed to ensure all that AI use makes a difference.

Ernst & Young's U.S. division says it will invest $100 million in employee rewards to recognize people who show skills like adaptability, innovation and judgment, as well as experimentation with AI. Individuals can earn spot awards up to $500, and the professional-services firm will give cash awards of up to $25,000 to people and teams that make a material difference to the firm.

With workplaces awash in AI slop, companies say they are finding that just pushing workers to use the technology isn't enough. KPMG revamped its audit internship training this summer to focus more on teaching critical thinking and judgment. Earlier this year, PwC U.S. rolled out a curriculum meant to emphasize both AI skills and human traits like empathy and creativity.

EY says its aim is to reward the skills and behaviors that matter most to the future of the firm and its clients. The move is part of a bigger initiative to change training and development at all levels, from interns to senior leaders.

"This isn't a problem that can be solved with a training course or a single program; it's going to take a sustainable, radical change," says Ginnie Carlier, chief talent and culture officer for EY Americas.

Artificial intelligence isn't just upending the way work gets done at professional-services firms. It is also prompting many firms to shift some parts of the business from charging by the hour to outcomes-based pricing, since AI is cutting the amount of time it takes to do many routine parts of the job.

Still, consulting and accounting firms say AI is driving more business. In 2025, the most recent data available, EY said its AI-related revenue rose by 30% year-over-year.

EY says the $100 million in rewards is designated for the current fiscal year. Employees can nominate colleagues at any level, and there is no limit to how much money someone can receive, Carlier says. Employees and teams can earn between $10,000 and $25,000 for major contributions to the enterprise—five times previous award maximums.

"What we recognize signals what we value," Carlier says.

The reward program is part of an effort to make sure EY continues to attract talent in a rapidly changing market, the company says.

SoftBank Data-Center Firm Offered OpenAI Big Perk to Gain Its Tenancy

By Anissa Gardizy

SB Energy offered OpenAI a major perk to land it as a data-center tenant ahead of the **SoftBank**-backed company's initial public offering.

OpenAI was issued warrants worth an estimated $5.5 billion in SB Energy—a company it previously invested in, according to draft IPO documents reviewed by The Wall Street Journal.

SB Energy is expected to make its IPO filing public as soon as this week. The company, which is majority-owned by Masayoshi Son's SoftBank, is working with bankers on an IPO as soon as September, aiming to raise between $5 billion and $7 billion, the Journal has reported. The terms aren't yet final and could change.

The draft IPO documents provide the first detailed look at the financial ties between SB Energy and the companies supporting its ambitious expansion into AI infrastructure, namely parent company SoftBank and OpenAI. They also illustrate the interconnectedness of major AI players that has come to define the boom.

SB Energy's base of data-center customers currently consists of firms that are also its investors.

SoftBank and OpenAI are the planned tenants in three SB Energy data centers, the documents show. A fourth, 900-megawatt site in Scurry County, Texas, doesn't have a customer yet.

(Parent company SoftBank also serves as one of OpenAI's major investors.)

SB Energy is hoping to convince investors that it can build data centers—and secure the enormous amount of power they need—faster than traditional developers. For now, however, it doesn't have any data centers in operation and has 800 megawatts of computing capacity under construction, according to the documents.


ASHLEY LANDIS/AP

A solar farm owned by SB Energy, whose IPO filing is expected soon, in Buckholts, Texas

The company has contracts with customers for nearly nine gigawatts of computing capacity, which it says is among the largest power pipelines of any U.S. data-center developer, according to the documents. The vast majority of that capacity is expected to come from its southern Ohio campus, which hasn't been built yet. That campus would rely on a planned nearby natural gas-fired power plant.

SB Energy doesn't generate revenue from its data center segment but is planning to report that its contracted backlog in that unit is more than $400 billion.

The firm's revenue primarily comes from its renewable power unit, which focuses on developing solar and battery systems. It generated around $140 million in revenue during the first half of 2026, up 66% from the same period a year earlier, the documents show.

Its net loss increased to $3.2 billion from around $250 million in the first half of 2025, largely driven by changes in the estimated value of its warrant liabilities, the documents show. OpenAI's warrants were valued at $3.6 billion when they were first awarded in January, but increased to $5.5 billion at the end of June, according to the documents.

OpenAI invested $500 million in SB Energy earlier this year. It is expected to own a single-digit percentage of SB Energy shares following the IPO, the documents said. After the IPO, tranches of warrants in SB Energy would vest based on the company reaching certain market-value milestones.

SB Energy, in turn, has committed to purchase at least $50 million of OpenAI software and services through 2028, including ChatGPT Enterprise, according to the documents.

SB Energy warned in the filing that it is substantially dependent on OpenAI and could be materially harmed if the AI company's financial condition deteriorates.

In August, OpenAI signed 17 separate leases covering about eight gigawatts of computing capacity at SB Energy's largest project in southern Ohio, which is supported by 10 gigawatts of power.

SB Energy also warned investors in its draft filing that its ability to finance the Ohio data center project depends significantly on Nvidia's agreement to provide a residual value guarantee.

Nvidia also has an equity stake in SB Energy. The draft filing shows the chip maker committed $3 billion to SB Energy through two private transactions tied to SB Energy's IPO, including one that allows the chip maker to acquire shares at a 10% discount to the public offering price.

Anthropic Signs Cloud Deal

Anthropic has signed a cloud-computing deal valued at $35 billion with Nvidia-backed cloud provider Lambda, with Nvidia itself holding the lease on the data center, said people familiar with the deal.

The data center is being developed by Hut 8, a bitcoin miner and data-center developer, in Nueces County, Texas. Nvidia signed an agreement with Hut 8 a few weeks ago to secure the capacity, the people said.

The arrangement is another example of Nvidia's growing role in helping noninvestment-grade firms such as Anthropic get access to its expensive computing resources. The deal also helped a nascent cloud provider, Lambda, secure a contract with Anthropic without needing to procure the data-center space on its own.

Lambda will use the data center Hut 8 is developing to plug in chips bought from Nvidia, which is also its investor. It isn't clear how much Lambda will pay Nvidia to access the data-center space.

Anthropic has been racing to sign cloud-capacity deals after hitting a supply crunch this year that coincided with its products gaining traction. Hut 8 is separately developing data centers for Anthropic that will house a Google unit.

—Anissa Gardizy

MARKETS DIGEST

EQUITIES

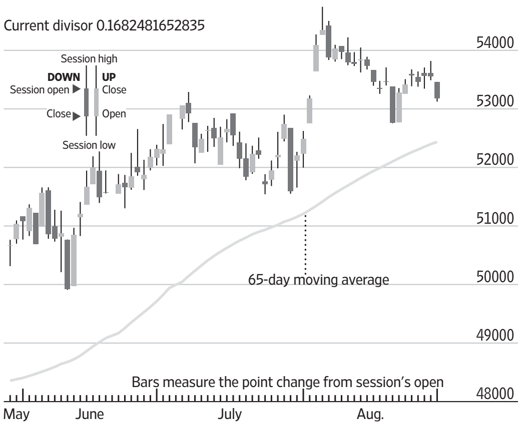
Dow Jones Industrial Average

53185.90 ▼374.09, or 0.70%

High, low, open and close for each trading day of the past three months.

	Last	Year ago
Trailing P/E ratio	21.65	24.98
P/E estimate *	20.36	21.75
Dividend yield	1.47	1.60
All-time high	54349.12, 08/05/26	

Current divisor 0.1682481652835

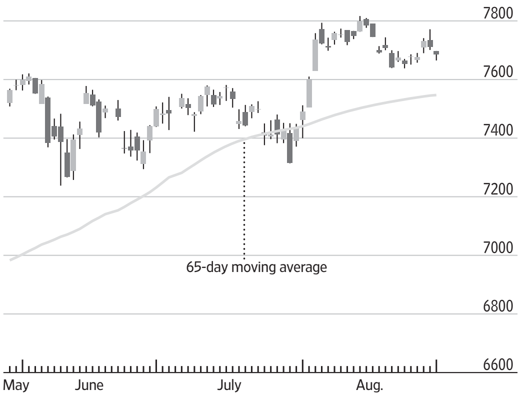


S&P 500 Index

7686.14 ▼25.62, or 0.33%

High, low, open and close for each trading day of the past three months.

	Last	Year ago
Trailing P/E ratio *	24.50	25.15
P/E estimate *	21.12	23.99
Dividend yield *	1.07	1.21
All-time high	7798.99, 08/13/26	

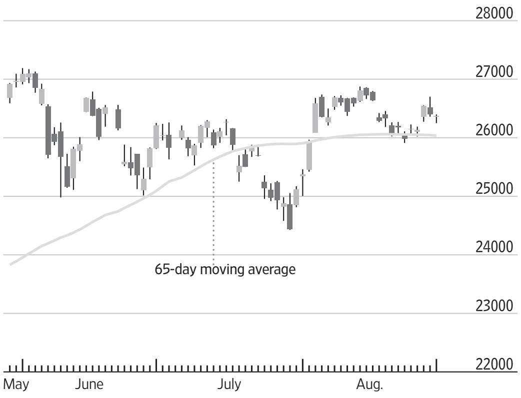


Nasdaq Composite Index

26370.89 ▼ 31.53, or 0.12%

High, low, open and close for each trading day of the past three months.

	Last	Year ago
Trailing P/E ratio *†	34.37	32.97
P/E estimate *†	24.17	29.25
Dividend yield *†	0.54	0.68
All-time high:	27093.90, 06/02/26	



* Weekly P/E data based on as-reported earnings from Birinyi Associates Inc; † Based on Nasdaq-100 Index

Major U.S. Stock-Market Indexes

	High	Low	Latest Close	Net chg	% chg	52-Week High	52-Week Low	% chg	YTD % chg	3-yr. ann.
Dow Jones										
Industrial Average	53462.60	53123.62	**53185.90**	-374.09	**-0.70**	54349.12	45166.64	**16.8**	10.7	**15.3**
Transportation Avg	21358.92	21153.78	**21302.01**	-76.74	**-0.36**	23933.14	15067.87	**33.9**	22.7	**10.6**
Utility Average	1066.27	1054.71	**1063.16**	-15.12	**-1.40**	1190.23	1048.33	**-2.3**	-0.5	**6.8**
Total Stock Market	76113.44	75800.20	**76015.30**	-256.87	**-0.34**	77313.23	62750.36	**18.8**	12.6	**19.1**
Barron's 400	1646.52	1637.65	**1640.34**	-10.06	**-0.61**	1685.46	1318.70	**19.1**	16.1	**17.8**
Nasdaq Stock Market										
Nasdaq Composite	26398.33	26249.77	**26370.89**	-31.53	**-0.12**	27093.90	20794.64	**22.9**	13.5	**23.4**
Nasdaq-100	29483.90	29304.49	**29456.97**	23.54	**0.08**	30660.60	22953.38	**25.8**	16.7	**23.9**
S&P										
500 Index	7697.52	7665.06	**7686.14**	-25.62	**-0.33**	7798.99	6343.72	**19.0**	12.3	**19.5**
MidCap 400	3779.23	3752.76	**3760.24**	-19.23	**-0.51**	3926.98	3109.89	**15.6**	13.8	**12.4**
SmallCap 600	1766.94	1750.98	**1755.70**	-11.87	**-0.67**	1828.54	1364.94	**22.1**	19.6	**12.7**
Other Indexes										
Russell 2000	2967.43	2944.34	**2956.45**	-15.92	**-0.54**	3068.42	2305.11	**24.9**	19.1	**15.9**
NYSE Composite	24585.18	24449.46	**24461.94**	-123.23	**-0.50**	24821.68	20912.89	**15.7**	11.2	**15.2**
Value Line	685.69	680.48	**681.54**	-4.150	**-0.61**	702.60	590.50	**8.1**	8.5	**6.1**
NYSE Arca Biotech	9331.85	9160.92	**9303.79**	7.58	**0.08**	9539.76	5973.75	**55.7**	30.1	**20.7**
NYSE Arca Pharma	1260.97	1245.39	**1252.73**	-8.24	**-0.65**	1315.38	925.18	**31.7**	11.3	**11.4**
KBW Bank	186.77	185.42	**185.42**	-1.74	**-0.93**	193.91	143.23	**22.9**	12.9	**31.5**
PHLX§ Gold/Silver	412.62	402.17	**407.64**	-5.54	**-1.34**	470.37	249.08	**63.7**	19.1	**51.2**
PHLX§ Oil Service	108.12	105.23	**106.70**	2.29	**2.19**	109.24	60.27	**63.0**	45.5	**4.8**
PHLX§ Semiconductor	11587.26	11444.20	**11535.05**	65.39	**0.57**	14634.72	5592.82	**103.5**	62.9	**46.5**
Cboe Volatility	15.48	14.86	**14.92**	0.49	**3.40**	31.05	13.47	**-2.9**	-0.2	**3.2**

§ Nasdaq PHLX

Sources: FactSet; Dow Jones Market Data

Late Trading

Most-active and biggest movers among NYSE, NYSE Arca, NYSE Amer. and Nasdaq issues from 4 p.m. to 6 p.m. ET as reported by electronic trading services, securities dealers and regional exchanges. Minimum share price of $2 and minimum after-hours volume of 50,000 shares.

Most-active issues in late trading

Company	Symbol	Volume (000)	Last	Net chg	After Hours % chg	High	Low
CNH Industrial	CNH	21,336.6	12.00	0.17	**1.46**	12.31	11.77
SS SPDR Ptf S&P 500	SPYM	14,021.2	90.35	0.07	**0.08**	90.47	90.27
NVIDIA	NVDA	11,374.2	220.59	-0.19	**-0.09**	236.00	210.19
CoStar Group	CSGP	7,711.5	32.15	0.08	**0.25**	32.29	32.05
Hewlett Packard Ent	HPE	7,688.3	52.40	0.16	**0.31**	52.70	52.24
Alphabet Cl A	GOOGL	7,643.5	339.88	0.53	**0.16**	362.43	319.02
Trimble	TRMB	7,513.5	59.94	...	**unch.**	60.39	59.94
IonQ	IONQ	7,452.9	39.36	0.05	**0.13**	39.50	39.20

Percentage gainers...

Company	Symbol	Volume (000)	Last	Net chg	% chg	High	Low
Emergent Biosolutions	EBS	189.9	6.40	0.30	**4.92**	6.40	6.01
Duolingo	DUOL	86.9	154.01	5.65	**3.81**	154.01	148.00
Biohaven	BHVN	81.8	15.79	0.52	**3.41**	15.79	15.23
Eton Pharmaceuticals	ETON	67.9	62.40	1.96	**3.24**	62.40	60.44
Kemper	KMPR	478.1	29.00	0.82	**2.91**	29.00	28.17

...And losers

Company	Symbol	Volume (000)	Last	Net chg	% chg	High	Low
Cango	CANG	189.0	2.19	-0.20	**-8.37**	2.68	2.15
Picard Medical	PMI	63.8	8.00	-0.46	**-5.44**	8.56	7.50
CID HoldCo	DAIC	131.1	3.30	-0.18	**-5.17**	3.61	3.22
BellRing Brands	BRBR	1,384.7	10.32	-0.45	**-4.20**	10.77	10.32
CAE Inc	CAE	309.0	23.25	-0.91	**-3.76**	24.16	23.25

Trading Diary

Volume, Advancers, Decliners

	NYSE	NYSE Amer.
Total volume*	1,720,345,070	21,854,228
Adv. volume*	623,909,569	5,676,421
Decl. volume*	1,073,600,753	14,238,285
Issues traded	2,836	302
Advances	966	111
Declines	1,781	177
Unchanged	89	14
New highs	36	2
New lows	137	18
Closing Arms†	0.83	1.25
Block trades*	3,739	200
	Nasdaq	**NYSE Arca**
Total volume*	7,679,735,138	285,194,936
Adv. volume*	3,821,187,610	109,695,080
Decl. volume*	3,769,946,075	173,200,074
Issues traded	5,127	2,699
Advances	1,887	803
Declines	3,021	1,844
Unchanged	219	52
New highs	77	46
New lows	210	77
Closing Arms†	0.62	0.68
Block trades*	44,884	1,403

* Primary market NYSE, NYSE American NYSE Arca only.
† (TRIN) A comparison of the number of advancing and declining issues with the volume of shares rising and falling. An Arms of less than 1 indicates buying demand; above 1 indicates selling pressure.

Percentage Gainers...

Company	Symbol	Latest Session Close	Net chg	% chg	52-Week High	Low	% chg
Antelope Enterprise	AEHL	6.49	2.95	**83.33**	808.39	2.98	**-98.0**
StablecoinX	USDE	8.87	2.11	**31.21**	15.11	1.01	**-40.5**
Ticketplus	TP	10.25	2.42	**30.91**	12.14	6.10	**...**
NeoVolta	NEOV	4.24	0.90	**26.95**	7.13	1.36	**18.1**
Draganfly	DPRO	5.42	0.96	**21.39**	14.40	3.78	**11.3**
So-Young Intl ADR	SY	2.91	0.51	**21.25**	4.75	1.28	**-24.2**
ProShares Ultra CRCL	CRCA	25.91	4.23	**19.51**	204.45	10.07	**-83.5**
Leverage 2X Lg CRCL Dly	CRCG	17.48	2.83	**19.32**	129.80	6.82	**-82.3**
UTime	FXHO	12.32	1.94	**18.69**	7700.00	5.02	**-99.7**
Evolution Metals & Techs	EMAT	3.87	0.60	**18.20**	24.09	2.15	**-64.9**
Valion Bio	VBIO	3.57	0.55	**18.11**	80.19	2.79	**-95.4**
Interlink Electronics	LINK	5.82	0.79	**15.71**	10.10	2.66	**-5.3**
General Fusion Group	GFUZ	8.10	1.07	**15.22**	14.85	6.08	**...**
Titan Machinery	TITN	20.57	2.71	**15.17**	25.00	13.21	**2.9**
Gogoro	GGR	2.71	0.34	**14.35**	7.52	2.02	**-63.9**

Percentage Losers

Company	Symbol	Latest Session Close	Net chg	% chg	52-Week High	Low	% chg
CID HoldCo	DAIC	3.48	-1.16	**-25.00**	110.50	0.37	**-96.7**
Z Squared	ZSQR	2.95	-0.91	**-23.58**	21.41	2.92	**-77.9**
Edison International	EIX	53.98	-16.19	**-23.07**	81.62	52.00	**-3.8**
YD Bio	YDES	3.71	-1.09	**-22.71**	25.00	1.70	**-70.3**
Cumberland Pharm	CPIX	6.69	-1.77	**-20.92**	9.28	1.85	**91.7**
PG&E	PCG	13.27	-3.33	**-20.06**	19.16	13.09	**-13.2**
Cre8 Enterprise	CRE	3.16	-0.75	**-19.18**	14.64	1.68	**-63.3**
Exascale Labs Holdings	XLAB	4.18	-0.96	**-18.68**	11.17	3.99	**-57.8**
Reading Intl B	RDIB	15.10	-3.21	**-17.53**	24.00	8.00	**19.8**
RF Acquisition II	RFAI	43.01	-9.04	**-17.37**	73.00	8.94	**305.4**
Aethlon Medical	AEMD	2.06	-0.43	**-17.27**	105.00	1.92	**-97.8**
Tectonic Therapeutic	TECX	29.94	-5.68	**-15.95**	39.53	14.39	**17.2**
Tron	TRON	1.75	-0.33	**-15.87**	4.65	1.12	**-59.2**
Jupiter Neurosciences	JUNS	3.54	-0.64	**-15.31**	137.96	2.88	**-96.8**
Aligos Therapeutics	ALGS	5.86	-1.05	**-15.20**	13.69	3.98	**-44.5**

Most Active Stocks

Company	Symbol	Volume (000)	% chg from 65-day avg	Latest Session Close	% chg	52-Week High	Low
Vivos Therapeutics	VVOS	**528,481**	18893.8	0.20	**-12.85**	4.93	0.17
Ping An Biomedical	PASW	**345,574**	50968.0	0.15	**15.99**	1.54	0.11
Collplant BioTech	CLGN	**180,673**	89028.9	0.39	**8.35**	3.18	0.26
PG&E	PCG	**153,496**	583.9	13.27	**-20.06**	19.16	13.09
GoPro	GPRO	**135,519**	2098.4	0.88	**46.06**	3.05	0.57
AIM ImmunoTech	AIM	**124,038**	1001.8	0.23	**-12.54**	2.98	0.19
NVIDIA	NVDA	**121,717**	-14.6	220.78	**1.48**	236.54	164.07
Direxion TSLA Bull 2X	TSLL	**113,126**	46.5	9.97	**11.02**	23.74	6.70
RedHill Biopharma ADR	RDHL	**102,662**	55054.6	0.90	**36.16**	2.79	0.57
CNH Industrial	CNH	**102,631**	691.4	11.83	**1.28**	13.31	9.00

* Volumes of 100,000 shares or more are rounded to the nearest thousand

Volume Movers

Ranked by change from 65-day average*

Company	Symbol	Volume (000)	% chg from 65-day avg	Latest Session Close	% chg	52-Week High	Low
Aldabra 4 Liquidity Opp	ALOV	846	**9982**	9.99	**-0.10**	10.00	9.82
Invsc Glbl Clean Energy	PBD	3,734	**6688**	17.68	**-1.56**	22.58	13.73
BNY Mellon EM Equity	BKEM	509	**6346**	30.72	**0.39**	33.51	22.82
Hartford Schr Tax-Aware	HTAB	2,386	**5072**	18.72	**-0.27**	19.56	18.49
Golden Eagle Dyn Hyper	HYP	1,393	**4149**	25.78	**0.10**	32.16	21.06
Corvex	MOVE	6,906	**3829**	10.95	**-4.70**	26.72	3.44
Innov Intl Dev Pwr Sep	ISEP	548	**3492**	35.78	**0.45**	35.78	31.04
Harvard Ave Acqn Cl A	HAVA	472	**3263**	10.21	**...**	10.21	9.87
Invsc Oil & Gas Svcs ETF	PXJ	1,276	**2668**	46.85	**1.46**	47.38	25.56
Trailblazer Acqn Cl A	BLZR	924	**2383**	10.21	**0.10**	10.22	10.00

* Common stocks priced at $2 a share or more with an average volume over 65 trading days of at least 5,000 shares † Has traded fewer than 65 days

International Stock Indexes

Region/Country	Index	Latest Close	Net chg	% chg	YTD % chg
World	**MSCI ACWI**	**1149.22**	–3.94	**–0.34**	13.3
	MSCI ACWI ex-USA	**484.84**	–1.69	**–0.35**	15.2
	MSCI World	**4967.92**	–18.24	**–0.37**	12.1
	MSCI Emerging Markets	**1719.31**	–2.83	**–0.16**	22.4
Americas	**MSCI AC Americas**	**n.a.**	...	**...**	...
Canada	**S&P/TSX Comp**	**36270.48**	–283.44	**–0.78**	14.4
Latin Amer.	**MSCI EM Latin America**	**3052.66**	21.98	**0.73**	12.7
Brazil	**Bovespa**	**177418.78**	1754.16	**1.00**	10.1
Chile	**S&P IPSA**	**5707.17**	–56.40	**–0.98**	5.2
Mexico	**S&P/BMV IPC**	**65430.32**	–54.00	**–0.08**	1.7
EMEA	**STOXX Europe 600**	**651.10**	–4.06	**–0.62**	9.9
Eurozone	**Euro STOXX**	**675.50**	–5.71	**–0.84**	10.3
Belgium	**Bel-20**	**5834.28**	–34.80	**–0.59**	14.9
Denmark	**OMX Copenhagen 20**	**1626.35**	–12.17	**–0.74**	1.1
France	**CAC 40**	**8334.50**	–66.68	**–0.79**	2.3
Germany	**DAX**	**26258.11**	–311.88	**–1.17**	7.2
Israel	**Tel Aviv**	**4138.58**	–33.68	**–0.81**	14.0
Italy	**FTSE MIB**	**52612.69**	–3.43	**–0.01**	17.1
Netherlands	**AEX**	**1105.77**	–6.51	**–0.59**	16.2
Norway	**Oslo Bors All-Share**	**2516.82**	28.40	**1.14**	29.6
South Africa	**FTSE/JSE All-Share**	**116257.26**	–1916.10	**–1.62**	0.4
Spain	**IBEX 35**	**19974.10**	–67.80	**–0.34**	15.4
Sweden	**OMX Stockholm**	**1146.00**	–8.65	**–0.75**	9.6
Switzerland	**Swiss Market**	**14286.43**	–113.34	**–0.79**	7.7
Turkey	**BIST 100**	**14334.06**	–307.50	**–2.10**	27.3
U.K.	**FTSE 100**	**10824.26**	...	**Closed**	9.0
U.K.	**FTSE 250**	**24938.79**	...	**Closed**	11.0
Asia-Pacific	**MSCI AC Asia Pacific**	**n.a.**	...	**...**	...
Australia	**S&P/ASX 200**	**9076.00**	–16.29	**–0.18**	4.2
China	**Shanghai Composite**	**3986.30**	34.12	**0.86**	0.4
Hong Kong	**Hang Seng**	**25566.99**	–17.80	**–0.07**	–0.2
India	**BSE Sensex**	**76957.27**	–307.24	**–0.40**	–9.7
Japan	**NIKKEI 225**	**66311.93**	–93.63	**–0.14**	31.7
Singapore	**Straits Times**	**5755.36**	55.43	**0.97**	23.9
South Korea	**KOSPI**	**6820.02**	31.14	**0.46**	61.8
Taiwan	**TAIEX**	**46128.47**	–202.98	**–0.44**	59.3
Thailand	**SET**	**1595.16**	6.94	**0.44**	26.6

Sources: FactSet; Dow Jones Market Data

CURRENCIES & COMMODITIES

Currencies

U.S.-dollar foreign-exchange rates at 5 p.m. ET

Country/currency	Mon in US$	Mon per US$	US$ vs, YTD chg (%)
Americas			
Argentina peso	.0007150	1398.7330	**4.0**
Brazil real	.1928	5.1859	**–6.0**
Canada dollar	.7218	1.3854	**0.9**
Chile peso	.001070	934.47	**3.8**
Colombia peso	.000311	3213.15	**–14.8**
Ecuador US dollar	1	1	**unch**
Mexico peso	.0588	16.9985	**–5.6**
Uruguay peso	.02483	40.2736	**3.1**
Asia-Pacific			
Australia dollar	.7165	1.3957	**–6.9**
China yuan	.1487	6.7259	**–3.8**
Hong Kong dollar	.1276	7.8387	**0.7**
India rupee	.01051	95.142	**5.9**
Indonesia rupiah	.0000564	17720	**6.1**
Japan yen	.006260	159.74	**2.0**
Kazakhstan tenge	.002169	461.11	**–9.1**
Macau pataca	.1238	8.0759	**0.7**
Malaysia ringgit	.2484	4.0256	**–0.8**
New Zealand dollar	.5915	1.6906	**–2.7**
Pakistan rupee	.00360	277.581	**–0.9**
Philippines peso	.0160	62.377	**5.9**
Singapore dollar	.7870	1.2707	**–1.2**
South Korea won	.0007314	1367.31	**–5.1**
Sri Lanka rupee	.0030475	328.14	**5.9**
Taiwan dollar	.03154	31.705	**1.1**
Thailand baht	.03016	33.160	**5.3**
Vietnam dong	.00003835	26073	**–0.9**
Europe			
Czech Rep. koruna	.04809	20.796	**1.1**
Denmark krone	.1554	6.4343	**1.2**
Euro area euro	1.1617	.8608	**1.1**
Hungary forint	.003181	314.37	**–4.0**
Iceland krona	.008251	121.20	**–3.3**
Norway krone	.1070	9.3437	**–7.3**
Poland zloty	.2683	3.7274	**3.8**
Sweden krona	.1044	9.5778	**4.0**
Switzerland franc	1.2372	.8083	**2.0**
Turkey lira	.0207	48.2557	**12.3**
Ukraine hryvnia	.0224	44.5500	**5.2**
UK pound	1.3548	.7381	**–0.5**
Middle East/Africa			
Bahrain dinar	2.6524	.3770	**0.01**
Egypt pound	.0197	50.8179	**6.5**
Israel shekel	.3340	2.9936	**–6.0**
Kuwait dinar	3.2416	.3085	**0.2**
Oman sul rial	2.5995	.3847	**–0.02**
Qatar rial	.2736	3.655	**0.01**
Saudi Arabia riyal	.2648	3.7761	**0.7**
South Africa rand	.0620	16.1163	**–2.7**

	Close	Net Chg	% Chg	YTD % Chg
WSJ Dollar Index	95.72	–0.18	–0.19	**–0.21**

Sources: Tullett Prebon, Dow Jones Market Data

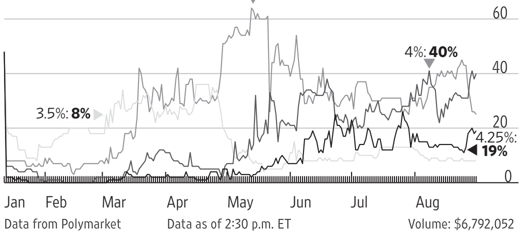
Commodities

	Close	Monday Net chg	% Chg	52-Week High	Low	% Chg	YTD % chg
DJ Commodity	**1450.50**	11.25	**0.78**	1467.33	1061.22	**35.69**	28.28
FTSE/CC CRB Index	**410.57**	4.21	**1.04**	410.57	291.69	**35.79**	37.42
Crude oil, $ per barrel	**85.76**	2.36	**2.83**	112.95	55.27	**33.98**	49.36
Natural gas, $/MMBtu	**2.935**	0.047	**1.63**	7.460	2.523	**-2.07**	-20.37
Gold, $ per troy oz.	**4431.10**	-47.00	**-1.05**	5318.40	3473.70	**27.56**	2.44

Polymarket | A Dow Jones partner

Prediction Market: What will the Fed rate be at the end of 2026?

This market will resolve according to the upper bound of the Federal Reserve's target federal funds range after the December 2026 Federal Open Market Committee (FOMC) meeting, currently scheduled for Dec. 8-9, 2026.



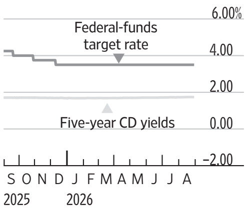
Data from Polymarket Data as of 2:30 p.m. ET Volume: $6,792,052

CREDIT MARKETS

Consumer Rates and Returns to Investor

U.S. consumer rates

A consumer rate against its benchmark over the past year



Selected rates

5-year CDs

Bankrate.com avg†:	**1.74%**
E*Trade	**4.35%**
Purchase, NY	800-387-2331
Synchrony Bank	**4.35%**
Draper, UT	866-226-5638
BTG Pactual Bank	**4.40%**
New York, NY	212-652-7200
Sallie Mae Bank	**4.40%**
Salt Lake City, UT	877-346-2756
Popular Direct	**4.50%**
Miami Lakes, FL	800-274-5696

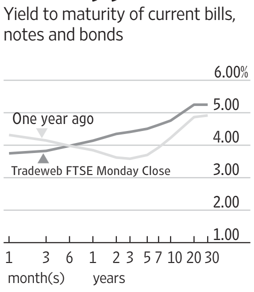
Interest rate	Yield/Rate (%) Last	Week ago	52-Week Range (%) Low	High	3-yr chg (pct pts)
Federal-funds rate target	**3.50-3.75**	3.50-3.75	3.50	4.50	**-1.75**
Prime rate*	**6.75**	6.75	6.75	7.50	**-1.75**
SOFR	**3.65**	3.65	3.50	4.51	**-1.65**
Money market, annual yield	**0.44**	0.44	0.41	0.45	**-0.13**
Five-year CD, annual yield	**1.74**	1.74	1.67	1.74	**-1.09**
30-year mortgage, fixed†	**6.71**	6.69	6.11	6.77	**-0.92**
15-year mortgage, fixed†	**6.15**	6.16	5.55	6.18	**-0.78**
Jumbo mortgages, $832,750-plus†	**6.74**	6.79	6.34	6.87	**-0.92**
Five-year adj mortgage (ARM)†	**6.09**	5.98	5.66	6.15	**-0.44**
New-car loan, 48-month	**6.98**	6.98	6.85	7.19	**-0.37**

Bankrate.com rates based on survey of over 1,500 online banks. * Base rate posted by 70% of the nation's largest banks. † Excludes closing costs.

Sources: FactSet; Dow Jones Market Data; Bankrate.com

Treasury yield curve

Yield to maturity of current bills, notes and bonds



Forex Race

Yen, euro vs. dollar; dollar vs. major U.S. trading partners

Sources: Tradeweb FTSE U.S. Treasury Close; Tullett Prebon; Dow Jones Market Data

Corporate Borrowing Rates and Yields

Bond total return index	Close	Yield (%) Last	Week ago	52-Week High	Low	Total Return (%) 52-wk	3-yr
U.S. Treasury, Bloomberg	2321.900	**4.610**	4.540	4.610	3.750	**1.217**	3.196
U.S. Treasury Long, Bloomberg	3122.810	**5.230**	5.220	5.300	4.520	**0.180**	0.129
Aggregate, Bloomberg	2241.670	**5.010**	4.940	5.010	4.160	**1.891**	4.082
Fixed-Rate MBS, Bloomberg	2250.360	**5.290**	5.220	5.300	4.380	**3.018**	4.594
High Yield 100, ICE BofA	4215.089	**n.a.**	6.279	7.136	5.828	**3.987**	8.028
Muni Master, ICE BofA	618.063	**3.751**	3.637	3.751	3.037	**3.720**	3.095
EMBI Global, J.P. Morgan	n.a	**n.a.**	6.722	n.a.	n.a.	**n.a.**	n.a.

Sources: J.P. Morgan; Bloomberg Fixed Income Indices; ICE Data Services

COMMODITIES

Futures Contracts

Metal & Petroleum Futures

	Open	High	hi lo	Low	Settle	Chg	Open interest
Copper-High (CMX)-25,000 lbs.; $ per lb.							
Sept	6.5185	6.6175		6.5170	**6.5935**	0.0315	7,905
Dec	6.6400	6.7270		6.5940	**6.6875**	0.0285	163,234
Gold (CMX)-100 troy oz.; $ per troy oz.							
Sept	4430.00	4466.90		4410.90	**4431.10**	–47.00	2,815
Oct	4448.00	4485.00		4411.00	**4446.80**	–47.90	49,305
Nov	4492.40	4502.20		4439.40	**4465.20**	–48.00	621
Dec	4483.20	4521.50		4445.60	**4481.50**	–48.40	324,865
Jan'27	4523.20	4526.50		4474.20	**4501.10**	–48.40	485
Feb	4519.30	4555.50		4482.20	**4517.50**	–48.90	30,800
Palladium (NYM) - 50 troy oz.; $ per troy oz.							
Sept	1398.50	1401.00		1363.50	**1362.90**	–65.70	266
Dec	1446.00	1461.50		1373.50	**1378.30**	–68.60	16,383
Platinum (NYM)-50 troy oz.; $ per troy oz.							
Sept	1853.00	1887.90		1853.00	**1788.40**	–59.20	59
Oct	1840.20	1850.00		1780.50	**1794.20**	–60.10	46,396
Silver (CMX)-5,000 troy oz.; $ per troy oz.							
Sept	66.010	67.185		65.850	**66.221**	–0.774	4,933
Dec	66.800	68.180		65.830	**66.990**	–0.796	87,781
Crude Oil, Light Sweet (NYM)-1,000 bbls.; $ per bbl.							
Oct	84.69	86.79		84.11	**85.76**	2.36	261,687
Nov	82.89	84.84		82.47	**84.06**	2.23	170,876
Dec	80.90	82.68		80.50	**82.07**	2.07	202,817
Jan'27	79.00	80.62		78.80	**80.12**	1.83	110,441
June	73.71	74.55		73.37	**74.00**	0.93	138,264
Dec	70.75	71.69		70.74	**71.08**	0.52	159,904
NY Harbor ULSD (NYM)-42,000 gal.; $ per gal.							
Sept	4.4238	4.5397		4.4100	**4.4953**	.1386	2,778
Oct	4.3000	4.4386		4.2684	**4.4106**	.1616	66,951
Gasoline-NY RBOB (NYM)-42,000 gal.; $ per gal.							
Sept	3.4899	3.5185	▲	3.4027	**3.4370**	–.0529	1,840
Oct	3.0613	3.1124	▲	3.0433	**3.0770**	.0268	106,622
Natural Gas (NYM)-10,000 MMBtu.; $ per MMBtu.							
Oct	2.875	2.947		2.832	**2.935**	.047	329,785
Nov	3.020	3.078		2.980	**3.064**	.029	248,271
Dec	3.503	3.566		3.470	**3.518**	–.007	169,418
Jan'27	3.950	3.984		3.897	**3.943**	.006	174,163
March	2.929	2.946		2.883	**2.916**	–.005	154,610
April	2.794	2.806		2.749	**2.778**	–.008	126,205

Agriculture Futures

	Open	High	hi lo	Low	Settle	Chg	Open interest
Corn (CBT)-5,000 bu.; cents per bu.							
Sept	512.00	518.00	▲	509.00	**515.00**	3.00	6,491
Dec	536.00	542.00	▲	531.50	**537.75**	1.25	990,329
Oats (CBT)-5,000 bu.; cents per bu.							
Sept	340.00	340.00		340.00	**347.00**	–1.75	85
Dec	373.00	374.50		365.00	**373.00**	–1.75	2,720
Soybeans (CBT)-5,000 bu.; cents per bu.							
Sept	1274.50	1278.50	▲	1266.00	**1275.25**	–1.00	807
Nov	1288.00	1294.50	▲	1277.25	**1288.00**	...	480,772
Soybean Meal (CBT)-100 tons; $ per ton.							
Sept	336.20	337.00		333.10	**334.60**	–3.60	3,615
Dec	348.50	348.50		343.20	**345.30**	–3.60	306,844
Soybean Oil (CBT)-60,000 lbs.; cents per lb.							
Sept	70.34	70.49		69.39	**70.50**	–.09	4,105
Dec	71.24	71.38		69.88	**71.12**	.06	253,063
Rough Rice (CBT)-2,000 cwt.; $ per cwt.							
Sept	15.21	15.21	▲	15.20	**15.25**	.20	1,033
Nov	15.55	15.81	▲	15.51	**15.73**	.18	11,654
Wheat (CBT)-5,000 bu.; cents per bu.							
Sept	767.00	767.00		741.25	**756.50**	–10.50	661
Dec	784.00	784.75		755.75	**774.00**	–10.00	269,745
Wheat (KC)-5,000 bu.; cents per bu.							
Sept	827.25	827.25		802.00	**820.25**	–7.50	523
Dec	846.25	846.25		816.50	**838.00**	–6.25	174,718
Cattle-Feeder (CME)-50,000 lbs.; cents per lb.							
Sept	321.000	323.400		319.950	**321.450**	.550	8,417
Oct	316.675	319.250		315.725	**317.025**	.500	25,977
Cattle-Live (CME)-40,000 lbs.; cents per lb.							
Aug	220.000	223.500		220.000	**220.750**	1.500	53
Oct	211.800	213.500		211.150	**212.675**	.950	109,783
Hogs-Lean (CME)-40,000 lbs.; cents per lb.							
Oct	81.975	83.850		81.975	**83.675**	1.775	129,722
Dec	72.375	74.550		72.325	**74.150**	1.850	73,694
Lumber (CME)-27,500 bd. ft., $ per 1,000 bd. ft.							
Sept	568.00	571.00		565.50	**569.00**	1.50	1,869
Nov	558.50	563.00		551.50	**562.00**	6.00	8,147
Milk (CME)-200,000 lbs., cents per lb.							
Aug	16.65	16.68		16.64	**16.67**	.01	4,687
Oct	17.18	17.26		16.94	**16.98**	.01	6,402
Cocoa (ICE-US)-10 metric tons; $ per ton.							
Sept	6,600	6,600		6,600	**6,650**	123	193
Dec	6,555	6,821	▲	6,550	**6,771**	123	77,752
Coffee (ICE-US)-37,500 lbs.; cents per lb.							
Sept	343.60	344.85		343.00	**343.90**	–1.95	109
Dec	311.05	317.15		309.05	**311.50**	–1.35	88,820
Sugar-World (ICE-US)-112,000 lbs.; cents per lb.							
Oct	17.70	17.90		17.58	**17.81**	.25	463,121
March'27	18.73	18.89		18.60	**18.83**	.25	402,406
Sugar-Domestic (ICE-US)-112,000 lbs.; cents per lb.							
Nov	39.00	39.00		39.00	**39.00**	...	599
Cotton (ICE-US)-50,000 lbs.; cents per lb.							
Oct	89.68	92.15	▲	89.67	**91.70**	1.78	175
Dec	91.25	93.74	▲	90.60	**93.14**	1.76	197,013
Orange Juice (ICE-US)-15,000 lbs.; cents per lb.							
Sept	130.40	137.50	▼	116.50	**119.25**	–13.70	175
Nov	145.50	146.65		136.65	**137.25**	–7.75	8,292

Interest Rate Futures

	Open	High	hi lo	Low	Settle	Chg	Open interest
Ultra Treasury Bonds (CBT) - $100,000; pts 32nds of 100%							
Sept	111-010	111-120		110-030	**110-140**	–23.0	24,740
Dec	110-190	111-000		109-220	**110-010**	–23.0	2,375,606
Treasury Bonds (CBT)-$100,000; pts 32nds of 100%							
Sept	109-180	109-290		108-290	**109-040**	–18.0	22,500
Dec	109-040	109-150		108-120	**108-200**	–19.0	1,773,801
Treasury Notes (CBT)-$100,000; pts 32nds of 100%							
Sept	108-020	108-090		107-275	**107-290**	–6.5	85,239
Dec	107-265	108-020		107-200	**107-210**	–7.0	5,221,641
5 Yr. Treasury Notes (CBT)-$100,000; pts 32nds of 100%							
Sept	105-285	106-017		105-260	**105-267**	–2.7	139,282
Dec	105-240	105-300		105-217	**105-225**	–3.2	6,219,060
2 Yr. Treasury Notes (CBT)-$200,000; pts 32nds of 100%							
Sept	102-234	102-269		102-234	**102-245**	...	81,622
Dec	102-191	102-224		102-190	**102-197**	–.1	4,317,812
30 Day Federal Funds (CBT)-$5,000,000; 100 - daily avg.							
Aug	96.3675	96.3700		96.3675	**96.3700**	.0000	801,514
Oct	96.2100	96.2150		96.1850	**96.2000**	–.0200	638,254
Three-Month SOFR (CME)-$1,000,000; 100 - daily avg.							
June	96.3550	96.3575	▼	96.3525	**96.3550**	.0025	1,340,956
Dec	95.9000	95.9350	▼	95.8900	**95.9150**	.0050	1,757,566

Currency Futures

	Open	High	hi lo	Low	Settle	Chg	Open interest
Japanese Yen (CME)-¥12,500,000; $ per 100¥							
Sept	.6249	.6278		.6249	**.6264**	.0012	355,979
Dec	.6299	.6323		.6294	**.6309**	.0012	41,831
Canadian Dollar (CME)-CAD 100,000; $ per CAD							
Sept	.7195	.7223		.7194	**.7222**	.0026	309,071
Dec	.7225	.7254		.7225	**.7253**	.0026	20,700
British Pound (CME)-£62,500; $ per £							
Sept	1.3534	1.3566		1.3528	**1.3549**	.0019	291,748
Dec	1.3534	1.3567		1.3534	**1.3552**	.0020	23,289
Swiss Franc (CME)-CHF 125,000; $ per CHF							
Sept	1.2366	1.2413		1.2364	**1.2391**	.0019	106,206
Dec	1.2500	1.2540		1.2499	**1.2519**	.0020	10,290
Australian Dollar (CME)-AUD 100,000; $ per AUD							
Sept	.7157	.7169		.7153	**.7163**	.0006	314,240
Dec	.7145	.7157		.7142	**.7152**	.0006	57,764
Mexican Peso (CME)-MXN 500,000; $ per MXN							
Sept	.05859	.05879		.05859	**.05878**	.00018	280,429
Dec	.05823	.05836		.05822	**.05836**	.00019	8,499
Euro (CME)-€125,000; $ per €							
Sept	1.1585	1.1628		1.1583	**1.1623**	.0035	758,745
Dec	1.1625	1.1669		1.1625	**1.1664**	.0035	75,279

Index Futures

	Open	High	hi lo	Low	Settle	Chg	Open interest
Mini DJ Industrial Average (CBT)-$5 x index							
Sept	53664	53664		53149	**53240**	–344	86,581
Dec	53966	53966		53575	**53655**	–342	757
Mini S&P 500 (CME)-$50 x index							
Sept	7723.50	7724.00		7674.75	**7699.00**	–23.00	1,988,322
Dec	7789.25	7791.00		7743.00	**7766.75**	–23.25	51,371
Mini S&P Midcap 400 (CME)-$100 x index							
Sept	3786.00	3789.90		3757.90	**3767.10**	–18.40	39,067
Dec	3867.70	3867.70		3866.80	**3795.40**	–18.40	9
Mini Nasdaq 100 (CME)-$20 x index							
Sept	29540.00	29546.25		29273.50	**29513.00**	21.25	295,279
Dec	29800.00	29830.50		29575.75	**29808.50**	20.75	4,648
Mini Russell 2000 (CME)-$50 x index							
Sept	2971.00	2982.50		2946.10	**2958.70**	–18.80	418,126
Dec	2993.00	3004.00		2968.40	**2980.60**	–19.10	826
Mini Russell 1000 (CME)-$50 x index							
Sept	4187.00	4198.60		4185.70	**4195.90**	–11.70	5,651
U.S. Dollar Index (ICE-US)-$1,000 x index							
Sept	99.68	99.69		99.36	**99.39**	–.27	45,162
Dec	99.36	99.36		99.09	**99.12**	–.28	2,561

Source: FactSet

Dividend Changes

Company	Symbol	Yld %	Amount New/Old	Frq	Payable / Record
Increased					
Northrim Bancorp	NRIM	2.6	.17 /.16	Q	Sep18 /Sep10
Stocks					
BiomX	PHGE		1:10		/Sep09
Cyclerion Therapeutics	CYCN		1:7		/Sep09
ENvue Medical	FEED		1:12		/Sep01
Healthy Choice Wellness	HCWC		1:35		/Aug31
Lucas GC	LGCL		1:125		/Sep01
Foreign					
BW LPG	BWLP	10.8	.95	Q	Sep16 /Sep08
Frontline	FRO	12.3	2.61	Q	Sep28 /Sep18
Grupo Cibest ADR	CIB	6.8	1.63237	Q	Sep15 /Sep08
Hafnia	HAFN	13.2	.5003	Q	Sep23 /Sep08

KEY: A: annual; M: monthly; Q: quarterly; r: revised; SA: semiannual; S2:1: stock split and ratio; SO: spin-off.

Note: Dividend yields as of 3:30 p.m. ET

Sources: FactSet; Dow Jones Market Data

Cash Prices | wsj.com/market-data/commodities

Monday, August 31, 2026

These prices reflect buying and selling of a variety of actual or "physical" commodities in the marketplace—separate from the futures price on an exchange, which reflects what the commodity might be worth in future months.

	Monday
Energy	
Coal,C.Aplc.,12500Btu,1.2SO2-r,w	**81.000**
Coal,PwdrRvrBsn,8800Btu,0.8SO2-r,w	**14.500**
Metals	
Gold, per troy oz	
Engelhard industrial	**4443.00**
Krugerrand,wholesale-e	**n.a.**
Maple Leaf-e	**n.a.**
American Eagle-e	**n.a.**
Mexican peso-e	**n.a.**
Austria crown-e	**n.a.**
Austria phil-e	**n.a.**
Silver, troy oz.	
Engelhard industrial	**66.9500**
Handy & Harman base	**66.1360**
Handy & Harman fabricated	**82.6700**
Coins,wholesale $1,000 face-a	**47190**
Other metals	
Platinum,Engelhard industrial	**1814.0**
Palladium,Engelhard industrial	**1392.0**
Aluminum, LME, $ per metric ton	***3222.0**
Copper,Comex spot	**6.5935**
Iron Ore, 62% Fe CFR China-s	***98.6**
Steel, HRC USA, FOB Midwest Mill-s	***1200.0**
Battery/EV metals	
BMI Lithium Carbonate, EXW China, =99.5%-v,w	**23100**
BMI Lithium Hydroxide, EXW China, =56.5% -v,w	**20575**
BMI Cobalt sulphate, EXW China, >20.5% -v,w	**10430**
BMI Nickel Sulphate, EXW China, >22%-v,k	**4381**
BMI Flake Graphite, FOB China, -100 Mesh, 94-95% -v,m	**425**
Fibers and Textiles	
Burlap,10-oz,40-inch NY yd-n,w	**1.2625**
Cotton,1 1/16 std lw-mdMphs-u	**0.8795**
Cotlook 'A' Index-t	***101.30**
Hides,hvy native steers piece fob-u	**n.a.**
Wool,64s,staple,Terr del-u,w	**n.a.**
Grains and Feeds	
Bran,wheat middlings, KC-u,w	**138**
Corn,No. 2 yellow,Cent IL-bp,u	**5.0300**
Cottonseed meal-u,w	**320**
Hominy feed,Cent IL-u,w	**120**
Meat-bonemeal,50% pro Mnpls-u,w	**443**
Oats,No.2 milling,Mnpls-u	**3.7900**
Rice, Long Grain Milled, No. 2 AR-u,w	**30.13**
SoybeanMeal,Cent IL,rail,ton48%-u,w	**n.a.**
Soybeans,No.1 yllw IL-bp,u	**12.7600**
Wheat,Spring14%-pro Mnpls-u	**8.1300**
Wheat,No.2 soft red,St.Louis-u	**7.1525**
Wheat - Hard - KC (USDA) $ per bu-u	**8.0400**
Wheat,No.1soft white,Portld,OR-u	**7.2250**
Food	
Beef,carcass equiv. index	
choice 1-3,600-900 lbs.-u	**345.22**
select 1-3,600-900 lbs.-u	**326.34**
Broilers, National comp wtd. avg.-u,w	**1.1641**
Butter,AA Chicago-d	**1.4500**
Cheddar cheese,bbl,Chicago-d	**156.50**
Cheddar cheese,blk,Chicago-d	**148.25**
Milk,Nonfat dry,Chicago lb.-d	**187.00**
Coffee,Brazilian,Comp-y	**3.1349**
Coffee,Colombian, NY-y	**3.8327**
Eggs,large white,Chicago-u,w	**0.6850**
Flour,hard winter KC-p	**20.55**
Hams,17-20 lbs,Mid-US fob-u	**n.a.**
Hogs,Iowa-So. Minnesota-u	**87.70**
Pork bellies,12-14 lb MidUS-u	**2.0472**
Pork loins,13-19 lb MidUS-u	**1.0950**
Steers,Tex.-Okla. Choice-u	**n.a.**
Steers,feeder,Okla. City-u,w	**381.25**
Fats and Oils	
Degummed corn oil, crude wtd. avg.-u,w	**n.a.**
Grease,choice white,Chicago-h	**0.6800**
Lard,Chicago-u	**n.a.**
Soybean oil,crude;Centl IL-u,w	**0.7309**
Tallow,bleach;Chicago-h	**0.7625**
Tallow,edible,Chicago-u	**n.a.**

KEY TO CODES: A=ask; B=bid; BP=country elevator bids to producers; C=corrected; D=CME; E=Manfra,Tordella & Brookes; H=American Commodities Brokerage Co; K=bi-weekly; M=monthly; N=nominal; n.a.=not quoted or not available; P=Sosland Publishing; R=SNL Energy; S=Platts-TSI; T=Cotlook Limited; U=USDA; V=Benchmark Mineral Intelligence; W=weekly; Y=International Coffee Organization; Z=not quoted. *Data as of 8/28

Source: Dow Jones Market Data

Borrowing Benchmarks | wsj.com/market-data/bonds/benchmarks

Money Rates

August 31, 2026

Key annual interest rates paid to borrow or lend money in U.S. and international markets. Rates below are a guide to general levels but don't always represent actual transactions.

Inflation

	July index level	Chg From (%) June '26	July '25
U.S. consumer price index			
All items	**333.918**	–0.01	3.4
Core	**337.133**	0.07	2.5

International rates

	Latest	Week ago	52-Week High	52-Week Low
Prime rates				
U.S.	**6.75**	6.75	7.50	6.75
Canada	**4.45**	4.45	4.95	4.45
Japan	**2.375**	2.375	2.375	1.875
Policy Rates				
Euro zone	**2.40**	2.40	2.40	2.15
Switzerland	**0.25**	0.25	0.50	0.25
Britain	**3.75**	3.75	4.00	3.75
Australia	**4.35**	4.35	4.35	3.60
Overnight repurchase				
U.S.	**3.65**	3.67	4.45	3.49

U.S. government rates

	Latest	Week ago	52-Week High	52-Week Low
Discount	**3.75**	3.75	4.50	3.75
Federal funds				
Effective rate	**3.6400**	3.6400	4.3300	3.6300
High	**3.7000**	3.7000	4.5500	3.7000
Low	**3.5500**	3.5500	4.3200	3.5500
Bid	**3.6300**	3.6300	4.3200	3.6100
Offer	**3.6400**	3.6400	4.3300	3.6300
Treasury bill auction				
4 weeks	**3.650**	3.640	4.245	3.550
13 weeks	**3.770**	3.715	4.100	3.540
26 weeks	**3.885**	3.790	3.945	3.475

Other short-term rates

	Latest	Week ago	52-Week high	52-Week low
Call money	**5.50**	5.50	6.25	5.50
Commercial paper (AA financial)				
90 days	**3.83**	n.a.	4.22	3.57
Secured Overnight Financing Rate	**3.65**	3.65	4.51	3.50

	Latest	Value Traded	52-Week High	52-Week Low
DTCC GCF Repo Index				
Treasury	**3.690**	53.000	4.492	3.504
MBS	**3.714**	88.624	4.623	3.517

Weekly survey

	Latest	Week ago	Year ago
Freddie Mac			
30-year fixed	**6.66**	6.65	6.56
15-year fixed	**5.98**	5.95	5.69

Notes on data:
U.S. prime rate is the base rate on corporate loans posted by at least 70% of the 10 largest U.S. banks, and is effective December 11, 2025. **Other prime rates** aren't directly comparable; lending practices vary widely by location; **Discount rate** is effective December 11, 2025. **Secured Overnight Financing Rate** is as of August 28, 2026. **DTCC GCF Repo Index** is Depository Trust & Clearing Corp.'s weighted average for overnight trades in applicable CUSIPs. Value traded is in billions of U.S. dollars. **Federal-funds rates** are Tullett Prebon rates as of 3:30 p.m. ET.

Sources: Federal Reserve; Bureau of Labor Statistics; DTCC; FactSet; Tullett Prebon Information, Ltd.

Key Interest Rates

Data are annualized on a 360-day basis. Treasury yields are per annum, on actively traded noninflation and inflation-indexed issues that are adjusted to constant maturities. Data are from weekly Federal Reserve release H.15.

	Week Ended Aug 28	Week Ended Aug 21	52-Week High	52-Week Low
Federal funds (effective)	**3.63**	3.63	4.33	3.62
Commercial paper				
Nonfinancial				
1-month	**3.69**	3.69	4.26	3.61
2-month	**3.72**	3.71	4.21	3.58
3-month	**3.70**	3.69	4.17	3.62
Financial				
1-month	**n.a.**	n.a.	n.a.	n.a.
2-month	**n.a.**	n.a.	n.a.	n.a.
3-month	**3.82**	3.80	4.19	3.62
Discount window primary credit	**3.75**	3.75	4.50	3.75
Treasury yields at constant maturities				
1-month	**3.81**	3.79	4.42	3.67
3-month	**3.86**	3.87	4.26	3.63
6-month	**3.96**	3.94	4.05	3.56
1-year	**4.05**	4.00	4.10	3.43
2-year	**4.23**	4.20	4.30	3.42
3-year	**4.31**	4.27	4.33	3.45
5-year	**4.40**	4.38	4.40	3.58
7-year	**4.53**	4.53	4.53	3.77
10-year	**4.68**	4.70	4.70	4.00
20-year	**5.19**	5.24	5.24	4.54
Treasury yields (secondary market)				
1-month	**3.66**	3.64	4.25	3.55
3-month	**3.71**	3.71	4.08	3.53
6-month	**3.80**	3.78	3.88	3.48
TIPS				
5-year	**2.09**	2.09	2.17	1.17
7-year	**2.21**	2.22	2.29	1.43
10-year	**2.36**	2.39	2.43	1.70
20-year	**2.73**	2.78	2.78	2.14
Long-term avg	**2.90**	2.96	2.97	2.28

Notes on data:
Federal-funds rate is an average for the seven days ended Wednesday, weighted according to rates on broker trades; **Commercial paper rates** are discounted offer rates interpolated from sales by discounted averages of dealer bid rates on nationally traded certificates of deposit; **Discount window primary credit rate** is charged for discounts made and advances extended under the Federal Reserve's primary credit discount window program; **rate** is average for seven days ended Wednesday; **Inflation-indexed long-term TIPS** average is indexed and is based on the unweighted average bid yields for all TIPS with remaining terms to maturity of 10 years or more;

Sources: Federal Reserve; for additional information on these rate data and their derivation, please see, https://www.federalreserve.gov/datadownload/Build.aspx?rel=H15

Bonds | wsj.com/market-data/bonds/benchmarks

Tracking Bond Benchmarks

Return on investment and spreads over Treasurys and/or yields paid to investors compared with 52-week highs and lows for different types of bonds

Total return close	YTD total return (%)	Index	Yield (%) Latest	Low	High
Broad Market Bloomberg Fixed Income Indices					
2241.67	-0.3	U.S. Aggregate	**5.010**	4.160	5.010
U.S. Corporate Indexes Bloomberg Fixed Income Indices					
3430.97	-0.4	U.S. Corporate	**5.490**	4.680	5.490
3393.28	0.4	Intermediate	**5.200**	4.330	5.200
4353.94	-2.1	Long term	**6.150**	5.370	6.230
636.18	-1.7	Double-A-rated	**5.400**	4.410	5.400
945.04	0.03	Triple-B-rated	**5.650**	4.860	5.650
High Yield Bonds ICE BofA					
633.34	2.6	High Yield Constrained	**n.a.**	6.489	7.668
632.70	0.7	Triple-C-rated	**n.a.**	11.478	14.184
4215.09	2.3	High Yield 100	**n.a.**	5.828	7.136
551.81	2.8	Global High Yield Constrained	**n.a.**	6.317	7.438
402.64	1.9	Europe High Yield Constrained	**5.705**	4.820	6.198
U.S Agency Bloomberg Fixed Income Indices					
1967.97	0.4	U.S Agency	**4.650**	3.830	4.660
1747.53	0.6	10-20 years	**4.590**	3.750	4.590
3661.35	-1.4	20-plus years	**5.360**	4.580	5.380
3041.92	0.1	Yankee	**5.140**	4.320	5.140
Mortgage-Backed Bloomberg Fixed Income Indices					
2250.36	0.1	Mortgage-Backed	**5.290**	4.380	5.300
2213.38	0.4	Ginnie Mae (GNMA)	**5.340**	4.420	5.340
1330.20	-0.02	Fannie mae (FNMA)	**5.280**	4.370	5.290
2039.04	-0.5	Freddie Mac (FHLMC)	**5.130**	4.160	5.170
618.06	n.a.	Muni Master	**3.751**	3.037	3.751
438.32	-0.9	7-12 year	**3.545**	2.596	3.545
498.13	-0.3	12-22 year	**4.357**	3.608	4.533
470.64	0.8	22-plus year	**4.847**	4.432	5.037
Global Government J.P. Morgan†					
n.a.	n.a.	Global Government	**n.a.**	n.a.	n.a.
n.a.	n.a.	Canada	**n.a.**	n.a.	n.a.
n.a.	n.a.	EMU§	**n.a.**	n.a.	n.a.
n.a.	n.a.	France	**n.a.**	n.a.	n.a.
n.a.	n.a.	Germany	**n.a.**	n.a.	n.a.
n.a.	n.a.	Japan	**n.a.**	n.a.	n.a.
n.a.	n.a.	Netherlands	**n.a.**	n.a.	n.a.
n.a.	n.a.	U.K.	**n.a.**	n.a.	n.a.
n.a.	n.a.	Emerging Markets**	**n.a.**	n.a.	n.a.

*Constrained indexes limit individual issuer concentrations to 2%; the High Yield 100 are the 100 largest bonds † In local currency § Euro-zone bonds
** EMBI Global Index

Sources: ICE Data Services; Bloomberg Fixed Income Indices; J.P. Morgan

Global Government Bonds: Mapping Yields

Yields and spreads over or under U.S. Treasurys on benchmark two-year and 10-year government bonds in selected other countries; arrows indicate whether the yield rose(▲) or fell (▼) in the latest session

Coupon (%)	Country/ Maturity, in years	Yield (%) Latest	Previous	Month ago	Year ago	Spread Under/Over U.S. Treasurys, in basis points Latest	Prev	Year ago
4.125	**U.S.** 2	**4.348** ▲	4.348	4.289	3.621			
4.625	10	**4.757** ▲	4.721	4.743	4.227			
2.250	**Australia** 2	**4.698** ▲	4.698	4.524	3.340	**34.2**	34.5	**-28.5**
4.250	10	**5.078** ▼	5.090	4.938	4.289	**31.8**	37.3	**5.6**
2.400	**France** 2	**3.126** ▲	3.091	3.002	2.209	**-123.[illegible]**	-126.2	**-141.6**
3.700	10	**4.178** ▲	4.117	4.001	3.514	**-58.2**	-60.0	**-71.9**
2.700	**Germany** 2	**2.939** ▲	2.905	2.831	1.951	**-141.7**	-144.7	**-167.4**
3.000	10	**3.339** ▲	3.296	3.229	2.727	**-142.1**	-142.1	**-150.6**
2.650	**Italy** 2	**3.129** ▲	3.115	3.015	2.231	**-122.[illegible]**	-123.7	**-139.4**
3.800	10	**4.156** ▲	4.096	4.020	3.587	**-60.4**	-62.1	**-64.6**
1.700	**Japan** 2	**1.753** ▲	1.703	1.508	0.874	**-260.4**	-264.9	**-275.1**
2.700	10	**2.947** ▲	2.928	2.799	1.605	**-181.3**	-178.9	**-262.8**
2.400	**Spain** 2	**2.974** ▲	2.952	2.880	2.045	**-138.2**	-140.0	**-158.0**
3.400	10	**3.773** ▲	3.712	3.642	3.267	**-98.7**	-100.5	**-96.6**
4.375	**U.K.** 2	**4.409**	4.409	4.421	3.956	**5.3**	5.6	**33.1**
1.125	10	**5.070**	5.070	5.062	4.724	**31.0**	35.3	**49.1**

Source: Tullett Prebon, Tradeweb FTSE U.S. Treasury Close

Corporate Debt

Prices of firms' bonds reflect factors including investors' economic, sectoral and company-specific expectations

Investment-grade spreads that tightened the most...

Issuer	Symbol	Coupon (%)	Yield (%)	Maturity	Spread*, in basis points Current	One-day change	Last week
Oracle	ORCL	5.375	7.32	July 15, '40	256	–7	n.a.
Hess	...	5.600	5.71	Feb. 15, '41	96	–6	103
American Honda Finance	...	4.400	4.95	Sept. 5, '29	54	–4	n.a.
Caterpillar Financial Services	...	4.300	4.68	May 15, '29	28	–3	33
CF Industries	CF	4.950	6.09	June 1, '43	86	–3	n.a.
Equifax	EFX	5.000	4.96	Aug. 15, '29	56	–3	64
Nomura Holdings	...	4.996	5.05	June 29, '29	65	–3	n.a.
Banque Federative du Credit Mutuel	...	4.786	5.05	July 9, '29	65	–2	67

...And spreads that widened the most

Issuer	Symbol	Coupon (%)	Yield (%)	Maturity	Current	One-day change	Last week
Wells Fargo*	WFC	4.750	6.36	Dec. 7, '46	113	21	112
Principal Life Global Funding II	...	5.150	5.31	Aug. 17, '31	81	7	82
Credit Agricole	...	3.250	5.40	Jan. 14, '30	90	5	85
Virginia Electric and Power	...	6.000	5.59	Jan. 15, '36	84	5	n.a.
Enterprise Products Operating	...	5.700	5.86	Feb. 15, '42	63	4	n.a.
Toyota Motor Credit	...	4.550	4.99	May 14, '31	49	4	49
Banque Federative du Credit Mutuel	...	4.541	5.33	Jan. 15, '31	82	3	n.a.
Corebridge Global Funding	...	5.200	4.99	June 24, '29	59	3	n.a.

High-yield issues with the biggest price increases...

Issuer	Symbol	Coupon (%)	Yield (%)	Maturity	Bond Price as % of face value Current	One-day change	Last week
Paramount Global	...	7.875	6.32	July 30, '30	105.313	0.24	105.428
Bausch Health	...	11.000	7.97	Sept. 30, '28	105.690	0.19	104.375
Transocean International	...	7.500	6.76	April 15, '31	102.875	0.08	103.125
AAdvantage Loyalty IP	...	5.750	5.73	April 20, '29	100.048	0.05	100.000

...And with the biggest price decreases

Issuer	Symbol	Coupon (%)	Yield (%)	Maturity	Current	One-day change	Last week
Paramount Global*	...	4.375	8.56	March 15, '43	63.301	–0.76	63.014
Verde Purchaser	...	10.500	8.23	Nov. 30, '30	104.537	–0.34	104.890
Yum! Brands	YUM	6.875	5.95	Nov. 15, '37	107.507	–0.29	107.453
Telecom Italia Capital	...	7.200	5.91	July 18, '36	109.509	–0.26	109.500
Navient	NAVI	5.625	8.23	Aug. 1, '33	86.463	–0.24	84.905
Rakuten Group	...	9.750	5.99	April 15, '29	109.000	–0.13	108.950

*Estimated spread over 2-year, 3-year, 5-year, 10-year or 30-year hot-run Treasury; 100 basis points=one percentage pt.; change in spread shown is for Z-spread.
Note: Data are for the most active issue of bonds with maturities of two years or more

Source: MarketAxess

BIGGEST 1,000 STOCKS

How to Read the Stock Tables

The following explanations apply to NYSE, NYSE Arca, NYSE American and Nasdaq Stock Market listed securities. Prices are consolidated from trades reported by various market centers, including securities exchanges, Finra, electronic communications networks and other broker-dealers. The list comprises the 1,000 largest companies based on market capitalization.

Underlined quotations are those stocks with large changes in volume compared with the issue's average trading volume.

Boldfaced quotations highlight those issues whose price changed by 5% or more if their previous closing price was $2 or higher.

Footnotes:
‡-New 52-week high; †-New 52-week low; **dd**-Indicates loss in the most recent four quarters.

Stock tables reflect composite regular trading as of 4 p.m. ET and changes in the official closing prices from 4 p.m. ET the previous day.

Monday, August 31, 2026

A B C

Stock	Sym	Close	Net Chg
AES	AES	14.74	0.01
Aflac	AFL	115.85	-0.67
AGNC Invt	AGNC	10.73	-0.05
APA	APA	43.15	0.61
ASE Tech	ASX	36.95	-0.83
ASML	ASML	1050.12	-15.11
AST Space	ASTS	59.10	1.05
AT&T	T	25.89	-0.17
ATI	ATI	204.20	-6.56
AbbottLabs	ABT	110.36	-2.11
AbbVie	ABBV	256.42	0.94
Abivax	ABVX	111.73	-1.62
Accenture	ACN	189.76	0.15
Acuity	AYI	331.79	-3.37
Adobe	ADBE	292.79	1.27
AdvDrainageSys	WMS	135.73	-1.26
AdvEnergyInds	AEIS	276.86	4.04
AdvMicroDevices	AMD	470.72	5.14
Aegon	AEG	9.14	-0.05
AerCap	AER	145.94	-1.55
AffiliatedMgrs	AMG	368.19	-2.86
AffirmA	AFRM	74.45	-3.31
AgilentTechs	A	153.56	-0.28
AgnicoEagleMines	AEM	203.11	-3.14
AirProducts	APD	299.46	1.37
Airbnb	ABNB	183.22	-6.21
AkamaiTech	AKAM	108.62	1.15
AlamosGold	AGI	36.61	-0.14
Albemarle	ALB	134.97	-2.39
Alcoa	AA	49.95	-0.77
Alcon	ALC	72.06	0.05
Alibaba	BABA	114.02	-4.88
AlignTech	ALGN	159.79	2.21
Allegion	ALLE	155.25	-2.23
AlliantEnergy	LNT	67.98	-0.05
AllisonTransm	ALSN	125.71	-0.61
Allstate	ALL	257.10	-1.70
AllyFinancial	ALLY	47.21	-0.03
AlnylamPharm	ALNY	240.69	3.59
Alphabet A	GOOGL	339.35	-7.24
Alphabet C	GOOG	335.41	-7.47
Altria	MO	68.48	-0.17
Amazon.com	AMZN	229.77	-0.62
Ambev	ABEV	2.87	0.01
Amcor	AMCR	45.89	-0.78
AmerSports	AS	30.55	-0.50
Ameren	AEE	106.01	-0.11
AmericaMovil	AMX	23.04	-0.14
AEP	AEP	122.43	0.12
AmerExpress	AXP	330.17	-3.03
AmericanFin	AFG	142.55	-1.17
AmerHlthcREIT	AHR	55.21	-0.32
AmHomes4Rent	AMH	33.30	-0.24
AIG	AIG	76.36	-0.57
AmerTowerREIT	AMT	175.70	-0.87
AmerWaterWorks	AWK	138.23	-0.07
Ameriprise	AMP	553.11	-6.21
Ametek	AME	235.17	-1.08
Amgen	AMGN	429.86	-2.54
AmkorTech	AMKR	47.30	-0.58
Amphenol	APH	158.55	0.81
Amrize	AMRZ	43.70	-0.97
AnalogDevices	ADI	294.44	-2.94
AngloGoldAsh	AU	112.32	-0.87
AB InBev	BUD	79.10	-1.03
AnnalyCap	NLY	22.92	-0.12
AnteroMidstream	AM	22.42	0.11
AnteroResources	AR	38.48	0.03
Aon	AON	321.52	-33.88
APi Group	APG	39.25	-0.44
ApogeeTherap	APGE	135.08	0.11
ApolloGlbMgmt	APO	136.58	1.54
Apple	AAPL	316.85	-2.85
AppliedIndlTech	AIT	323.98	1.76
AppliedMaterials	AMAT	458.39	-3.28
AppLovin	APP	549.14	-6.27
Aptiv	APTV	44.76	-0.99
Aramark	ARMK	56.31	-1.87
ArcelorMittal	MT	74.60	0.21
ArchCapital	ACGL	98.07	-0.77
ADM	ADM	81.29	-0.25
AresMgmt	ARES	143.17	0.64
argenx	ARGX	1031.66	8.45
AristaNetworks	ANET	195.69	0.31
Arm	ARM	241.91	2.86
ArrowElec	ARW	204.43	0.51
ArrowheadPharm	ARWR	82.37	-0.22
Arxis	ARXS	51.77	-0.70
AscendisPharma	ASND	263.04	15.13
Assurant	AIZ	281.86	-2.91
AsteraLabs	ALAB	296.98	7.51
AstraZeneca	AZN	162.13	-0.57
Atlassian	TEAM	194.17	3.79
AtmosEnergy	ATO	166.13	-0.52
AuroraInnov	AUR	6.52	-0.10
Autodesk	ADSK	258.53	-2.13
ADP	ADP	286.16	-1.32
AutoZone	AZO	2912.29	-13.22
AvalonBay	AVB	139.76	-1.53
Avantor	AVTR	14.54	-0.04
AveryDennison	AVY	174.12	-2.33
AxonEnterprise	AXON	556.56	-34.17
AxsomeTherap	AXSM	198.52	-0.50
BCE	BCE	25.59	0.13
BHP Group	BHP	93.92	-1.23
BJ'sWholesale	BJ	90.65	0.05
BP	BP	42.87	0.72
BWX Tech	BWXT	152.29	-0.56
BXP	BXP	67.99	-1.33
Baidu	BIDU	95.28	-1.84
BakerHughes	BKR	63.55	1.14
Ball	BALL	62.97	-0.80

AUCTION RESULTS

Here are the results of Monday's Treasury auctions. All bids are awarded at a single price at the market-clearing yield. Rates are determined by the difference between that price and the face value.

	13-Week	26-Week
Applications	$260,152,749,000	$212,838,645,400
Accepted bids	$97,546,987,000	$83,767,967,400
" noncomp	$1,673,822,500	$1,663,465,000
" foreign noncomp	$900,000,000	$200,000,000
Auction price (rate)	99.047028	98.039917
	(3.770%)	(3.885%)
Coupon equivalent	3.859%	4.018%
Bids at clearing yield accepted	66.27%	49.27%
Cusip number	912797VA2	912797WD5

Both issues are dated Sept. 3, 2026. The 13-week bills mature on Dec. 3, 2026; the 26-week bills mature on March 4, 2027.

Exchange-Traded Portfolios | wsj.com/market-data/mutualfunds-etfs

Largest 100 exchange-traded funds, latest session.

Monday, August 31, 2026

New Highs and Lows

The following explanations apply to the New York Stock Exchange, NYSE Arca, NYSE American and Nasdaq Stock Market stocks that hit a new 52-week intraday high or low in the latest session. % CHG-Daily percentage change from the previous trading session.

Monday, August 31, 2026

Highs

Lows

Mutual Funds

Data provided by LSEG

Top 250 mutual-funds listings for Nasdaq-published share classes by net assets.

e-Ex-distribution. **f**-Previous day's quotation. **g**-Footnotes x and s apply. **j**-Footnotes e and s apply. **k**-Recalculated by LSEG, using updated data. **p**-Distribution costs apply, 12b-1. **r**-Redemption charge may apply. **s**-Stock split or dividend. **t**-Footnotes p and r apply. **v**-Footnotes x and e apply. **x**-Ex-dividend. **z**-Footnote x, e and s apply. **NA**-Not available due to incomplete price, performance or cost data. **NE**-Not released by LSEG; data under review. **NN**-Fund not tracked. **NS**-Fund didn't exist at start of period.

Monday, August 31, 2026

HEARD ON THE STREET

FINANCIAL ANALYSIS & COMMENTARY

Don't Count Shein Out Just Yet

Fierce competition and tariffs have left the company's growth story in tatters, but it still has moves to make

Fast-fashion giant **Shein** is making a bold choice, going ahead with its public debut when its growth is looking shabby. While the company's shares aren't a bargain, they aren't castoffs either.

The Singapore-based giant, which was founded in China and still makes the majority of its clothes there, will be targeting a roughly $27 billion valuation in its Hong Kong initial public offering on Tuesday, a long way off from the nearly $100 billion it once commanded.

The bear case for Shein is fairly straightforward. Its primary appeal to customers was fast fashion at dirt-cheap prices. But the U.S. last year took away a trade loophole that allowed companies like Shein to import low-value parcels duty free.

In its filing, Shein has said that it has been passing on the majority of those costs to customers. This year, Europe started imposing duties on cheap parcels, too.

Meanwhile, competition lurks in every corner. In the U.S., Temu and TikTok Shop are fighting for shoppers' scroll time. **JD.com**, Temu-owner **PDD** and Singapore's Shopee are all vying for share in emerging markets.

In 2024, Shein's revenue growth slowed to 21% from 41% a year earlier as Temu competed aggressively for American wallets. Then in 2025, Shein's revenue growth slowed further to 8% after the de minimis loophole was closed. In the first quarter, its revenue grew by a meager 1.1%. These declines don't yet include the effects of Europe's new duties, which started in early July.

New growth will likely come with lower margins. Attracting new customers—both in existing markets and untapped ones—requires heavier advertising, especially because the company primarily sells its products online. Marketing spending now represents nearly 16% of revenue, up from 11% three years ago.

GILLES SABRIE FOR WSJ

The Singapore-based giant, which was founded in China and still makes the majority of its clothes there.

It doesn't help that Shein has been selling a higher mix of nonapparel categories such as home goods that carry lower margins. Shein's operating margins were a slim 4.1% last year, about half that at **H&M** and a fifth of Zara owner **Inditex**'s.

It might be too early to write off Shein entirely, however.

In the U.S., Shein's largest single-country market, sales fell 14% in the first quarter. Partly that decline might have had to do with Shein's advertising decisions. U.S. credit-card spending on Shein fell starting in December, coinciding with the period when Shein dropped off the list of top Google advertisers, according to Vinci Zhang, research analyst at M Science, which tracks credit-card spending data.

Spending picked back up in the second quarter, when Shein resumed its higher advertising spend. That is one sign that Shein can keep picking up customers at higher prices if it doesn't skimp on advertising expenses.

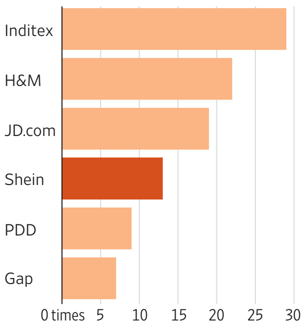
In Europe, Shein's other major market, credit-card data show the spending decline was milder following the introduction of its custom duty, Zhang noted.

Shein's "rest of the world" segment, which includes other countries in the Americas and Asia, is still increasing at a better pace, with 15% growth last year.

And Shein has a huge supply-chain network that helps it generate more than $40 billion of annual revenue, comparable to behemoths such as Nike and Inditex. It appears Shein is managing this network well. Momentum Works Intelligence, a Singapore-based research firm, said in a report that suppliers and manufacturers in China "repeatedly told us they love Shein better than Temu," noting that it always pays on time and treats suppliers well.

Shein also has a cash pile of nearly $15 billion.

Share price as a multiple of earnings



Note: The figure for Shein uses 2025 earnings. All others use trailing-12-month earnings.
Sources: FactSet; Shein

Arguably, its supply-chain network and the cash should give the company plenty of ammunition to pursue growth.

Earlier this year, it bought the once-popular U.S. brand Everlane. Could it, for example, pursue more acquisitions in this notoriously fragmented industry?

So far, Shein hasn't laid out a clear strategy beyond some very vague ones, such as a push to "attract new customers" and to "further expand category and product offerings." That makes it tough to put a value on its potential.

Shein's target $27 billion valuation represents about 13 times last year's earnings.

That is somewhere between Inditex, which goes for 29 times last-12-month earnings, and PDD's 9 times multiple.

While its shares aren't a screaming buy, neither are they terribly expensive.

For new investors to pick it up, though, it first needs to weave a more convincing tale.

—Jinjoo Lee

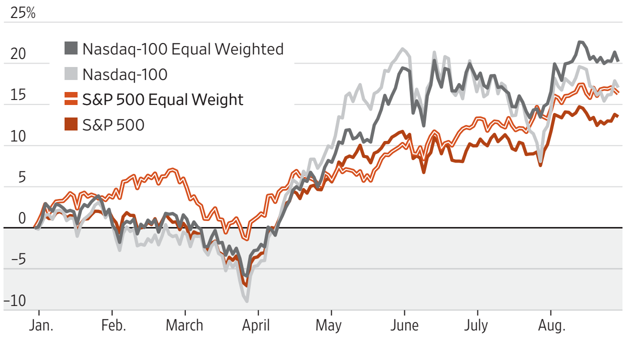
Index-Fund Strategy Is Quietly Beating Tech This Year

Passive investing is the dominant approach in the U.S. nowadays. But index-fund owners still have active choices to make.

The most popular S&P 500 funds are weighted by market capitalization, so the largest companies have the greatest impact on performance. However, some S&P 500 funds are equal-weighted. Flyweights and heavyweights have similar footing, and the funds must be rebalanced quarterly. That means selling winners and buying losers to reset each stock back to 0.2% of the fund.

The standard S&P 500 index has outperformed its equal-weighted cousin for the past decade, and even the past 12 months. Recently, the equal-weighted approach pulled ahead. So for passive investors, a touch of active strategy selection has gone a long way lately. Year-to-date, the S&P 500 Equal Weight Index is up 16.3% versus 13.5% for the regular index. Partly that is because megacaps such as **Tesla** and **Microsoft** have been laggards, trailing the market.

Index performance this year



Note: Total returns including reinvested dividends

Source: FactSet

It isn't just the S&P 500. Equal-weighted versions of the tech-heavy Nasdaq-100 and the Russell 1000 also have outperformed their traditional counterparts recently.

The Nasdaq-100 Equal Weighted Index is up 20.2% year-to-date compared with 17.1% for the market-cap-weighted flavor. Likewise, the Russell 1000 Equal Weight Index, which tracks the 1,000 largest U.S. publicly traded companies, is up 17.8% year to date versus 13.4% for the normal Russell 1000 that is weighted by market cap.

Notably, SpaceX joined the Nasdaq-100 and the Russell 1000 this summer soon after its initial public offering and it underperformed each of them since its inclusion. The equal-weighted versions should shield investors from having to take a more concentrated gamble on Elon Musk's interplanetary venture, which has a $1.9 trillion market cap. (SpaceX isn't in the S&P 500 for now, and the equal weight advantage for the Russell 1000 won't kick in until later this year.)

Even passive index-fund owners have to decide what type of indexer they want to be. If they're optimistic about the AI trade and the biggest hyperscalers, a traditional index fund may fit best. But an equal-weighted version may be a better match if they're feeling more cautious and prefer less exposure to a handful of tech giants such as **Nvidia** and **Meta Platforms**.

To be sure, the expense ratios for equal-weighted funds are higher. For equal-weighted S&P 500 funds, they're about 20 basis points compared with as little as three basis points for traditional S&P 500 exchange-traded funds. This year, that trade-off worked well. In addition to helping some investors sleep better, it's made them more money, too.

—Jonathan Weil

MONEY & INVESTING

Stock Spotlight

Amazon
Shares fell 2.5% after The Wall Street Journal reported the Federal Trade Commission plans to file a lawsuit against the e-commerce giant.

Intel and Nvidia
Shares of Intel inched higher, while Nvidia shares rose 1.5%.

MediaTek
Nvidia is investing $3.5 billion in the Taiwanese chip maker and will collaborate on artificial-intelligence infrastructure and other initiatives. MediaTek's shares closed 1.5% lower before the announcement.

Chevron, ConocoPhillips and Occidental Petroleum
Shares of the energy companies jumped as Brent crude futures surged past $90 a barrel.

Strategy Buys Bitcoin for First Time Since June

Strategy, the bitcoin accumulation firm founded by Michael Saylor, said it bought about $370 million worth of the digital currency last week, its first purchase since June.

Strategy said it acquired 4,603 bitcoin at an average price of $80,318 using proceeds from the sale of company's common shares. The company now holds 845,050 bitcoin, worth roughly $66* billion.

Strategy had paused its bitcoin purchases and sold bitcoin in recent weeks. After a sharp decline in its common and preferred shares, the company unveiled a turnaround plan at the end of June that included buying back stock and selling bitcoin.

Shares of Strategy closed 4.4% higher on Monday.

—Vicky Ge Huang

TUESDAY'S EVENTS:

◆ Federal Reserve speaker: Fed governor Michael Barr, 9:05 a.m. ET

◆ Economic data: August manufacturing PMI reports, job openings and labor turnover survey (JOLTS), July construction spending, domestic auto industry sales

EARNINGS EXPECTED:

Dell Technologies
Palo Alto Networks
Medtronic
MongoDB
Alimentation Couche-Tard

Today in Markets History

On this day in 1862, the San Francisco Stock and Exchange Board is founded by 37 brokers to organize trading in silver and gold mining stocks—primarily based at the booming Comstock Lode in Virginia City, Nev.

PG&E, Edison Fall on California Wildfire Legislation

Shares of publicly traded utilities tumbled on Monday after an effort by California Gov. Gavin Newsom to shield the sector from wildfire-related lawsuits was rejected by the state's lawmakers.

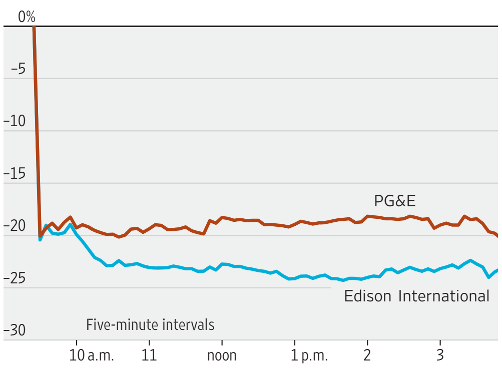
California utility PG&E's shares dropped 20% at the end of the trading session on Monday.

Other California-based utility stocks also sank on Monday, including Edison International. The company's shares declined 23%.

Newsom and California lawmakers have clashed recently over updates to the state's wildfire response.

The administration initially proposed blocking insurance companies from suing utilities over wildfire claims—a move that proponents argue is necessary to prevent higher electricity bills for California residents and to prevent utilities from facing bankruptcy.

Share-price performance on Monday



Source: FactSet

Ultimately, that proposal was rejected, and Newsom and lawmakers agreed on a narrower package of reforms over the weekend. That includes a provision prohibiting Wall Street firms from trading wildfire claims.

In a statement, PG&E said the bill, which will be voted upon this week, "would not provide the sustainable solution California needs."

Wall Street analysts moved to downgrade PG&E stock on Monday.

BMO Capital analyst James M. Thalacker cut the company from a version of "buy" to "hold," with a $21 price target.

The target "now reflects assumptions for uncapped future wildfire liability post-2030," Thalacker said.

—Caitlin McCabe